ENPR6303032

Entrepreneurship: A Global Perspective

Sessions 1–5 and 7 · BINUS

SECONDBRAIN

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Course walkthrough

This book covers the six lecture decks in the course folder: Sessions 1 to 5 and Session 7, from the definition of international entrepreneurship to migrant entrepreneurs who build ventures across borders. The decks follow the textbook Global Entrepreneurship & Innovation by Pruthi and Mitra (2023), with Kshetri's Global Entrepreneurship: Environment and Strategy (2018) as a second reference. Every chapter is organized the same way: a four-step chain (problem, big idea, tools, result), a plain-words explanation, at least one figure, and then the details to memorize under subheadings. Tags such as "Session 3 · CILO 1" give the class session a chapter draws on and the course intended learning outcome (CILO) the deck lists. A synthesis chapter near the end maps the lecturer's mock midterm onto the chapters. Every abbreviation is spelled out the first time it appears in each chapter and is listed in the glossary at the back.

CHAPTER 1 · START HERE · COURSE MAP

The shape of the course: from definitions to migrant entrepreneurs

PROBLEM
Six decks of definitions, statistics, theories and cases can read like unconnected lists.

→

BIG IDEA
The course moves outward: what international entrepreneurship is, who entrepreneurs and small firms are, how countries differ, how regions matter, how small firms go international, and how migrants build global ventures.

→

HOW (TOOLS)
Two course intended learning outcomes (CILO 1 and CILO 2), six session decks and two textbooks.

→

RESULT
Each topic has a place in the sequence, and each deck states which outcome it serves.

IN PLAIN WORDS

The course studies entrepreneurship that crosses national borders. Session 1 defines international entrepreneurship and explains why it matters: new and small firms, many founded by immigrants, create a large share of jobs, wealth and innovation. Session 2 steps back to the basic actors, the entrepreneur and the small firm, and sets out what makes small firms different from large ones. Session 3 compares countries using the Global Entrepreneurship Monitor (GEM) and asks why some nations are more entrepreneurial than others, looking at political, economic, cultural and technological influences.

The second half of the course looks at how and where firms go international. Session 4 brings the analysis down to regions and cities, showing how knowledge spills over between nearby firms and how growth corridors link regions across borders. Session 5 presents three theories of how small firms internationalize: the stages (Uppsala) model, network theory and the resource-based theory. Session 7 turns to migration, showing how migrant entrepreneurs draw on two countries at once to build global ventures.

The two outcomes tie this together. CILO 1 asks students to apply the foundational concepts of global entrepreneurship to real cases of immigrant, ethnic,

returnee and transnational entrepreneurs in different international settings. CILO 2 asks them to analyze the internationalization strategies of small firms, including entry modes, regional influences, social networks and resource-based factors. Sessions 1 to 3 list CILO 1, Sessions 4 and 5 list both, and Session 7 lists CILO 2.

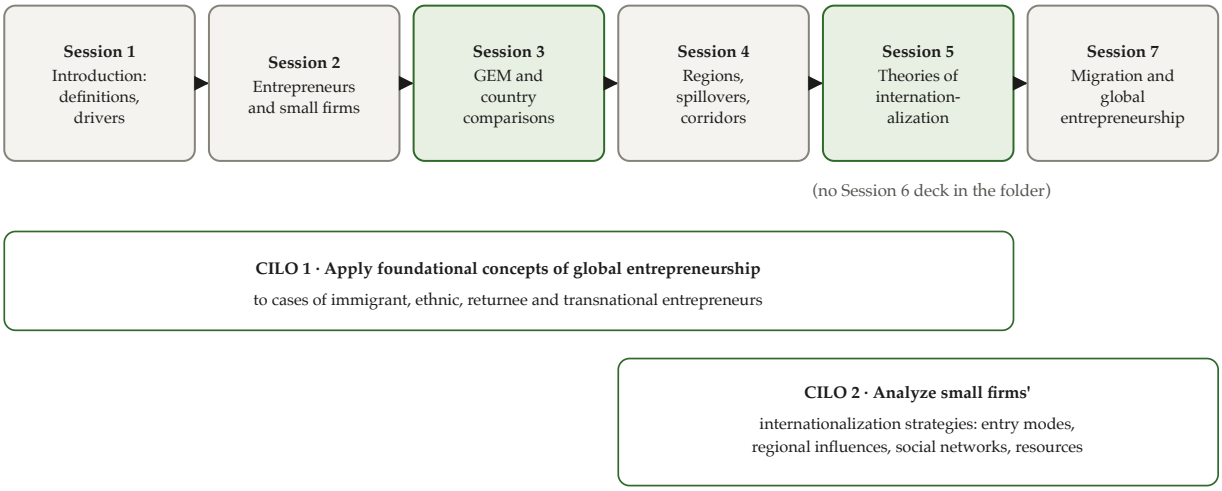


FIGURE 1.1 The decks move from what international entrepreneurship is (Sessions 1–3), through where and how small firms go international (Sessions 4–5), to migrant entrepreneurs (Session 7). The two bands show which course intended learning outcome (CILO) each deck lists; Sessions 4 and 5 list both. No Session 6 deck is in the folder.

The six decks at a glance

SESSION	DECK TITLE	CILO	CORE QUESTION
Session 1	Introduction to Global Entrepreneurship and Innovation	1	What is international entrepreneurship, where did the field come from, and why does it matter?
Session 2	Entrepreneurship and small firms	1	Who are entrepreneurs, what makes a firm small, and why do small firms matter?
Session 3	Global entrepreneurship monitor and comparative development of entrepreneurship	1	Why does entrepreneurial activity differ between countries?
Session 4	The local and regional dimensions of international entrepreneurship	1 and 2	How do regions, knowledge spillovers and growth corridors shape international entrepreneurship?
Session 5	Theories of small firm internationalization	1 and 2	How and why do small firms go international?

Session 7	Migration and global entrepreneurship	2	How do migrants build entrepreneurial ventures across borders?

The two learning outcomes

- **CILO 1**: Apply foundational concepts of global entrepreneurship to real-world cases involving immigrant, ethnic, returnee and transnational entrepreneurs across diverse international settings.
- **CILO 2**: Analyze the internationalization strategies of small firms, including entry modes, regional influences, social networks and resource-based factors that shape global entrepreneurial outcomes.

Connections the materials make between sessions

- **Migration**: Session 1 lists migration and cross-border movement of people as a driver of international entrepreneurship and cites immigrant founders; Session 7 is devoted to migrant entrepreneurs.
- **Technology**: Session 1 names advances in information, communication and transport technologies as a driver; Session 3 shows technology letting entrepreneurs sell outside their home market; Session 5 lists technology and global communications in the critique of the stages model.
- **Small firms**: Session 2 defines small firms and their features; Session 5 explains how they internationalize.
- **Born globals**: Session 1 defines international new ventures; Session 5 names born globals as a type of small firm the stages model does not fit; Session 7 notes that migrant entrepreneurs who first enter their home country are more likely to found born-global ventures.
- **Networks**: Session 3 describes affiliations with entrepreneurs as part of societal culture; Session 4 discusses social capital in regions; Session 5 builds a full network theory; Session 7 shows migrant networks easing financial constraints.

Textbooks

- **Pruthi and Mitra (2023)**: *Global Entrepreneurship & Innovation*, 1st edition, SAGE Publications. The figure and table numbers on the slides (for example the employment chart numbered 2.1 and the index table numbered 3.1) come from this book.
- **Kshetri (2018)**: *Global Entrepreneurship: Environment and Strategy*, 2nd edition, Routledge.

Link to next topic → The course begins by defining international entrepreneurship and showing, with figures, why new and small firms matter to economies.

PART A

SESSION 1 · INTRODUCTION TO GLOBAL ENTREPRENEURSHIP AND INNOVATION

CHAPTER 2 · SESSION 1 · CILO 1

What international entrepreneurship is and why it matters: significance, definitions and origins

PROBLEM
Entrepreneurship that crosses borders needs a clear definition before it can be studied or applied to cases.

→

BIG IDEA
International entrepreneurship is the discovery and exploitation of opportunities across national borders, and it grew out of two research streams: entrepreneurship and international business.

→

HOW (TOOLS)
Evidence of significance from the United States, the United Kingdom and California; definitions by Zahra and George, Oviatt and McDougall, and Shane and Venkataraman.

→

RESULT
Students can explain what the field covers, why it matters to economies, and where its ideas come from.

IN PLAIN WORDS

Session 1 opens with evidence that new and small firms, many founded by immigrants, carry real weight in economies. In the United States of America (USA), small businesses created most new jobs in 2018. In the United Kingdom (UK), migrant-founded enterprises employ more than a million people. Innovative start-ups such as Uber and eBay were founded by immigrant entrepreneurs. Firms founded by Chinese Americans and Taiwanese Americans in Southern California employ hundreds of thousands of people and also helped develop China's information and communication technology industries. Immigrants who return home to start a business bring innovation, competition and an entrepreneurial culture to their home countries. Venture-backed companies make up a large share of public companies in the USA, including five of the six largest by market value at the end of 2018.

With that evidence in place, the session defines the field. The definitions differ in emphasis. Zahra and George (2002) stress creatively discovering and exploiting opportunities outside a firm's domestic market to gain competitive advantage. Oviatt and McDougall (2005) describe the discovery, enactment, evaluation and exploitation of opportunities across national borders to create future goods and services. A third view sees international entrepreneurship as the early and rapid internationalization of new and small firms, captured in Oviatt and McDougall's

(1994) idea of the international new venture (INV): a firm that seeks advantage in several countries from the day it starts.

The field did not appear from nowhere. It grew where two separate but related research streams meet. Entrepreneurship studies new ventures: how, by whom and with what consequences opportunities are recognized, formed, evaluated and exploited (Shane and Venkataraman, 2000). Innovation sits inside this stream as the sum of creativity and commercialization (Drucker, 1993). International business studies organizations that cross national borders to do business in foreign countries. Put the two together and the result is the study of opportunities pursued across borders.

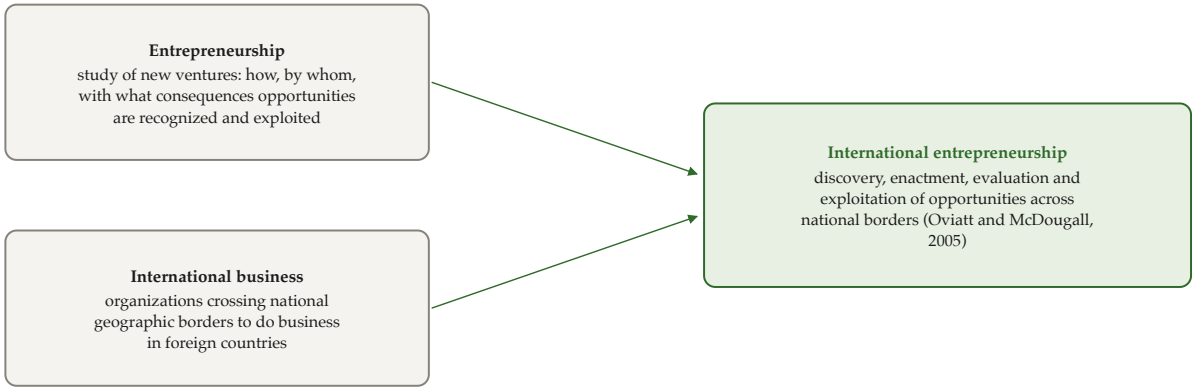


FIGURE 2.1 International entrepreneurship grew from the confluence of two separate streams. Entrepreneurship asks how opportunities are recognized and exploited; international business studies firms that cross national borders. Where they meet, opportunities are pursued across borders.

Significance of international entrepreneurship and innovation

Jobs and migrant founders

- **USA, 2018**: small businesses created 55% of all jobs and 66% of all net new jobs (U.S. Small Business Administration, USBA, 2018).
- **UK**: migrant-founded enterprises employ 1.16 million people and contribute to 14% of job creation in small and medium-sized firms (Johnson and Kimmelman, 2014; Quan et al., 2019).
- **Immigrant-founded start-ups**: innovative start-ups such as Uber and eBay were founded by immigrant entrepreneurs; such firms account for as many as 50% of gross jobs created annually between 1980 and 2010 (National Venture Capital Association, NVCA, 2019).

- **Southern California**: firms founded by Chinese Americans and Taiwanese Americans employ more than 440,000 people and generate $70 billion in taxable revenues. They have expanded business opportunities and contributed to the development of China's information and communication technology industries (Zhou and Hsu, 2011; Saxenian, 2002).
- **Returnees**: immigrant entrepreneurs who permanently return home to start up contribute to innovation, competition and the development of an entrepreneurial culture in their home country (Organisation for Economic Co-operation and Development, OECD, 2017; Tynaliev and McLean, 2011).

Venture-backed companies

- **Initial public offerings**: 42% of U.S. companies that went public between 1974 and 2015 were venture-backed (NVCA, 2019).
- **Weight**: these companies represented 63% of market capitalization and 85% of the total research and development (R&D) of all public companies.
- **End of 2018**: venture-backed Microsoft ($780b), Apple ($746b), Amazon ($737b), Alphabet ($727b) and Facebook ($374b) were five of the six largest publicly traded companies by market capitalization.

Three definitions of international entrepreneurship

SOURCE	DEFINITION	EMPHASIS
Zahra and George (2002)	The process of creatively discovering and exploiting opportunities that lie outside a firm's domestic market in the pursuit of competitive advantage	Opportunities outside the home market; competitive advantage
Oviatt and McDougall (2005)	The discovery, enactment, evaluation and exploitation of opportunities across national borders to create future goods and services	The full opportunity process across borders
Phenomenon view; Oviatt and McDougall (1994)	The phenomenon of early and rapid internationalization of new and small firms. International new ventures (INVs) are business organizations that, from inception, seek significant competitive advantage from the use of resources and the sale of outputs in multiple countries	Speed and timing: international from the start

Origins: two research streams

- **Entrepreneurship**: the study of new ventures. According to Shane and Venkataraman (2000), it is the scholarly examination of how, by whom and with what consequences opportunities to create future goods and services are recognized, formed, evaluated and exploited.
- **Innovation**: firms' endeavours to use unexploited opportunities by developing new products and business models, improving processes, or generating novelty by creating new combinations from existing components. As the sum of creativity and commercialization, innovation is the means by which entrepreneurs either create new wealth-producing resources or endow existing resources with enhanced wealth-creating potential (Drucker, 1993).
- **International business**: the field spanning organizations that cross national geographic borders to do business in foreign countries.

```
Innovation = creativity
           + commercialization
(Drucker, 1993)
```

> **Exam tip:** Question 1 of the mock midterm asks for the Zahra and George (2002) and Oviatt and McDougall (2005) definitions, the difference between international new ventures (INVs) and born globals, at least two statistics on immigrant entrepreneurs (for example from USBA, NVCA or OECD) and real immigrant-founded companies. The slides define INVs but do not give a separate definition of born globals; they list "international new ventures and born-globals" as one key topic of the textbook and, in Session 5, name born globals as small firms that do not follow the stages model.

Link to next topic → Having defined the field, Session 1 sets out what it includes, what drives it, and how the textbook organizes it.

CHECK YOURSELF

Answer from memory, then check below.

1. **Zahra and George (2002) define international entrepreneurship as the process of creatively discovering and exploiting opportunities that lie where?**
   - A. Inside the firm's home region, to reduce costs
   - B. Outside a firm's domestic market, in pursuit of competitive advantage
   - C. In multiple countries from the firm's inception
   - D. Across national borders to create future goods and services

2. International new ventures (INVs), as defined by Oviatt and McDougall (1994), are distinguished by what?

A. They internationalize only after building a strong home market
B. They are large multinationals launching new divisions abroad
C. They import inputs but sell only domestically
D. They seek significant competitive advantage from resources and sales in multiple countries from inception

3. RECALL **Entrepreneurship as defined by Shane and Venkataraman (2000)**

Answers 1. B **2.** D **3.** The scholarly examination of how, by whom and with what consequences opportunities to create future goods and services are recognized, formed, evaluated and exploited.

CHAPTER 3 · SESSION 1 · CILO 1

The scope of international entrepreneurship: concept, drivers and the book's structure

PROBLEM
It is easy to assume international entrepreneurship only concerns small start-ups exporting abroad.

→

BIG IDEA
The field includes cross-national comparisons and entrepreneurial activity in large firms too, and it is pushed forward by five drivers.

→

HOW (TOOLS)
The two kinds of cross-national comparison, the five drivers, and the scope, key topics and structure of the textbook.

→

RESULT
Students can say what the field covers and why it has grown.

IN PLAIN WORDS

International entrepreneurship covers more than one kind of study. Some research compares domestic entrepreneurship across countries, for example how rates of entrepreneurial activity differ from one country to another. Other research compares entrepreneurial internationalization, for example how the drivers that push new ventures abroad differ between countries. Session 3 of this course does the first kind of comparison in detail.

The field is also not limited to new and small ventures. Large, well-established companies carry out entrepreneurial activities internationally too, and researchers have studied knowledge-intensive firms and family businesses as settings for international entrepreneurship. These range from mini-nationals to multinationals across many industries.

Five drivers explain why international entrepreneurship has grown: political and economic developments, advances in information, communication and transportation technologies, the changing nature of competition, migration and cross-border movement of people, and the spread of equity financing outside developed markets. The textbook the course follows (Pruthi and Mitra, 2023) is built around these themes. Its aim is to examine the international development of entrepreneurship and innovation in for-profit, new and small firms, using theory and case studies from many countries.

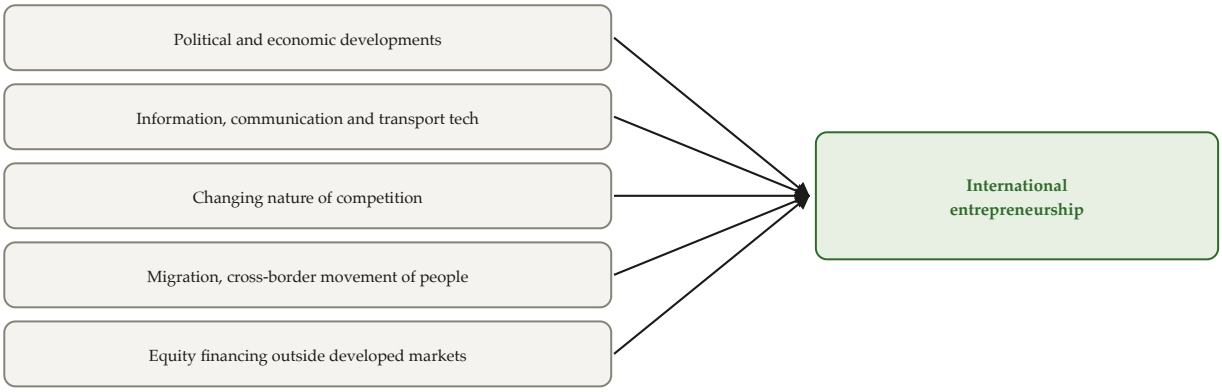


FIGURE 3.1 The five drivers of international entrepreneurship listed in Session 1.

The concept: what the field includes

- **Cross-national comparisons of domestic entrepreneurship**: for example, differences in entrepreneurial activity rates across countries.
- **Cross-national comparisons of entrepreneurial internationalization**: for example, cross-country differences in the drivers of new venture internationalization.
- **Not only new and small ventures**: international entrepreneurial activities also occur in large, well-established companies pursuing entrepreneurial activities.
- **Research contexts**: knowledge-intensive firms and family businesses, covering both mini-national and multinational companies across a range of industry sectors.

The five drivers of international entrepreneurship

1 **Political and economic developments** changes in the political and economic setting in which firms operate.

2 **Technology** advancements in information, communication and transportation technologies.

3 **Competition** the changing nature of competition.

4 **Migration** migration and cross-border movements of people.

5 **Finance** the proliferation of equity financing outside of developed markets.

Scope of the textbook

ELEMENT	WHAT THE BOOK DOES
Overall aim	To examine the international development of entrepreneurship and innovation
Context	For-profit ventures; new and small firms

Approach	Theory and multi-country case studies to trace the role of new and small firms' distinctive features in their international and global growth
Target audience	Instructors, research scholars and potential international entrepreneurs

Key topics of the textbook

- **Small firms**: distinctive features and growth challenges
- **Place**: local and regional dimensions of international entrepreneurship
- **Entry**: motivations and foreign market entry strategies of international entrepreneurs
- **Migration**: immigration and immigrant entrepreneurs
- **Globalization**
- **Speed**: international new ventures and born-globals
- **Digitization**
- **Finance**: international venture capital and private equity finance

Structure of the textbook

1 Foundations
entrepreneurship and small firms, the international development of entrepreneurship and innovation, local and regional dimensions, and international entrepreneurship.

2 Global movement
immigration and immigrant entrepreneurship and global start-ups, globalization and digitization.

3 Finance
the supply of investment capital for rapidly growing small and new firms.

Link to next topic → The book's first block starts with entrepreneurship and small firms, which is the subject of Session 2.

CHECK YOURSELF

Answer from memory, then check below.

1. **Cross-country differences in the drivers of new venture internationalization are an example of which kind of comparison?**
   A. Entrepreneurial internationalization
   B. Domestic entrepreneurship
   C. Corporate entrepreneurship
   D. Regional innovation systems

2. **Which statement about the scope of international entrepreneurship matches Session 1?**

   A. It is limited to new ventures under 42 months old

   B. It excludes family businesses

   C. It also covers entrepreneurial activities in large, well-established companies

   D. It covers only firms that export from inception

3. RECALL **The five drivers of international entrepreneurship**

Answers 1. A **2.** C **3.** Political and economic developments; advances in information, communication and transportation technologies; changing nature of competition; migration and cross-border movement of people; proliferation of equity financing outside developed markets.

PART B

SESSION 2 · ENTREPRENEURSHIP AND SMALL FIRMS

CHAPTER 4 · SESSION 2 · CILO 1

Who entrepreneurs are: meaning, creative destruction, types and theories

PROBLEM
"Entrepreneur" is used loosely, so it needs a clear meaning and a way to tell different entrepreneurs apart.

→

BIG IDEA
Entrepreneurs start new ventures and bring innovations to market, and in doing so they destroy old markets and create new ones.

→

HOW (TOOLS)
Schumpeter's creative destruction, the types of entrepreneur, four entrepreneurial contexts and three theories of why people become entrepreneurs.

→

RESULT
Students can classify an entrepreneur in a case and explain why that person started a business.

IN PLAIN WORDS

The term entrepreneurship was first used in an economic sense, for a class of economic actors who depended financially on others: they were either set up with capital to run their enterprise or were undertakers of their own labour without capital. Today entrepreneurs are understood as individuals who start new business ventures. Unlike employees, who earn a living working for someone else's business, entrepreneurs start their own.

Schumpeter's view links entrepreneurs to innovation. An invention is a new concept or idea that comes out of creativity. It becomes an innovation when it is used to create a new commercial product or service, and innovation is a key force in creating new demand and so new wealth. Entrepreneurs are the owner-managers who start businesses to exploit inventions, creating wealth for themselves and jobs for others. Because their innovations create new demand, they destroy existing markets and create new ones. This is creative destruction.

Entrepreneurs differ. Some work alone and others found ventures in teams; some are starting for the first time while others have owned several firms; some build from the ground up while others buy, franchise, license or inherit. They also work in different contexts, inside large companies, in high-technology industries, for social missions or for the environment. Three theories offer reasons why people become entrepreneurs: their personality, their dissatisfaction with a job, or their ability to see gaps others miss.

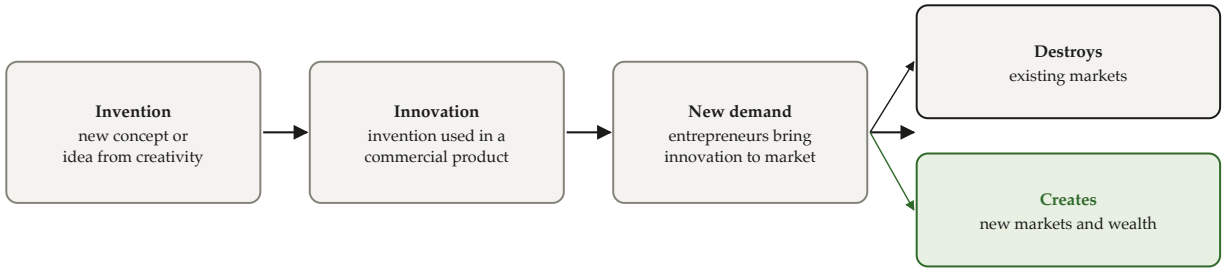


FIGURE 4.1 Creative destruction as Session 2 presents it. Creativity produces an invention; an entrepreneur turns it into a commercial product (innovation); the innovation creates new demand, which destroys existing markets and creates new ones.

Invention, innovation and entrepreneurs

- **Invention**: the origination of a new concept or idea as a result of the process of creativity.
- **Innovation**: use of an invention to create a new commercial product or service; a key force in creating new demand and thus new wealth.
- **Entrepreneurs**: owner-managers who start new businesses to exploit inventions; in the process they create wealth for themselves and employment for others.

Schumpeter's creative destruction

1. **Bring innovations** entrepreneurs bring innovations to the market.
2. **Create demand** innovations create new demand.
3. **Destroy and create** this destroys existing markets and creates new ones.

Types of entrepreneurs

BASIS	TYPE	MEANING
Team	Solo entrepreneurs	Operate on their own
	Team founders	Co-found ventures in teams
Experience	Novice entrepreneurs	No prior minority or majority firm ownership experience
	Habitual entrepreneurs	Hold or have held a minority or majority ownership stake in two or more firms, at least one of which was established or purchased
Route in	From the ground up	Start the venture from scratch
	Other routes	Buy an existing company, secure franchise rights, license or purchase critical technology or methods, or inherit a company

The entrepreneurial context

- **Corporate entrepreneurship**: formal or informal activities aimed at creating new products or businesses, new business models or international organization structures in established companies.
- **Technology entrepreneurship**: entrepreneurship in technologically advanced industries.
- **Social entrepreneurship**: solving a social problem for the wider good. Social enterprises serve a social mission but with a profit motive.
- **Green entrepreneurship**: enterprise activities that avoid harm to the environment or help to protect it in some way.

Theories of entrepreneurship

THEORY	WHY PEOPLE BECOME ENTREPRENEURS
Personality theory	Individual personality characteristics influence opportunity recognition. Individuals are likely to be entrepreneurs because of their personality: entrepreneurs are "born", not "made".
Psycho-sociological theory	Not all entrepreneurs start for positive, pull-based reasons. "Disgruntlement", or dissatisfaction with a job, can be the reason.
Cognitive theories	Entrepreneurs perceive market gaps or identify unnoticed opportunities.

> **Exam tip:** Question 2 of the mock midterm asks for the role of small firms to be analyzed "using entrepreneurship theories (Personality Theory, Psycho-sociological Theory, Cognitive Theories)" and related to Schumpeter's creative destruction. Both come from this chapter; the next two chapters supply the rest of that question.

Link to next topic → Session 2 then separates entrepreneurship, which centres on starting up, from small business, which centres on established small firms.

CHECK YOURSELF

Answer from memory, then check below.

1. **In Schumpeter's creative destruction, what directly follows when entrepreneurs bring innovations to the market?**
   - A. Existing firms lower their prices
   - B. The innovations create new demand
   - C. Governments regulate the new market
   - D. Inventions are patented

2. **Which theory says dissatisfaction with a job can be the reason someone becomes an entrepreneur?**
   - A. Personality theory
   - B. Cognitive theories
   - C. Resource-based theory
   - D. Psycho-sociological theory

3. RECALL **Schumpeter's creative destruction in three steps**

Answers 1. B **2.** D **3.** Entrepreneurs bring innovations to the market; innovations create new demand; this destroys existing markets and creates new ones.

CHAPTER 5 · SESSION 2 · CILO 1

What makes a firm small: definitions, quantitative and qualitative features, advantages and disadvantages

PROBLEM
"Small" means different things in different countries and industries, and small firms behave differently from large ones.

→

BIG IDEA
Small firms are defined by quantitative features (few employees, small capital, small share of their industry) and qualitative features (informal culture, the family, owners who also manage).

→

HOW (TOOLS)
Definitions of small business and SMEs, size bands, and lists of the advantages and disadvantages of small size.

→

RESULT
Students can classify a firm by size and explain what its size makes easy and hard.

IN PLAIN WORDS

Entrepreneurship and small business overlap but are not the same. Entrepreneurship focuses on the context, such as the start-up process, where innovative effort is needed. Small business focuses on established small firms: a corner grocery or bakery, a neighbourhood restaurant, a laundromat, a dry-cleaner or a lawn-mowing company. The session gives one definition of a small business as having fewer than 500 employees and selling less than $5 million of products and services a year, and it shows how numerous such firms are in the United States of America (USA).

Small and medium-sized enterprises (SMEs) are defined by thresholds on revenues, assets or employees, and the thresholds vary. The European Union (EU) and the USA draw the lines differently, and in the USA the line also changes by industry. These are the quantitative features of small firms. The qualitative features matter just as much. In a large firm, ownership is separated from control and owners hand responsibility to professional managers. In a small firm, the owner-founder is also the manager and runs the various functions personally. Small firms also have an informal culture, and the family often plays a role.

These features cut both ways. Being small brings motivation and dynamism, an informal structure and closeness to customers. But it also means no economies of scale or scope, limited money and people, decisions concentrated in the owner, and

little control over the market, with publicity left to word of mouth and no concrete sales and marketing strategy.

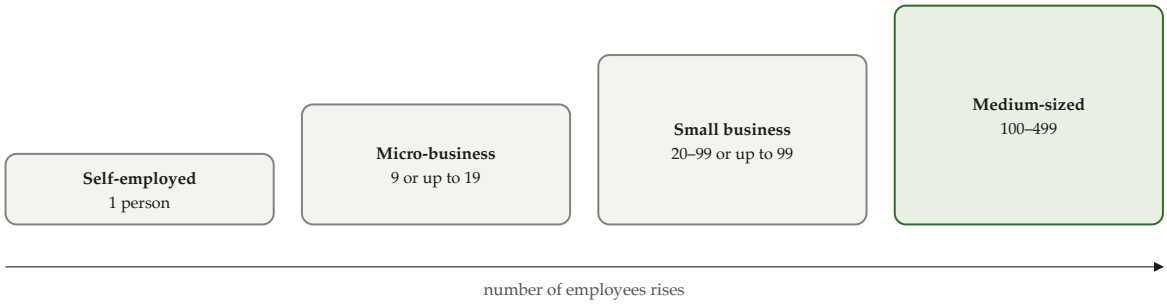


FIGURE 5.1 The size bands Session 2 gives for small and medium-sized enterprises (SMEs), from one self-employed person to a medium-sized business of 100–499 employees. Size is one quantitative feature; informal culture and the role of the family are the qualitative ones.

Small business

- **Definition**: a small business has fewer than 500 employees and sells less than $5 million worth of products and services annually.
- **Contrast with entrepreneurship**: entrepreneurship focuses on the context (for example, the start-up process) where innovative effort is required; "small business" focuses on established small firms.
- **Examples**: a corner grocery or bakery shop, a neighbourhood restaurant, a laundromat, a dry-cleaning shop or a lawn-mowing company.

Small businesses in the USA

- **Growth**: the number of small businesses in the USA has increased 49% since 1982.
- **Space, 2014**: the small business sector occupied 30–50% of all commercial space, an estimated 20–34 billion square feet.
- **Sales, 2014**: 23 million small businesses accounted for 54% of all U.S. sales.
- **Proprietors, 2016**: the number of proprietors increased by 2.3% over the previous year.
- **U.S. Small Business Administration (USBA), 2018**: reports 30.2 million small businesses, which make up 99.9% of all U.S. firms, 99.7% of U.S. firms with paid employees, 47.5% of private sector employees and 40.8% of private sector payroll.

Quantitative features of small firms

Quantitative features refer to the small number of employees and the small initial capital requirements. SMEs are businesses whose revenues, assets or number of employees stay below a certain threshold.

- **EU**: an SME is a company with fewer than 50 employees, and a medium-sized enterprise is one with fewer than 250 employees.
- **USA, manufacturing**: SMEs are firms with 500 or fewer employees.
- **USA, copper and nickel ore mining**: SMEs can have up to 1,500 employees.

Size bands (Bridge et al., 2003; C & J-E, 2006)

CATEGORY	NUMBER OF EMPLOYEES
Self-employed	1 person
Micro-business	9 or up to 19
Small business	20–99 or up to 99
Medium-sized business	100–499

A second quantitative feature is small relative size within the industry: low turnover and a small share of the market.

Qualitative features of small firms

- **Informal culture and the role of the family**: the defining qualitative features.
- **Owner-managers**: in large firms ownership is dissociated from control and owners delegate responsibility to professional managers; small firm owner-founders are also managers, personally responsible for the conduct of the firm's various functions.

Advantages and disadvantages of small size

Advantages

- **Motivation**: entrepreneurial motivation and dynamism
- **Structure**: informal structure and organization
- **Market proximity**: closeness to the market and control over customers' purchasing behaviour based on informal relationships

Disadvantages

- **Scale**: lack of scale and scope economies
- **Finance**: financial resource constraints
- **People**: human resource constraints: centralization and lack of delegation; owner control over decisions (personal procurement of supplies, personal monitoring of quality); small-batch production
- **Market**: lack of market control: word-of-mouth publicity and informal customer feedback; no concrete sales and marketing strategy

Link to next topic → With small firms defined, Session 2 sets out why entrepreneurship and small firms matter to the economy, to society and to large firms.

CHECK YOURSELF

Answer from memory, then check below.

1. **Which is a qualitative, not quantitative, feature of small firms?**
   - A. A small number of employees
   - B. Small initial capital requirements
   - C. Owner-founders who also manage the firm's functions
   - D. Low turnover within the industry
2. **Word-of-mouth publicity and no concrete sales and marketing strategy illustrate which disadvantage of small size?**
   - A. Lack of market control
   - B. Human resource constraints
   - C. Financial resource constraints
   - D. Lack of scale and scope economies

3. RECALL Qualitative features of small firms

Answers 1. C **2.** A **3.** Informal culture and the role of family; owner-founders are also managers, personally responsible for the firm's functions (ownership not dissociated from control).

CHAPTER 6 · SESSION 2 · CILO 1

Why small firms matter: wealth creation, job creation and societal impact

PROBLEM
Small firms are individually small, so their importance to an economy is easy to underestimate.

→

BIG IDEA
Together, entrepreneurship and small firms create wealth and jobs, bring innovations to society and feed innovation into large firms.

→

HOW (TOOLS)
U.S. statistics on millionaires, jobs and franchises; the slides' chart of employment by business size; acquisition examples.

→

RESULT
Students can argue the significance of small firms with evidence under three headings.

IN PLAIN WORDS

Session 2 groups the significance of entrepreneurship and small firms under three headings: economic impact (wealth creation and job creation), societal impact (product and service innovations), and impact on large firms. The economic case starts with wealth. Small firms can grow into the large firms that dominate world business. The self-employed are fewer than 20% of workers, yet almost two-thirds of millionaires are self-employed, and close to half of those millionaires are entrepreneurs, such as the founders of Google, Microsoft, Facebook and Virgin. This growth and wealth potential is strongest in high-technology ventures, which often become the foundation of global businesses.

The second economic contribution is jobs. Data from the United States of America (USA) show new entrepreneurial firms adding millions of jobs, small businesses accounting for most net new jobs over long periods, and microenterprises and franchises employing large numbers of people. The slides' chart of employment by business size (numbered 2.1 in the textbook), from the U.S. Small Business Administration (USBA) Office of Advocacy, shows U.S. employment from 2000 to 2015 split into four firm-size bands: fewer than 20, 20 to 99, 100 to 499, and more than 500 employees. The three bands below 500 employees together hold roughly half of total employment across the period.

Society gains because entrepreneurs introduce innovations that help industries emerge and grow. Large firms gain because small firms are a source of innovation for them: large firms buy small ones to enter new markets. Facebook bought

WhatsApp to enter the mobile market, Microsoft bought Skype to enter internet communications, and Intel of the USA acquired Mobileye of Israel.

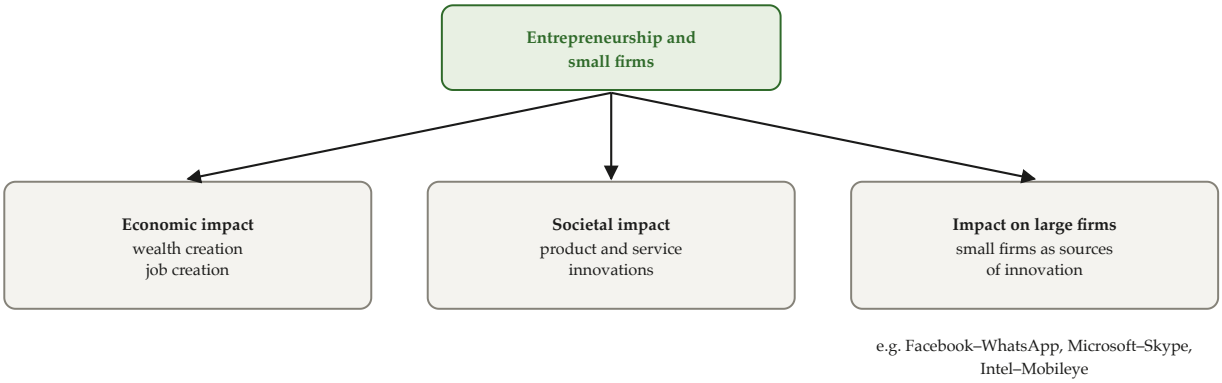


FIGURE 6.1 The three headings under which Session 2 sets out why entrepreneurship and small firms matter. Large firms feel the impact when they buy small firms to enter new markets, as in the WhatsApp, Skype and Mobileye examples.

Economic impact: wealth creation

- **Growth potential**: small firms can grow into large firms that dominate world business and provide substantial profits to their owners.
- **Millionaires**: the self-employed make up fewer than 20% of workers, yet almost two-thirds of millionaires are self-employed.
- **Entrepreneurs among them**: close to 50% of these millionaires are entrepreneurs, for example Sergey Brin and Larry Page (Google), Bill Gates (Microsoft), Mark Zuckerberg (Facebook) and Richard Branson (Virgin).
- **High-tech**: rapid growth and wealth creation potential is especially true of high-tech ventures, often the foundations for global businesses.

Economic impact: job creation

STATISTIC	SOURCE
New entrepreneurial firms in the USA have added 8 million new jobs since 1990	Bamford and Bruton (2016)
Small businesses accounted for 64% of net new jobs created between 1993 and 2011	Liberto (2019)
More than 25.1 million microenterprises with five or fewer employees contribute 22% of all private employment	Session 2 slides
In 2014, 600,000-plus franchised businesses accounted for 40% of all retail sales and some 8 million jobs	SBA Office of Advocacy (2018)

In 2015, small businesses employed 58.9 million people, or 47.5% of the private workforce	SBA Office of Advocacy (2018)
In 2015, small businesses created 1.9 million net jobs; firms with fewer than 20 employees added 1.1 million; firms with 100–499 employees added the least, 387,874	SBA Office of Advocacy (2018)
Firms with fewer than 100 employees have the largest share of small business employment	SBA Office of Advocacy (2018)
In 2018, small businesses provided 55% of all jobs and 66% of all net new jobs since the 1970s	SBA Office of Advocacy (2018)

Here SBA stands for the United States Small Business Administration, as the slides write it; Session 2 also refers to the same body as the USBA.

United States employment by business size (textbook chart 2.1)

The chart (source: USBA Office of Advocacy, 2018) stacks U.S. employment from about 2000 to 2015 by firm size: fewer than 20 employees at the bottom, then 20 to 99, then 100 to 499, and more than 500 at the top. It is useful for showing that the small-firm bands make up a large, steady share of total employment.

Societal impact

- **Innovation**: entrepreneurs introduce innovations into their societies, contributing to the emergence and growth of industries.

Impact on large firms

Small firms are sources of innovation for large firms, which buy them to enter new markets:

BUYER	SMALL FIRM ACQUIRED	PURPOSE GIVEN
Facebook	WhatsApp	To enter the mobile market
Microsoft (desktop software)	Skype	To enter the internet communications market
Intel (USA)	Mobileye (Israel)	Not stated on the slide

Exam tip: Question 2 of the mock midterm asks why small firms are often called the backbone of job creation in the United States, "including data from USBA (2018)", and for their advantages and disadvantages from quantitative and qualitative aspects. The USBA (2018) figures above (30.2 million firms, 99.9% of firms, 47.5% of private sector employees, 55% of jobs and 66% of net new jobs) and the previous chapter's features answer those parts.

Link to next topic → Session 3 moves from the firm to the country, asking how and why levels of entrepreneurial activity differ between nations.

CHECK YOURSELF

Answer from memory, then check below.

1. **Why did Facebook buy WhatsApp, according to Session 2?**
   - A. To enter internet communications
   - B. To enter the mobile market
   - C. To acquire an Israeli technology firm
   - D. To reduce competition in desktop software

2. **In 2015, which firm-size group added the fewest net jobs (SBA Office of Advocacy, 2018)?**
   - A. Firms with fewer than 20 employees
   - B. Firms with 20–99 employees
   - C. Microenterprises with five or fewer employees
   - D. Firms with 100–499 employees

3. RECALL **Acquisitions showing small firms as sources of innovation for large firms**

Answers 1. B **2.** D **3.** Facebook bought WhatsApp (mobile market); Microsoft bought Skype (internet communications); Intel (USA) acquired Mobileye (Israel).

PART C

SESSION 3 · GLOBAL ENTREPRENEURSHIP MONITOR AND COMPARATIVE DEVELOPMENT

CHAPTER 7 · SESSION 3 · CILO 1

Measuring entrepreneurship across countries: the Global Entrepreneurship Monitor and its activity index

PROBLEM
Countries seem to differ in how entrepreneurial they are, but without a common measure the differences cannot be compared or explained.

→

BIG IDEA
The Global Entrepreneurship Monitor (GEM) measures entrepreneurial activity the same way in many countries, using the Total Entrepreneurial Activity (TEA) index.

→

HOW (TOOLS)
GEM's objectives and methodology, the TEA index and its two parts, and the GEM 2018 findings on type, sector, gender, motivation and economic development.

→

RESULT
Students can explain how entrepreneurship is measured internationally and what GEM 2018 found.

IN PLAIN WORDS

The Global Entrepreneurship Monitor (GEM) set out to answer three questions: does entrepreneurial activity vary between countries and by how much, does it affect a country's economic growth and prosperity, and what makes a country entrepreneurial. Its revised objectives turn these into tasks: measure the differences, uncover the factors that determine national levels of activity, and identify policies that could raise them. GEM is long-term, longitudinal research. It began by comparing the Group of Seven (G7) countries (the United States of America (USA), the United Kingdom (UK), Canada, Japan, France, Germany and Italy) with Denmark, Finland and Israel, using phone surveys, and it uses face-to-face interviews in developing countries such as China, India and Uganda. It defines entrepreneurship broadly, as any attempt to create a new business or expand an existing one, by an individual, a team or an established business.

The central measure is the Total Entrepreneurial Activity (TEA) index: the percentage of the adult population who have taken some action towards creating a new business in the past year, or who own and manage an active business less than 42 months old. It combines two rates. The nascent start-up rate counts those still setting up a business; the new business ownership rate counts those actually owning and running an early-stage business. A chart in the slides (numbered 3.2 in the textbook; Bosma and Kelley, 2018) shows TEA rates for 49 economies in four regions, split into a necessity share and an improvement-driven opportunity share;

the rates run from a few per cent in Japan and much of Europe to around 40% in Angola.

GEM 2018 found that activity varies by type of business, industry sector, gender and motivation. The motivation finding is the one most used in argument. People start a business either to exploit an opportunity (opportunity entrepreneurs) or because other options for work are absent or unsatisfactory (necessity entrepreneurs). The share of opportunity entrepreneurs rises with national income, from 37% in low-income economies to 42% in middle-income and 51% in high-income economies. GEM also found no causal relationship between the level of entrepreneurial activity and a country's income or growth, but a U-shaped relationship with economic development: activity is relatively high in low- and middle-income countries, falls as income rises, and in high-income countries opportunity entrepreneurship begins to increase again while necessity entrepreneurship stays low.

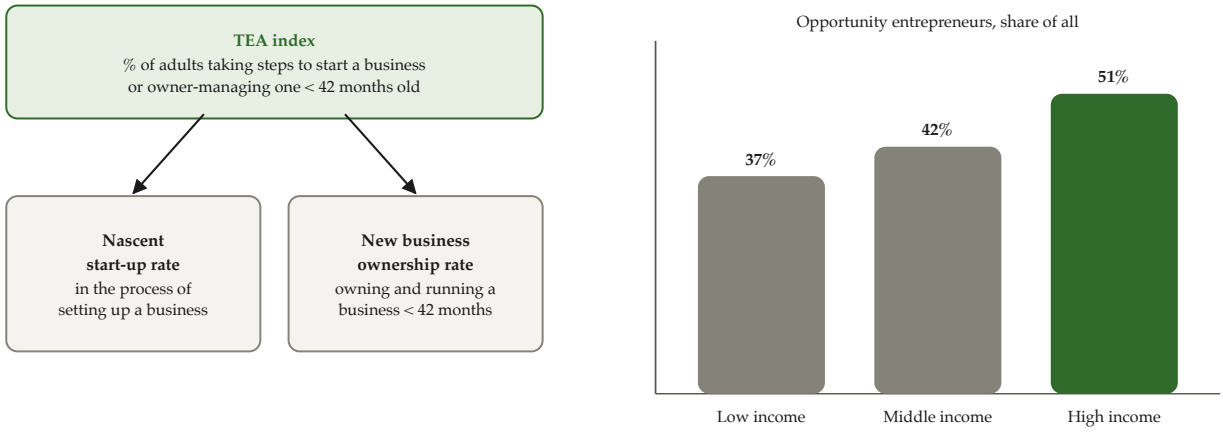


FIGURE 7.1 Left: the Total Entrepreneurial Activity (TEA) index adds people setting up a business to owner-managers of businesses under 42 months old. Right: the share of opportunity entrepreneurs rises with national income (GEM 2018 figures from the slides).

GEM objectives

Original questions

1. Does the level of entrepreneurial activity vary amongst countries and, if so, to what extent?
2. Does the level of entrepreneurial activity affect a country's rate of economic growth and prosperity?
3. What makes a country entrepreneurial?

Revised objectives

1. To measure differences in the level of entrepreneurial activity among countries.
2. To uncover factors determining national levels of entrepreneurial activity.
3. To identify policies that may enhance the national level of entrepreneurial activity.

GEM methodology

- **Design**: long-term longitudinal research.
- **Countries**: initially international comparisons in the G7 (USA, UK, Canada, Japan, France, Germany and Italy) and three others (Denmark, Finland and Israel).
- **Data collection**: phone surveys, and face-to-face interviews in developing countries (for example China, India and Uganda).
- **Definition used**: entrepreneurship is "any attempt to create a new business enterprise or to expand an existing business by an individual, a team of individuals or an established business".

The Total Entrepreneurial Activity (TEA) index

```
TEA = % of adults who, in the past year,
    took action towards a new business,
    or who own-manage a business
    less than 42 months old
TEA = nascent start-up rate
    + new business ownership rate
```

- **Nascent start-up rate**: those in the process of setting up a business.
- **New firm or new business ownership rate**: those actually owning and running early-stage businesses.

GEM 2018 key findings

VARIATION BY	FINDING
Entrepreneurship type	18.6% of TEA is in family businesses; 8.0% are solo businesses
Industry sector	The industry profiles of early-stage entrepreneurs are related to national income levels across countries
Gender	Across the world, men are twice as likely to start a business as women
Motivation	Opportunity entrepreneurs: 37% in low-income, 42% in middle-income, 51% in high-income economies. Entrepreneurs in low-income economies are more likely to be motivated by necessity than those in developed economies

Opportunity and necessity entrepreneurs

- **Opportunity entrepreneurs**: start a business to exploit a business opportunity.
- **Necessity entrepreneurs**: start a business to sustain themselves because all other options for work are absent or unsatisfactory.

Entrepreneurial activity and economic development

- **No causal relationship**: between the level of entrepreneurial activity and a country's GDP (gross domestic product), per capita income or national economic growth.
- **U-shaped relationship**: between the level of entrepreneurial activity and the level of economic development.
- **Low- and middle-income countries**: the level of entrepreneurship is relatively high, but it falls as income levels rise.
- **High-income countries**: necessity entrepreneurship is low, but opportunity entrepreneurship starts to increase as income levels rise.

> **Exam tip:** The midterm paper asks, from GEM 2018 data, what the TEA index is and how it is measured, how opportunity and necessity motivation differ across low-, middle- and high-income countries, and what the U-shaped relationship means. The 37%, 42% and 51% figures and the 42-month cut-off answer the first two parts directly.

Link to next topic → GEM shows that countries differ; Session 3 then looks at the external influences that explain why.

CHECK YOURSELF

Answer from memory, then check below.

1. The TEA index counts owner-managers of businesses up to what age?

A. Less than 12 months old
B. Less than 42 months old
C. Less than 24 months old
D. Less than 60 months old

2. Which are the two components of the TEA index?

A. Nascent start-up rate and new business ownership rate
B. Opportunity rate and necessity rate
C. Established business rate and employee entrepreneurship rate
D. Start-up rate and business exit rate

3. RECALL **The U-shaped relationship explained**

Answers 1. B **2.** A **3.** Low/middle-income countries: entrepreneurship relatively high but falls as income rises. High-income countries: necessity entrepreneurship low, but opportunity entrepreneurship starts to increase as income rises.

CHAPTER 8 · SESSION 3 · CILO 1

Why countries differ, part one: the political and economic environment

PROBLEM
Countries at different stages of development show very different levels and kinds of entrepreneurship.

→

BIG IDEA
Four external influences shape entrepreneurship in a country: political, economic, sociocultural and technological factors.

→

HOW (TOOLS)
Types of political system, two forms of government intervention, level of economic development, push and pull motivations, and the state of the economy.

→

RESULT
Students can explain how government and the economy encourage or hold back entrepreneurship in a given country.

IN PLAIN WORDS

Session 3 names four external influences on the international development of entrepreneurship: political, economic, sociocultural and technological factors (the PEST factors, as Session 5 calls this environment). This chapter covers the first two; the next covers culture, education and technology.

The political environment works in two ways. The first is the type of political system: a free market or central planning and communism. The second is government intervention, which can either set the conditions for enterprise or support the entrepreneurial process directly. Setting the conditions means tax reforms and regulations, such as the time it takes to set up and register a new business, low interest rates, and listing requirements for new and small firms. Direct measures mean reducing costs or providing finance, providing specialist advice, information, training and development, and investing in research and development (R&D).

The economic environment depends on the level of economic development and on the state of the economy. In developed economies, entrepreneurs tend to be pulled into business and to aim for continuity and long-term ownership. In developing economies they are more often pushed into business, business birth rates are higher (with risk avoidance and selling out), and social entrepreneurship appears. The state of the economy matters too. Total Entrepreneurial Activity (TEA) rates in the United States of America (USA) fell after the financial crisis of 2009/2010, yet high TEA rates in the late 2000s coincided with high unemployment.

In China, entrepreneurial activity has fallen over time, probably because sustained growth let many companies grow larger. The availability of jobs gives people a fall-back option if their venture fails, and favourable internal market dynamics with free and open markets matter for entrepreneurs, especially those selling at home.

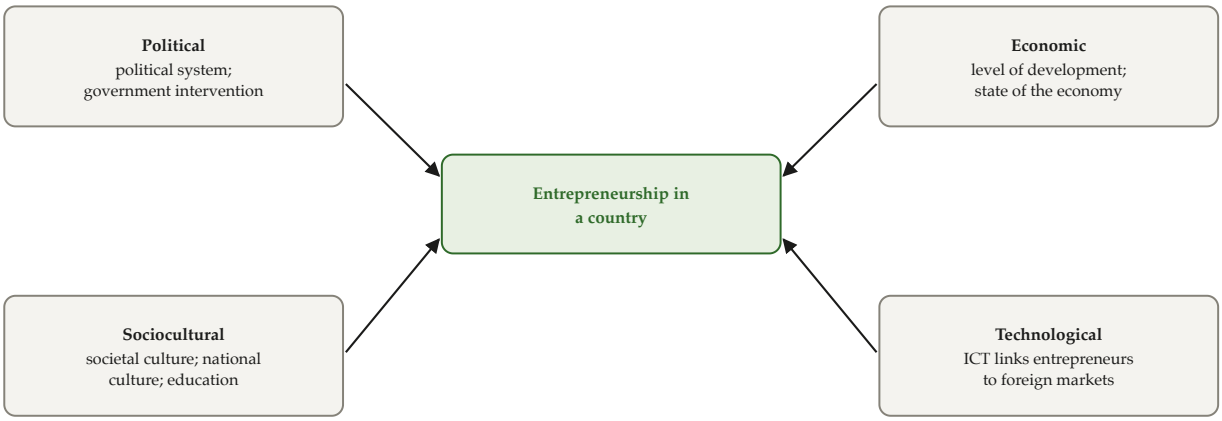


FIGURE 8.1 The four external influences Session 3 names (the PEST environment, as Session 5 calls it). The political environment works through the type of system and through government intervention, which either sets the conditions for enterprise or supports the entrepreneurial process directly.

The four external influences

1. **Political factors** type of political system and government intervention.
2. **Economic factors** level of economic development and state of the economy.
3. **Sociocultural factors** societal culture, national culture and the role of education.
4. **Technological factors** technology that connects entrepreneurs with international markets.

Political environment

Types of political system

- **Free market** versus **central planning/communism**.

Government intervention

Setting the conditions for enterprise

- **Tax reforms and regulations**: for example the time to set up and register new businesses, low interest rates, and listing requirements for new and small firms.

Direct measures to support the entrepreneurial process

- **Cost**: cost reduction and provision of finance.
- **Know-how**: specialist advice, information, training and development.
- **R&D**: investment in research and development.

Economic environment

- **Level of economic development**
- **State of the economy**

Developed and developing economies: differing motivations and goals

	DEVELOPED ECONOMIES	DEVELOPING ECONOMIES
Motivation	Pull motivations	Push motivations
Goal	Continuity of business (long-term ownership)	Higher business birth rates (risk avoidance, sell-out)
Also	–	Social entrepreneurship

State of the economy

- **USA after the crisis**: TEA rates in the USA went down after the financial crisis in 2009/2010.
- **Open markets**: favourable internal market dynamics, and free and open markets, are critical for entrepreneurs and business owners, especially those who sell domestically.
- **Fall-back options**: the availability of jobs signals a fall-back option for those whose entrepreneurial efforts do not work out.

- **China**: entrepreneurial activity has diminished over time, probably due to the increased scale of growth of many companies as a consequence of sustained economic growth.
- **USA, late 2000s**: high TEA rates coincided with a period of high unemployment.

> **Exam tip:** The midterm asks how political, economic, sociocultural and technological factors influence the development of international entrepreneurship. This chapter supplies the political and economic parts; the next chapter supplies the sociocultural part, with Hofstede's dimensions, and the technological part.

Link to next topic → Session 3 continues with the sociocultural and technological influences: societal culture, Hofstede's dimensions of national culture, education and technology.

CHECK YOURSELF

Answer from memory, then check below.

1. **Investment in R&D and provision of specialist advice are examples of which form of government intervention?**
   - A. Setting the conditions for enterprise
   - B. Direct measures to support the entrepreneurial process
   - C. Central planning
   - D. Tax reform

2. **Which describes entrepreneurship in developing economies, according to Session 3?**
   - A. Pull motivations and long-term ownership
   - B. Low business birth rates and continuity
   - C. Mainly corporate entrepreneurship
   - D. Push motivations and higher business birth rates

3. (RECALL) **Government intervention: setting the conditions for enterprise**

Answers 1. B **2.** D **3.** Tax reforms and regulations, e.g. time to set up and register new businesses, low interest rates, listing requirements for new and small firms.

CHAPTER 9 · SESSION 3 · CILO 1

Why countries differ, part two: culture, education and technology

PROBLEM
Two countries with similar politics and economies can still differ in how much people value and attempt entrepreneurship.

→

BIG IDEA
Culture, at the level of society and of the nation, shapes attitudes to entrepreneurship; education and technology also influence it.

→

HOW (TOOLS)
Societal attitudes, self-perceptions and affiliations; Hofstede's five dimensions of national culture; the role of universities; information and communication technology.

→

RESULT
Students can use Hofstede's dimensions and the cultural measures of the Global Entrepreneurship Monitor (GEM) to explain differences between countries.

IN PLAIN WORDS

The cultural environment for entrepreneurship has two layers: societal culture and national culture. Societal culture, as GEM measures it, covers three things. Societal attitudes are whether people think successful entrepreneurs have high status, whether they see starting a business as a good career choice, and how much media attention entrepreneurship receives. Self-perceptions are whether people think it is easy to start a business where they live. Affiliations are people's links to entrepreneurs in their social networks, which provide role models and a range of experienced, eager stakeholders such as investors, board members, partners and mentors.

These measures show both consistency and wide differences between regions. In North America and Europe, more people believe successful entrepreneurs have high status than think entrepreneurship is a good career choice, and there are cultural differences even between the United States of America (USA) and Europe. In Latin America and the Caribbean the pattern is reversed: more people think entrepreneurship is a good career than believe it brings high status. North America generally shows lower levels of affiliation; the Middle East shows the highest and Africa the lowest.

National culture is defined as a set of historically evolved, learned values, attitudes and meanings shared by members of a community, which influences their material and non-material way of life. Hofstede (1991) describes it along five

dimensions, and the slides give the countries scoring highest and lowest on each. Beyond culture, universities foster entrepreneurship by providing knowledge, conditioning mindsets, and providing support infrastructure such as incubation and support networks. Technology is the fourth external influence: information and communication technology (ICT) connects entrepreneurs with international markets and customers and lets them coordinate activities at a distance, so they can sell outside their home market.

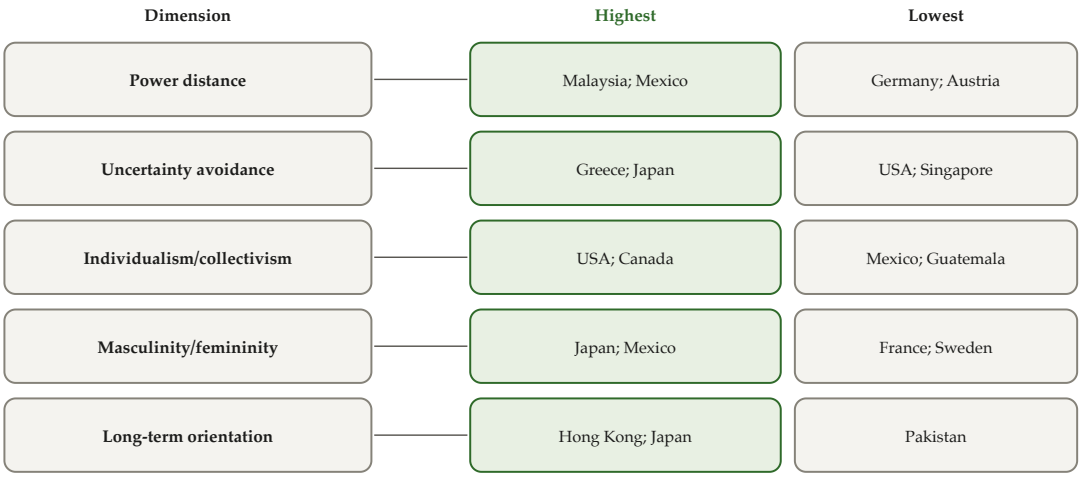


FIGURE 9.1 Hofstede's five dimensions of national culture and the example countries the slides give at each extreme. The mock midterm asks for these dimensions in its question on the external factors behind international entrepreneurship.

Cultural environment for entrepreneurship

- **Societal culture**
- **National culture**

Societal culture: three GEM measures

MEASURE	WHAT IT COVERS
Societal attitudes	Whether successful entrepreneurs are conferred high status; whether starting a business is a good career choice; how much media attention entrepreneurship receives
Self-perceptions	Whether people think it is easy to start a business in their locale
Affiliations	Social networks with entrepreneurs that provide role models and experienced, eager stakeholders such as investors, board members, partners and mentors

Regional patterns in societal culture

- **North America and Europe**: most people believe successful entrepreneurs have high status more than they think entrepreneurship is a good career choice; there are cultural differences even across the USA and Europe.
- **Latin America and the Caribbean**: more people think entrepreneurship is a good career than believe it affords high status.
- **Affiliations**: North America generally shows lower levels; the Middle East displays the highest and Africa the lowest affiliations with entrepreneurs.

National culture: Hofstede's dimensions (Hofstede, 1991)

Culture is a set of historically evolved learned values, attitudes and meanings shared by members of a given community that influences their material and non-material way of life.

DIMENSION	MEANING	HIGHEST	LOWEST
Power distance	Extent to which society accepts an unequal distribution of power	Malaysia; Mexico	Germany; Austria
Uncertainty avoidance	Extent to which society feels threatened by uncertain and ambiguous situations	Greece; Japan	USA; Singapore
Individualism / collectivism	Extent to which society values individual freedom and independence of action compared with a tight social framework and loyalty to the group	USA; Canada	Mexico; Guatemala
Masculinity / femininity	Extent to which society is oriented towards money and things (masculine) or towards people (feminine)	Japan; Mexico	France; Sweden
Long-term orientation	Extent to which society is oriented towards the long versus the short term	Hong Kong; Japan	Pakistan

Role of education

Universities foster entrepreneurship by:

1. **Providing knowledge** teaching what entrepreneurs need to know.
2. **Conditioning mindsets** shaping how students think about entrepreneurship.
3. **Providing support infrastructure**

		such as incubation and support networks.

Technology

- **Connection**: information and communication technology (ICT) enables entrepreneurs to connect with international markets and customers.
- **Coordination**: technology helps entrepreneurs coordinate activities at a distance, making it possible to sell in markets outside their home market.

> **Exam tip:** The midterm asks for the influence of political, economic, socio-cultural and technological factors "referring to Hofstede's cultural dimensions", and the instructions ask students to name scholars such as Hofstede and GEM 2018. Naming each dimension with its highest and lowest countries shows that understanding.

Link to next topic → Session 3 ends by warning that comparing entrepreneurship across countries is not simple, and by introducing GEM's index of the national entrepreneurship context.

CHECK YOURSELF

Answer from memory, then check below.

1. **In GEM's measures of societal culture, 'affiliations' refers to what?**
   - A. Social networks with entrepreneurs that provide role models and stakeholders
   - B. Whether people think it is easy to start a business locally
   - C. Media attention given to entrepreneurship
   - D. Membership of business associations
2. **Which country does Session 3 list as lowest on uncertainty avoidance, together with Singapore?**
   - A. Japan
   - B. USA
   - C. Greece
   - D. Germany
3. RECALL **Societal attitudes (GEM)**

Answers 1. A **2.** B **3.** Whether successful entrepreneurs have high status, whether starting a business is a good career choice, and how much media attention entrepreneurship receives.

CHAPTER 10 · SESSION 3 · CILO 1

Comparing countries with care: key issues, regional variations and the national context index

PROBLEM
External factors do not act alone or in the same direction everywhere, so simple comparisons between countries mislead.

→

BIG IDEA
International comparisons must allow for ambiguity, interdependence, differing forms and goals of entrepreneurship, and regional variation; the Global Entrepreneurship Monitor (GEM) adds a composite index of the national context.

→

HOW (TOOLS)
Four key issues, the Asian business systems (kaisha, chaebol, guanxi), challenges in assessing culture, and the National Entrepreneurship Context Index (NECI).

→

RESULT
Students can qualify a cross-country comparison and read NECI rankings.

IN PLAIN WORDS

Session 3 names four key issues in comparing entrepreneurship across countries. The first is ambiguity in the impact of specific factors. Economically successful nations score very differently on each of Hofstede's dimensions, which suggests there are no easily defined "right" or "wrong" conditions for entrepreneurship. Much also depends on how the outcome is defined: in Korea and Japan, for example, large-scale organizations are the focus. The second issue is interdependence. Political and economic influences are not independent of each other; less developed countries usually have unstable and unpredictable environments, which shortens business life; and political, economic and cultural factors are interrelated. Entrepreneurs in developed European countries, for instance, are the most individualistic and display self-confidence in their entrepreneurial ability.

The third issue is that entrepreneurship takes different forms and pursues different goals. In collectivist Asian countries, enterprise often shows itself through large organizations, and the presence of large firms itself creates entrepreneurial opportunities; social ventures must also be counted. The business systems of Asia differ in purpose: the Japanese kaisha serves employment, the Korean chaebol

serves national development goals, and Chinese guanxi serves the creation and preservation of family fortunes through networking. The fourth issue is regional variation: societal attitudes vary more between economies within a region than across regions, Taiwan has low start-up rates but high established-business and employee-entrepreneurship rates, and some regions form clusters of entrepreneurship such as Silicon Valley. Assessing culture is itself hard, because culture has different levels, society has different layers, and entrepreneurship happens in different units.

To compare the environment rather than the activity, GEM introduces the National Entrepreneurship Context Index (NECI). It is a composite index built from twelve framework conditions, each weighted by the importance experts place on it. The results show where a country's ratings on the conditions fall short, especially compared with the importance placed on them. Table 3.1 ranks 54 economies; the slide shows the top 19, led by Qatar with 6.7 out of 10.

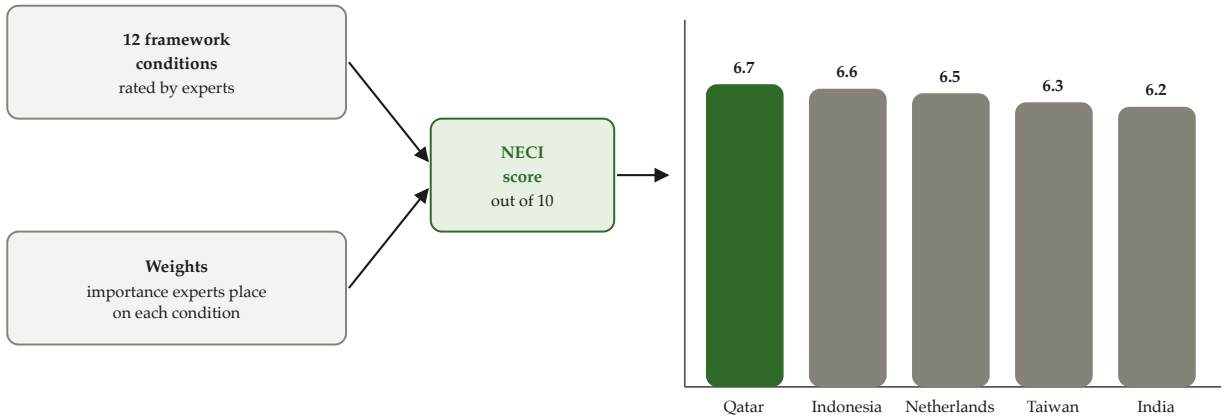


FIGURE 10.1 Left: how GEM builds the National Entrepreneurship Context Index (NECI). Right: the five highest-ranked of the 54 economies in Table 3.1 (Bosma and Kelley, 2018). Two of the top five, Indonesia and India, are shown in the table as low-income economies.

Four key issues in international comparisons

1 **Ambiguity** in the impact of specific external factors.	2 **Interdependence** of various external factors.	3 **Differing forms and goals** of entrepreneurship.	4 **Regional variations** in the development of entrepreneurship.

Ambiguity in the impact of specific external factors

- **No single recipe**: economically successful nations show significantly different scores on each of Hofstede's dimensions, suggesting no easily defined "right" or

"wrong" conditions for entrepreneurship.
- **Outcome definition**: much depends on how the outcome variable is defined; for example, large-scale organizations are the focus in Korea and Japan.

Interdependence of external factors

- Political and economic influences are not independent of each other.
- Less developed countries typically have unstable and unpredictable environments, which affects business longevity.
- Political and market conditions are both important for entrepreneurship.
- Political, economic and cultural factors are interrelated.
- Entrepreneurs in developed European countries are the most individualistic and display self-confidence in their entrepreneurial ability.

Differing forms and goals of entrepreneurship

- Enterprise in collectivist Asian countries is manifested in the form of large organizations.
- Entrepreneurial opportunities are created by the presence of large firms.
- Social ventures, created to solve social problems, must also be considered.

Regional variations: business systems in Asia

SYSTEM	COUNTRY	GOAL AND CHARACTER
Kaisha	Japan	Employment; large, professionally managed and complex enterprise
Chaebol	South Korea	National development goals of the country; large family businesses managed like a regiment
Guanxi	China	Create and sustain family fortunes in family businesses; share information based on networking

Regional variations: other points

- **Within versus across**: societal attitudes to entrepreneurship vary more among economies within regions than across regions.
- **Multiple indicators**: Taiwan has lower start-up rates than its regional neighbours, but its established business rates and employee entrepreneurship

rates are high (GEM, 2018).

- **Regional clusters**: regional clusters of entrepreneurship, for example Silicon Valley.

Challenges in assessing the role of culture

CHALLENGE	EXAMPLE GIVEN
Different levels of culture	High power distance, yet highly competitive Japanese and Korean organizations, due to unique business values
Different layers of society	Age, social class, gender, occupation, family and religion
Different units of entrepreneurship	Individual, group and community

National Entrepreneurship Context Index (NECI)

- **Purpose**: a composite index introduced by GEM to assess the environment for entrepreneurship in an economy.
- **Construction**: derived from twelve framework conditions, weighted by the importance experts place on them.
- **Use**: identifies gaps between ratings on the framework conditions in different economies, particularly in relation to the importance placed on them.

NECI top ten (textbook Table 3.1; Bosma and Kelley, 2018)

RANK	ECONOMY	REGION	INCOME LEVEL	NECI SCORE (OUT OF 10)
1	Qatar	Middle East and Africa	High	6.7
2	Indonesia	East and South Asia	Low	6.6
3	Netherlands	Europe and North America	High	6.5
4	Taiwan	East and South Asia	High	6.3
5	India	East and South Asia	Low	6.2
6	United States	Europe and North America	High	6.0
7	United Arab Emirates	Middle East and Africa	High	5.9

8	Luxembourg	Europe and North America	High	5.7
9	Switzerland	Europe and North America	High	5.7
10	France	Europe and North America	High	5.6

Ranks 11 to 19 on the slide are China (5.6), Canada, Austria, Republic of Korea and Thailand (5.5 each), and Spain, Ireland, Sweden and Germany (5.4 each). A further chart in the slides (numbered 3.5 in the textbook) plots the NECI scores of all the economies by region; Mozambique has the lowest bar, a little above 3.

Link to next topic → Session 3 points to regional clusters such as Silicon Valley; Session 4 takes up regions as a unit of international entrepreneurship in their own right.

CHECK YOURSELF

Answer from memory, then check below.

1. **Which Asian business system has the goal of national development and is managed like a regiment?**
   - A. Chaebol (South Korea)
   - B. Kaisha (Japan)
   - C. Guanxi (China)
   - D. Hallyu (Korea)
2. **How is GEM's National Entrepreneurship Context Index (NECI) built?**
   - A. From TEA rates in 54 economies
   - B. From Hofstede's five dimensions
   - C. From twelve framework conditions weighted by the importance experts place on them
   - D. From the share of opportunity entrepreneurs
3. RECALL **Four key issues in international comparisons of entrepreneurship**

Answers 1. A **2.** C **3.** Ambiguity in impact of specific external factors; interdependence of factors; differing forms and goals of entrepreneurship; regional variations.

PART D

SESSION 4 · THE LOCAL AND REGIONAL DIMENSIONS OF INTERNATIONAL ENTREPRENEURSHIP

CHAPTER 11 · SESSION 4 · CILO 1 AND 2

Where entrepreneurship happens: regions and knowledge spillovers

PROBLEM
Countries are too large a unit to explain why some places produce far more innovation and new firms than others.

→

BIG IDEA
Regions are the level at which entrepreneurship develops, and knowledge that leaks between nearby organizations, called knowledge spillovers, explains much of how regions evolve.

→

HOW (TOOLS)
The rationale for a regional view, the concept of regions, and the knowledge spillover concept with its four channels and enabling factors.

→

RESULT
Students can explain why location matters for international entrepreneurship and how spillovers raise a region's innovation.

IN PLAIN WORDS

Session 4 starts from a practical observation. Businesses trade, form alliances, network, invest overseas and set up offshore operations based on what they know about attractive regions elsewhere. Supply and value chains are increasingly international, and products are made and sold worldwide at a faster pace. The session adds that the more global a region is in economic terms, the more likely it is also a powerful local economy. Knowing different environments is therefore central to understanding how firms in different parts of the world engage in international entrepreneurship. The chapter in the textbook runs in four parts: the concept of regions, knowledge spillovers, the human, social and entrepreneurial capital of regions, and growth corridors.

The term "region" is linked to the governance of policies and institutions that promote economic development, social cohesion and environmental welfare. Its meaning varies by country but usually refers to a sub-national administrative unit, though it can also cover several countries, as in the European Region or Community. A region's identity rests on the beliefs, values and cultural perceptions of its people. Interest in regional innovation systems and regional competitiveness grew before and with globalization. Watching business formation in regions helps entrepreneurs judge whether they can work with dynamic, innovative firms elsewhere, and helps policy makers recalibrate local strategies. Regions differ significantly, both between and within countries.

Knowledge spillovers (KSs) are knowledge externalities bounded in space. Knowledge created in one organization is "leaky", so rivals nearby can take some of it without creating it themselves. Firms close to sources of knowledge, intelligence and data can therefore innovate faster than rivals located elsewhere. The spillovers flow through employees changing jobs, knowledge exchange with universities, informal collaboration among firms, and the sharing of know-how along value chains. How much knowledge a region creates and spills over distinguishes its level of innovation and new firm creation.

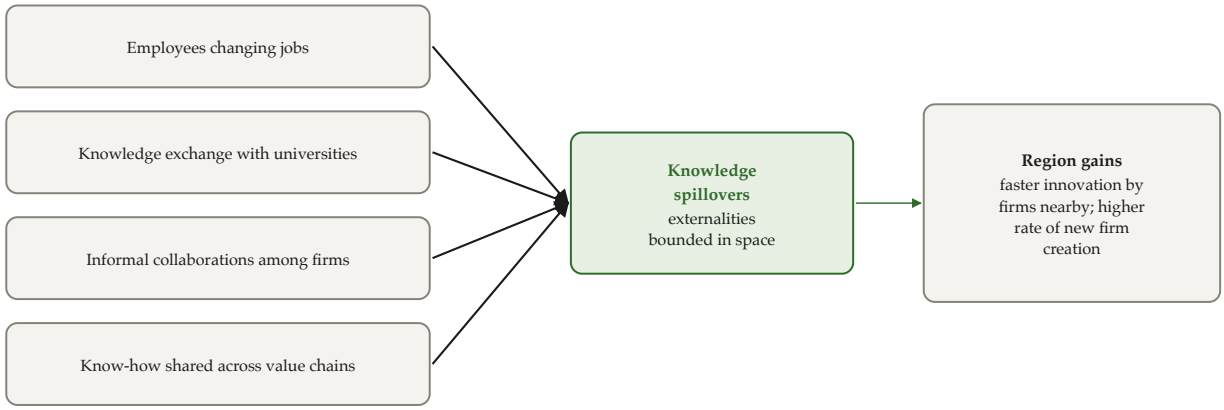


FIGURE 11.1 How knowledge spillovers (KSs) work in Session 4. Knowledge leaks out of the organization that created it through four channels. Firms close to the source can use it without creating it themselves, so the region innovates faster and forms more new firms.

Rationale for a regional view

- **Regional information**: businesses trade, make strategic alliances, network, invest overseas and set up offshore operations based on information they collect about alternative, attractive regions.
- **Global chains**: there is increasing dependency on international supply and value chains, and an accelerating pace at which products are made and sold worldwide.
- **Global and local**: the more global a region is in economic terms, the greater the likelihood that it is also a powerful local economy.
- **Knowledge of environments**: central to understanding how firms in different parts of the world engage in international entrepreneurship and business.

Structure of the chapter

1 **Part One** the concept of	2 **Part Two** knowledge	3 **Part Three** human, social and	4 **Part Four** how regions connect

"regions".	spillovers, which underpin how many regions evolve.	entrepreneurial capital in regions and cities.	with regions in neighbouring countries through growth corridors.

The concept of regions

- **Governance**: "regions" is associated with governance of policies of institutions facilitating economic development, social cohesion and environmental welfare, as part of the making and distribution of public and private goods.
- **Level**: the term varies by country but tends to focus on the sub-national administrative unit.
- **Supranational regions**: regions can encompass countries, as in the European Region or Community (an economic and quasi-political union).
- **Identity**: a region's identity is based on arrangements and reconfigurations of beliefs, values and cultural perceptions of groups of people.
- **Growing interest**: in "regional innovation systems", "regional competitiveness" and "regional systems", both before and with the emergence of globalization.
- **Use to entrepreneurs**: observing business formation in regions lets entrepreneurs and businesses evaluate whether they can work with dynamic, innovative firms in other regions.
- **Use to policy makers**: they need to recalibrate local strategies for attracting new firms and supporting new innovative firms.
- **Variation**: there are significant variations between and within countries' regions.

Knowledge spillovers (KSs)

- **Definition**: knowledge externalities bounded in space.
- **Proximity advantage**: firms near key sources of knowledge, intelligence and data introduce innovations faster than rivals located elsewhere.
- **Leaky knowledge**: knowledge created in one organization can leak, letting rivals appropriate some of it without having to create it.
- **Regional differences**: levels of innovation and new firm creation in a region can be distinguished by the extent to which knowledge is created and spilled over.
- **Enabling factors**: the KS effect is enabled by physical, institutional, social and socio-psychological factors, which help establish framework conditions for entrepreneurship and wealth creation in a region.

Four channels of spillover

1 Job mobility employees changing jobs.	**2 Universities** knowledge exchange with universities.	**3 Informal collaboration** informal collaborations among firms.	**4 Value chains** the necessity of sharing know-how across value chains.

Exam tip: Topic A of the midterm's last question opens with "Explain the concepts of regions and knowledge spillovers." The definition of KSs as "knowledge externalities bounded in space", the leaky-knowledge idea and the four channels answer it in the course's terms.

Link to next topic → Spillovers depend on people and their relationships, so Session 4 turns next to the human, social and entrepreneurial capital of regions, and then to the corridors that link regions across borders.

CHECK YOURSELF

Answer from memory, then check below.

1. How does Session 4 define knowledge spillovers?

A. Knowledge protected by patents within a region
B. Technology transferred between countries by treaty
C. Knowledge sold by universities to firms
D. Knowledge externalities bounded in space

2. The term 'region' usually refers to which level, according to Session 4?

A. A group of continents
B. A sub-national administrative unit
C. A single city block
D. Any country with a free market

3. RECALL **Four channels of knowledge spillover**

Answers 1. D **2.** B **3.** Employees changing jobs; knowledge exchange with universities; informal collaborations among firms; sharing know-how across value chains.

CHAPTER 12 · SESSION 4 · CILO 1 AND 2

What makes a region competitive: regional capital and growth corridors

PROBLEM
Regions with similar resources can differ widely in competitiveness, and local regions need ways to connect beyond their borders.

→

BIG IDEA
A region's mix of human, social, technological and entrepreneurial capital measures its competitiveness, and growth corridors link regions within and across countries.

→

HOW (TOOLS)
Human, social and entrepreneurial capital; the corridor concept, the Maputo Development Corridor, the evolution from transport to economic corridor, and global value chains.

→

RESULT
Students can explain how regions build a local edge and become connected, transnational hubs.

IN PLAIN WORDS

Part Three of Session 4 asks what makes a region competitive. A place's ability to attract talent and tolerate the diversity of talented people combines with its capacity for invention and new technology. Some authors argue that human capital is the key to economic growth, especially in cities. Others say social capital matters more, because it draws on people beyond the individual entrepreneur: their networks and relationships. Cultural diversity in urban networks brings in different kinds of human capital, which promotes innovation, speeds up information flows and fosters new ideas, leading to more new firms. Institutions, good governance and the generation and attraction of talent give countries and regions a local edge over their neighbours. This amalgam of institutions, talent and technology can be called creative entrepreneurial capital.

Entrepreneurial capital is a composite form of capital, defined at the economic level (region and industry), the organizational level, and the personal level (team and individual). A good regional development strategy raises a region's competitive capacity by drawing on place and space and on its mix of human, social, technological and entrepreneurial capital. The combination and strength of these assets is a good way of measuring regional competitiveness.

Part Four explains how regions connect with regions in neighbouring countries. Corridors are bundles of infrastructure, such as rail links for passengers or freight

and highways, that connect two or more urban areas in one country or across adjacent countries, enhanced by ICT (information and communication technology), power lines and pipes. Growth corridors are instruments for boosting economic development in developing economies, an idea drawn from the World Economic Forum and the World Bank's World Development Reports. The first was the Maputo Development Corridor (MDC), set up in 1996, whose success led the New Partnership for Africa's Development (NEPAD) to replicate the model across Africa. A corridor develops in stages: hard infrastructure creates a transport corridor; rising traffic calls for soft infrastructure; and the efficiency that follows attracts investment, creating an economic corridor. The session adds that interest in global value chains (GVCs) has since overtaken interest in regional economic corridors.

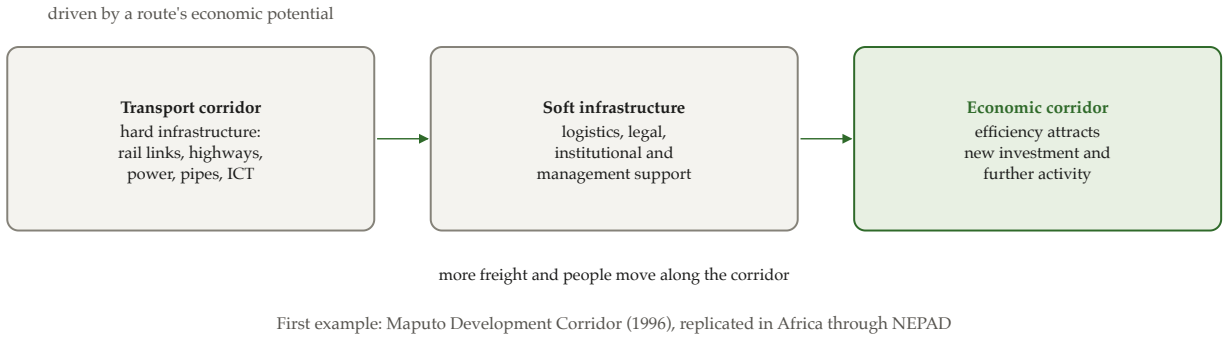


FIGURE 12.1 The three stages through which Session 4 says a growth corridor develops. Hard infrastructure creates a transport corridor; rising traffic calls for soft infrastructure; the ripple effect of efficiency attracts investment and an economic corridor emerges.

Human, social and entrepreneurial capital of a region

FORM OF CAPITAL	WHAT THE SLIDES SAY
Human capital	Some authors argue it is the key to economic growth, especially in urban areas. Cultural diversity of urban networks brings in different kinds of human capital, promoting innovation, accelerating information flows and fostering new ideas, leading to a higher rate of new firm formation
Social capital	Others argue it has a more integral role than human capital because it harnesses the contributions of people other than the individual entrepreneur: their networks and relationships
Creative entrepreneurial capital	The amalgam of institutions, talent and technology. Institutions, good governance and talent generation and attraction give countries and regions a local edge over neighbours

Entrepreneurial capital	A composite form of capital, defined at the economic (region and industry), organizational, and personal (team and individual) levels of analysis

- **Talent and tolerance**: an environment's capacity to attract talent and tolerate the diversity of talented people fuses with its capabilities for invention, new technologies and innovation.
- **Regional strategy**: good regional development strategy increases competitive capacity by drawing on the nexus of place and space and its mix of human, social, technological and entrepreneurial capital.
- **Measuring competitiveness**: the combination of these regional assets, and their strength or value, is a good way of measuring regional competitiveness.

Growth corridors

- **Corridors**: bundles of infrastructure, including rail links for passenger or freight transport and highways, that connect two or more urban areas in the same country or across adjacent countries.
- **Enhanced infrastructure**: ICT infrastructure, electricity power lines and cables, and pipes for drinking water, natural gas, crude oil, electricity and sewage.
- **Purpose**: growth corridors are instruments to boost economic development in developing economies; the idea was based on deliberations at the World Economic Forum and the World Bank's World Development Reports.
- **Reach**: corridors can be limited to single countries or run across urban and rural areas in one or more countries.
- **Focus and funding**: they can be specialized in one sector or diversified, funded by local and national governments, private firms, public-private partnerships, multilateral agencies and even non-governmental organizations.
- **First corridor**: the Maputo Development Corridor (MDC), set up in 1996. Its broad success led to the New Partnership for Africa's Development (NEPAD) enabling replication throughout Africa.
- **Driver**: the economic potential of a basic transport route drives the development of a corridor.

From transport corridor to economic corridor

1 Transport corridor	2 Soft infrastructure	3 Economic corridor
hard infrastructures supporting the transport	a growing volume of freight and people calls for improved	the ripple effect of efficient operations stimulates further

modes allow a transport corridor to develop.	logistics, legal, institutional and management support.	economic activity and attracts new investment.

- **Global value chains (GVCs)**: have overtaken interest in regional economic corridors, representing the integration of the international value chains of individual and connected sectors.

Chapter summary: regions as international hubs

- Regions, and in particular cities, become international hubs or focal points of global economic and cultural activities.
- Regions have cultivated different forms of human, social, creative and entrepreneurial capital alongside infrastructure and institutions.
- The resulting mix secures a symbolic space for cultivating talent, technology and capabilities, and a representational place for different businesses, institutions, networks and support services.
- The critical mass is partly a function of internationalization or globalization: such regions bring the world outside into their local environments.

Learning objectives listed for this session

- **LO4**: Understand and evaluate how local regions connect with cross-border regions and become transnational regions through growth corridors.
- **LO5**: Critique concepts and theories of local and regional entrepreneurship development and their relevance for global entrepreneurship and innovation.

> **Exam tip:** Topic A of the midterm asks for the role of human, social and entrepreneurial capital, an analysis of how growth corridors such as the Maputo Development Corridor connect local regions with cross-border regions to create transnational regions (the wording of LO4), and real examples of regional clusters such as Silicon Valley. The cluster example in the materials is Silicon Valley, given in Session 3.

Link to next topic → Session 4 shows where international entrepreneurship takes root; Session 5 explains how small firms actually go international.

CHECK YOURSELF

Answer from memory, then check below.

1. **In the evolution of a corridor, what follows the growth of freight and people moving along a transport corridor?**
   - A. Improvement of soft infrastructure: logistics, legal, institutional and management support
   - B. Construction of the first highway
   - C. Closure of the route to new investors
   - D. Conversion into a global value chain
2. **What was the first growth corridor, set up in 1996?**
   - A. Silicon Valley
   - B. The European Region
   - C. The Maputo Development Corridor
   - D. The NEPAD corridor in Kenya
3. RECALL **Three stages from transport to economic corridor**

Answers 1. A **2.** C **3.** Hard infrastructure creates a transport corridor; rising freight and people call for soft infrastructure (logistics, legal, institutional, management); efficiency attracts investment, creating an economic corridor.

PART E

SESSION 5 · THEORIES OF SMALL FIRM INTERNATIONALIZATION

CHAPTER 13 · SESSION 5 · CILO 1 AND 2

Going international: what internationalization means, how often small firms do it and why

PROBLEM
Small firms contribute heavily to exports, yet relatively few of them go international.

→

BIG IDEA
Internationalization is a process of increasing international involvement along a continuum, and it offers small firms clear benefits.

→

HOW (TOOLS)
Luostarinen's continuum, the Global Entrepreneurship Monitor's 25% threshold, U.S., Japanese and Korean evidence, four benefits and three theories.

→

RESULT
Students can define internationalization, describe its incidence among small firms and list why entrepreneurs pursue it.

IN PLAIN WORDS

Internationalization is the process of increasing involvement in international operations. Luostarinen (1994) describes it as a continuum that runs from import activity, or domestic internationalization, through extra-regional expansion, to full globalization. The Global Entrepreneurship Monitor (GEM, 2018) gives a working threshold: entrepreneurs count as international when 25% or more of their sales come from customers outside their economy. In general, internationalization of small and medium-sized enterprises (SMEs) is greater in small, open economies and lower in large, more self-contained ones, although this is not always the case.

The evidence on incidence is mixed. In the United States of America (USA) in 2015, more than 95% of firms that exported services had fewer than 250 employees, and they accounted for almost half the value of U.S. services exports; firms with fewer than 10 employees accounted for almost a quarter. Yet small firms are underrepresented in international markets overall: only a very small share of U.S. services firms export, and SMEs investing abroad are only 0.1% of SMEs in Japan and 0.03% in Korea.

Internationalization matters because it lets entrepreneurs reach foreign markets and raise sales and profits, offset declining domestic sales and spread business risk, improve product quality, and lower production costs through economies of scale. Session 5 explains how small firms internationalize through three theories: the stages (Uppsala) model, network theory and the resource-based theory, each covered in the following chapters.

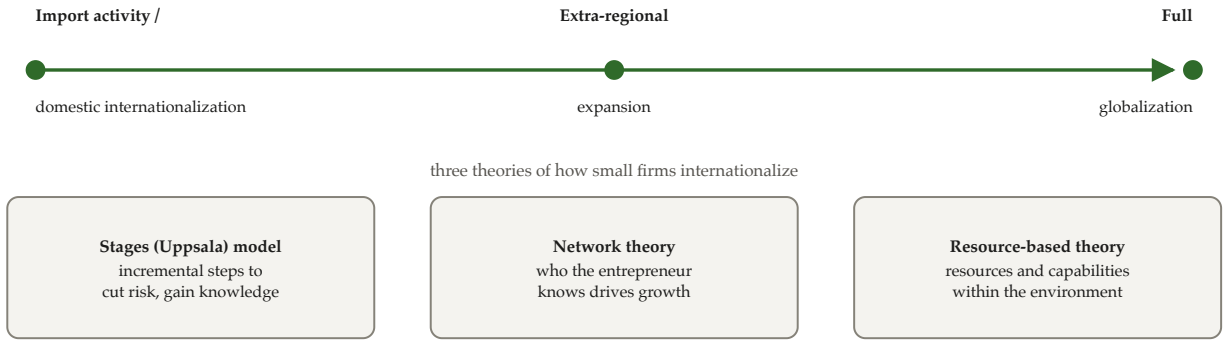


FIGURE 13.1 Internationalization as a continuum (Luostarinen, 1994), and the three theories Session 5 uses to explain how small firms move along it.

Definitions

- **Internationalization**: the process of increasing international involvement in international operations; a continuum from import activity or domestic internationalization (through extra-regional expansion) to full globalization (Luostarinen, 1994).
- **International entrepreneur (GEM, 2018)**: an entrepreneur with 25% or more of sales from customers outside their economy.
- **Economy size**: SME internationalization is generally greater in small, open economies and less in large, more self-contained economies, though not always.

Incidence of small firm internationalization

Vital contributors (USA, 2015)

- More than 95% of U.S. firms that exported services had fewer than 250 employees, and accounted for almost half the total value of U.S. services exports.
- Firms with fewer than 10 employees accounted for almost a quarter of the value of U.S. services exports.

Underrepresented

- Only a very small share of all U.S. services firms export.
- SMEs investing abroad account for only 0.1% of SMEs in Japan and 0.03% in Korea.

Relevance: what internationalization allows

1 **Market access** access foreign	2 **Risk** offset declining sales	3 **Quality** benefit from	4 **Cost** lower production

markets; increase sales and profits.	in the domestic market; disperse business risk.	improved product quality.	costs; economies of scale, or lower unit costs as volume rises.

Theories of internationalization

1 Stages model the stages (Uppsala) model of internationalization.	**2 Network theory** the network theory of internationalization.	**3 Resource-based theory** the resource-based theory (RBT).

Link to next topic → The first of the three theories is the stages (Uppsala) model, which sees internationalization as gradual.

CHECK YOURSELF

Answer from memory, then check below.

1. **Luostarinen (1994) describes internationalization as a continuum ending in what?**
   - A. Export via agents
   - B. Full globalization
   - C. Foreign direct investment in one country
   - D. Domestic internationalization
2. **Which evidence shows that small firms are underrepresented in international markets?**
   - A. Over 95% of U.S. services exporters have fewer than 250 employees
   - B. Small firms account for almost half of U.S. services exports
   - C. SME internationalization is greater in small, open economies
   - D. SMEs investing abroad are only 0.1% of SMEs in Japan and 0.03% in Korea
3. RECALL **Internationalization (Luostarinen, 1994)**

Answers 1. B **2.** D **3.** The process of increasing involvement in international operations: a continuum from import activity or domestic internationalization, through extra-regional expansion, to full globalization.

CHAPTER 14 · SESSION 5 · CILO 1 AND 2

Step by step abroad: the stages (Uppsala) model and its critique

PROBLEM
Going abroad is risky and uncertain for a small firm that knows little about foreign markets.

→

BIG IDEA
The stages (Uppsala) model says small firms internationalize incrementally, in sequence, to cut risk and build market knowledge.

→

HOW (TOOLS)
Pre-export behaviour, psychic distance for market selection, the four-step establishment chain, and a critique.

→

RESULT
Students can describe a firm's entry path with the model and say where the model fails.

IN PLAIN WORDS

The stages model, also called the Uppsala (U) model, sees small firm internationalization as an incremental, sequential, staged process. Firms move in small steps to minimise risk and uncertainty and to gain market knowledge and experience as they go. Before exporting, a firm's behaviour comes from the interplay between the individual decision maker and the firm's environment and history, including its experience and extra-regional expansion; this is the innovation (I) model of pre-export behaviour.

The model explains both which markets firms enter and how they enter them. On market selection, firms first enter "psychically close" countries. Psychic distance is how close a market is in language, culture, political system and business factors such as industry structure and competition. Firms start where the market is easiest to understand and uncertainty feels low, then move to markets of greater psychic distance. On entry mode, firms climb an "establishment chain" within each market: from no regular export, to exporting through agents or intermediaries, to sales subsidiaries, and finally to production or manufacturing abroad.

The model has critics. The "psychic distance paradox" is that operations in culturally close countries are not always easy to manage. Experience in another foreign market, technology and global communications, and social networks and client followership can all change the path. Small firms are also heterogeneous: some are traditional exporters that do internationalize step by step, some are late starters that leapfrog stages, and some are born globals. Service sector firms and the aspirations of entrepreneurs also do not fit the model neatly.

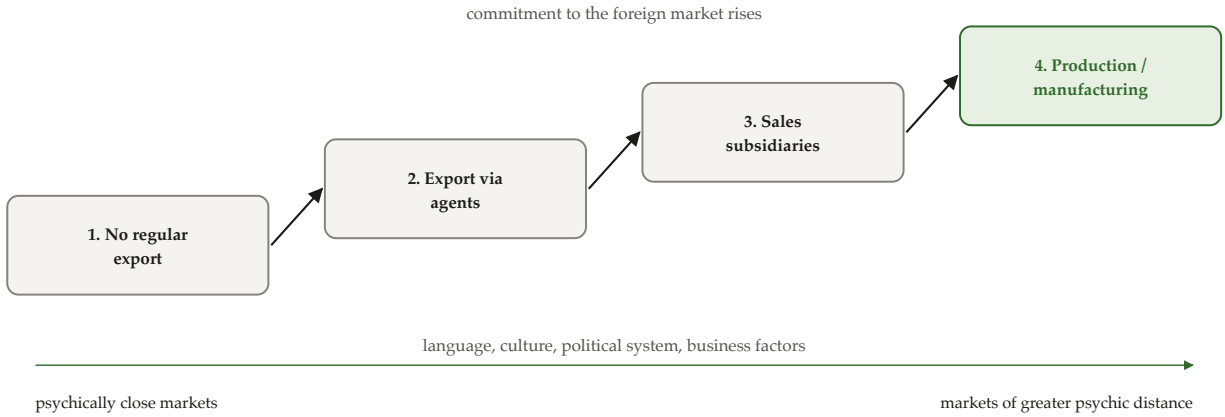


FIGURE 14.1 The establishment chain of the stages (Uppsala) model. Within a market, commitment grows step by step (top). Across markets, firms start where psychic distance is low and move out to markets that are harder to understand (bottom).

Core idea

Small firm internationalization is an incremental, sequential, staged process intended to:

- **Minimise** risk and uncertainty.
- **Gain** market knowledge and experience.

Pre-export behaviour: the innovation (I) model

Pre-export behaviour is an interplay between the **individual decision maker** and the **firm's environment and history**, including experience and extra-regional expansion.

Foreign market selection: psychic distance

- **Psychic distance**: the extent of proximity in language, culture, political systems and business factors such as industry structure and competitive environment.
- **Sequence**: firms start with markets that are most easily understood and where perceived uncertainty is low, venturing later into markets of successively greater psychic distance.

Foreign entry mode: the establishment chain

1 **No regular export** the firm has no regular export activity.	2 **Export via agents** exporting through agents or intermediaries.	3 **Sales subsidiaries** the firm sets up its own sales subsidiary.	4 **Production** production or manufacturing in the foreign market.

Critique of the stages models

CRITICISM	POINTS THE SLIDES MAKE
Psychic distance paradox	Operations in culturally proximate countries are not always easy to manage. Role of experience in another foreign market; role of technology and global communications; role of social networks and client followership
Heterogeneity of small firms	Traditional exporters (incremental internationalization); late starters (leapfrog some stages); born globals
Service sector firms	Listed as a limitation of the model
Aspirations of entrepreneurs	Listed as a limitation of the model

Link to next topic → The critique points to social networks as one reason firms skip stages; network theory makes those networks its centre.

CHECK YOURSELF

Answer from memory, then check below.

1. **What is the third step of the establishment chain in the stages (Uppsala) model?**
   - A. Sales subsidiaries
   - B. Export via agents or intermediaries
   - C. Production or manufacturing
   - D. No regular export
2. **Psychic distance covers proximity in which factors?**
   - A. Kilometres and transport time
   - B. Exchange rates and tariffs only
   - C. Language, culture, political systems and business factors
   - D. Firm size and age
3. RECALL **Factors that change the path in the psychic distance critique**

Answers 1. A **2.** C **3.** Experience in another foreign market; technology and global communications; social networks and client followership.

CHAPTER 15 · SESSION 5 · CILO 1 AND 2

Who you know: the network theory of internationalization

PROBLEM
Some small firms internationalize far faster than the stages model predicts.

→

BIG IDEA
Entrepreneurs' social networks shape their ability to create and grow firms, and the structure and content of those networks affect how fast they go international.

→

HOW (TOOLS)
Definition of social networks, five dimensions of network structure, strong and weak ties, personal, professional and intermediary ties, network content, and three aspects that speed internationalizatio n.

→

RESULT
Students can analyze a founder's network and explain how it helps or limits internationalizatio n.

IN PLAIN WORDS

Social networks are the pattern of relationships, or the actual set of links, between individuals, groups and organizations, and they are greater than the sum of their parts (Brass, 1992). Social network theory holds that who entrepreneurs know influences their ability to create, develop and grow their firms (Aldrich and Zimmer, 1986; Dubini and Aldrich, 1991). Social interaction builds mutual knowledge and trust between actors in international markets, and that trust makes internationalization easier.

A network can be described by its structure and its content. Structure is the pattern of relationships: the network's size, diversity, density, stability and strength. Strength separates strong ties, with people close to you, marked by trust, strong emotional bonds and frequent contact (family and friends), from weak ties, which are new, often in a different context, infrequent and without a close bond (a father's friend, a friend of a friend, a customer or supplier one is introduced to). Ties can also be grouped as personal or friendship ties, industry or professional ties, and intermediary ties formed at forums, conferences and events. Content is the social capital the network supplies: finance, technical knowledge, information and advice, emotional support, and reputation or signalling.

Three aspects of networks influence how fast small firms internationalize. First, strength of ties: strong ties are not the most important type, because there are few of

them and they take a lot of investment, while cross-border weak ties positively and significantly speed up internationalization. Second, size: larger networks go with faster internationalization and a quicker increase in the number of countries served. Third, density: dense networks provide relatively efficient support for internationalization.

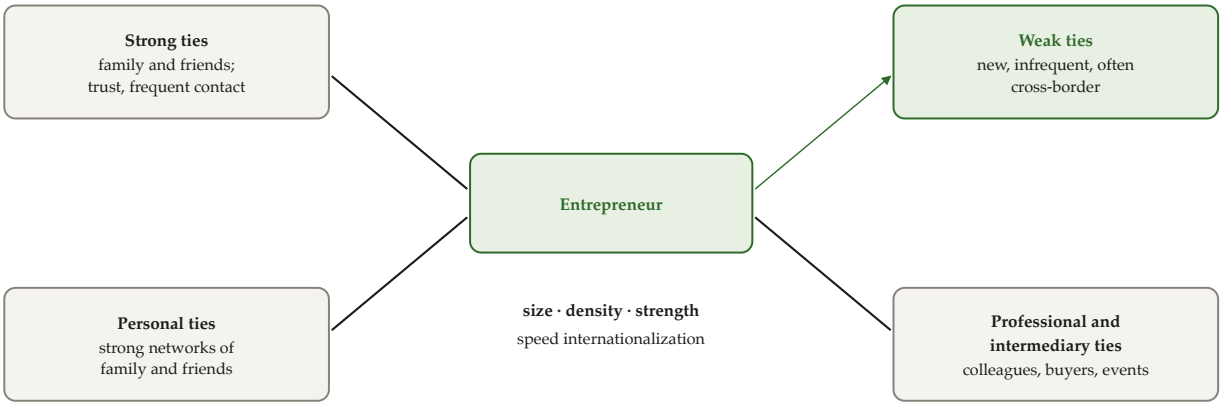


FIGURE 15.1 Strong ties sit close to the entrepreneur and are few and costly to keep up. Weak ties are new, infrequent and often cross-border, and Session 5 reports that they significantly speed up internationalization. Larger and denser networks help too.

Definitions

- **Social networks**: the pattern of relationships, or actual set of links, between individuals, groups and organizations, which is greater than the sum of its parts (Brass, 1992).
- **Social network theory**: entrepreneurs' social networks (who they know) influence their ability to create, develop and grow their firms (Aldrich and Zimmer, 1986; Dubini and Aldrich, 1991); social interactions build mutual knowledge and trust between international market actors that facilitate internationalization.

Dimensions of networks: structure

DIMENSION	MEANING
Network size	Large or small
Network diversity	Age, gender and education
Network density	Extensiveness of ties between actors
Network stability	Change in network patterns over time

Network strength	Strong or weak ties; the quality of relationships in a network

Strong and weak ties

Strong ties

- **Nature**: relationships with people close to you; trust, strong emotional bonds and high frequency of interaction.
- **Examples**: family and friends.

Weak ties

- **Nature**: new, often in a different context; infrequent interaction and no close socio-emotional bond.
- **Examples**: a father's friend; a friend of a friend; a customer or supplier you are introduced to.

Personal, professional and intermediary ties

- **Personal or friendship ties**: strong networks of family and friends.
- **Industry or professional ties**: contacts with former colleagues, buyers or suppliers within a profession.
- **Intermediary ties**: professional forums, conferences or events that entrepreneurs attend, which may enable the formation of strong or new ties.

Dimensions of networks: content (social capital)

Network content is the sum of tangible and intangible resources derived from the network:

1. **Finance** money obtained through contacts.
2. **Technical knowledge** know-how from contacts.
3. **Information and advice** guidance from contacts.
4. **Emotional support** encouragement from contacts.
5. **Reputation or signalling content** credibility gained from association.

Three aspects that speed internationalization

ASPECT	EFFECT ON INTERNATIONALIZATION
(1) Strength of network ties	Strong ties are not the most important type, because of their small number and the investment required. Cross-border weak ties positively and significantly influence the speed of venture internationalization

(2) Size of the network	Larger entrepreneurial networks are associated with faster venture internationalization and more rapid increases in country scope
(3) Overall density of the network	Dense networks provide relatively efficient support for internationalization

Link to next topic → Networks are one source of resources; the resource-based theory looks at the full set of resources and capabilities behind the decision to go international.

CHECK YOURSELF

Answer from memory, then check below.

1. **Which type of tie positively and significantly influences the speed of venture internationalization?**
   - A. Strong family ties
   - B. Cross-border weak ties
   - C. Ties within the home region
   - D. Intermediary ties with local government
2. **A friend of a friend whom you rarely see is an example of what?**
   - A. A strong tie
   - B. A personal or friendship tie
   - C. Network density
   - D. A weak tie
3. RECALL **Strong ties**

Answers 1. B **2.** D **3.** Relationships with close people, marked by trust, strong emotional bonds and frequent interaction, e.g. family and friends.

CHAPTER 16 · SESSION 5 · CILO 1 AND 2

What the firm has: the resource-based theory of internationalization

PROBLEM
Firms facing the same markets make different internationalizatio n decisions.

→

BIG IDEA
The resource-based theory (RBT) says firms are collections of resources, and internationalizatio n decisions are made within a framework of resources, capabilities and environmental realities.

→

HOW (TOOLS)
Resources and dynamic capabilities; internal factors, characteristics of the decision maker, competitive and institutional environments, nature of the product, and firm history.

→

RESULT
Students can explain a firm's internationalizatio n by the resources it holds and the environment it faces.

IN PLAIN WORDS

The resource-based theory (RBT) sees a firm as a collection of productive resources. Because firms hold different resources, each has unique, idiosyncratic characteristics, and these contribute to competitive advantage. Resources include financial and human resources. Dynamic capabilities are the firm's ability to combine and recombine resources and use its resource base in ways that give it a competitive advantage over a long period. According to RBT, the decision to internationalize is made within a coordinated framework of resources and capabilities on one side and environmental realities on the other.

Session 5 groups the factors into internal factors, external factors, the nature of the product or service, and the history of the small firm. Internal factors are financial (tangible) resources such as finance, plant and machinery, and human (intangible) resources, chiefly the characteristics of the decision maker: age, education, international experience and orientation, prior work or start-up experience, and international networks such as customers abroad. The slides note, though, that there is no clear evidence that a decision maker's age, education or personality traits influence internationalization.

External factors are the competitive and PEST (political, economic, sociocultural and technological) environment at home and abroad. At home, competitive pressure, declining sales and market saturation push firms out, as with Italy's

Parmigiano-Reggiano makers; abroad, the profit motive and unique market opportunities pull them in. Governments at home can support firms, as federal grants did for small businesses in Las Vegas, Nevada, and foreign governments can offer support too. Finally, the nature of the product matters: high-technology firms are often small and international, firms in industries with short product life cycles are more likely to internationalize, and research and development (R&D) intensity and product attributes explain small firm internationalization better than size does.

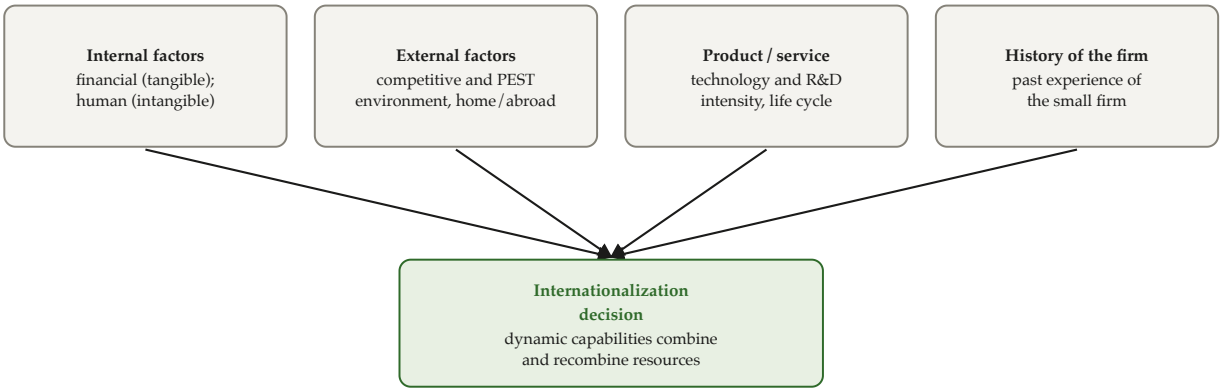


FIGURE 16.1 The four groups of factors Session 5 sets under the resource-based theory (RBT). The decision to internationalize is taken within this coordinated framework of resources, capabilities and environmental realities.

Core of the resource-based theory (RBT)

- **Firms as resource collections**: firms are collections of productive resources; heterogeneity of resources gives them unique, idiosyncratic characteristics that contribute to competitive advantage.
- **Resources**: include financial and human resources.
- **Dynamic capabilities**: firms' ability to combine and re-combine resources and use their resource base in ways that confer a competitive advantage over a long period of time.
- **Internationalization decisions**: made within a coordinated framework of resources and capabilities, and environmental realities.

Factors under RBT

GROUP	CONTENTS
Internal factors: financial (tangible) resources	Finance; plant and machinery

Internal factors: human (intangible) resources	Characteristics of the decision maker (age, education, knowledge and experience, and so on)
External factors	Competitive and PEST environment in the domestic and foreign market
Nature of product/service	Industry sector, technology intensity, product attributes
History of small firms	The firm's past

Characteristics of the decision maker

- **Age**
- **Education**
- **International experience and knowledge** (international orientation)
- **Prior work or start-up experience**
- **International networks** (customers abroad)
- **Caution**: there is no clear evidence on whether decision makers' age, education or personality traits influence internationalization.

Competitive and institutional environment

ENVIRONMENT	HOME	FOREIGN
Competitive	Competitive pressures in the domestic market; declining home-country sales and market saturation (for example Italy's Parmigiano-Reggiano makers)	Profit motive; unique market opportunity
Institutional	Support from domestic governments (for example federal grants from the government in Las Vegas, Nevada, United States, have led small businesses to enter foreign markets)	Support from foreign governments

Nature of the product or service

- **Technology intensity**: high-technology firms are small and international.
- **Product life cycle**: firms in industries with short product life cycles are more likely to internationalize.
- **Size is not the key**: R&D intensity and product attributes are more important than size in explaining small firm internationalization.

> **Exam tip:** Course intended learning outcome 2 (CILO 2), which the mock midterm lists as learning outcome 2 (LO2), names "entry modes, regional influences, social networks, and resource-based factors". The establishment chain, network theory and RBT in Session 5 supply three of the four; Session 4 supplies the regional influences.

Link to next topic → Session 7 applies these ideas to a particular group of entrepreneurs, migrants, whose networks and resources span two countries.

CHECK YOURSELF

Answer from memory, then check below.

1. **Under the resource-based theory, what are dynamic capabilities?**
   - A. The firm's stock of plant and machinery
   - B. A firm's ability to combine and recombine resources for long-term competitive advantage
   - C. Government support for exporters
   - D. The entrepreneur's personal network
2. **What does Session 5 say about the influence of a decision maker's age and education on internationalization?**
   - A. There is no clear evidence that they influence it
   - B. Younger decision makers always internationalize faster
   - C. Education is the strongest predictor
   - D. They matter more than R&D intensity
3. RECALL **Internal factors under RBT**

Answers 1. B **2.** A **3.** Financial (tangible) resources: finance, plant and machinery. Human (intangible) resources: characteristics of the decision maker.

PART F

SESSION 7 · MIGRATION AND GLOBAL ENTREPRENEURSHIP

CHAPTER 17 · SESSION 7 · CILO 2

Migrants as entrepreneurs: migration flows, trajectories and dual habitus

PROBLEM
Migrant entrepreneurs have often been seen as running small, ethnic businesses in crowded, low-skill industries.

→

BIG IDEA
International migration has nurtured entrepreneurship, and migrants' "dual habitus" in two countries now lets them build ventures in technology and innovative sectors, locally and globally.

→

HOW (TOOLS)
The policy rationale, migration flow data, comparisons with native-born entrepreneurs, and the concept of dual habitus.

→

RESULT
Students can explain how migration fosters entrepreneurship and analyze a migrant's trajectory.

IN PLAIN WORDS

Migration and its link to development have risen steadily on the international agenda since the International Conference on Population and Development in 1994, and the United Nations (UN) 2030 Agenda for Sustainable Development (UN, 2016) includes migration-related targets with regular progress reviews. The economic reasoning is that migrants transfer knowledge and skills from their countries of origin and gain new capabilities in their country of residence. This helps the labour market and the economy of the country of residence, and using those skills can mobilize resources and strengthen motivation to set up new enterprises in both the destination country and the country of origin. The textbook chapter runs in four parts: migration flows, how migrants develop entrepreneurial activities, short case studies, and challenges.

International migration has grown rapidly, and over 60% of international migrants live in Asia or Europe. Where migrants settle is shaped by geography and history, and more recently by awareness of their technical and entrepreneurial skills. Developed economies such as the United States of America (USA), the United Kingdom (UK) and Germany have growing numbers of successful start-ups and growing firms run by migrant entrepreneurs. Migrant entrepreneurs can have a substantial impact on their countries of origin through remittances, skills transfer, social remittances and social capital.

In most countries of the Organisation for Economic Co-operation and Development (OECD), immigrants set up businesses at the same rate as the native-born, and in some they are about 1.5 times as likely to be self-employed. Migrants start businesses out of both necessity and opportunity. Historically their businesses sat in highly competitive industries with low entry barriers and low skill requirements, serving minority communities; now migrant entrepreneurship has moved into technology sectors and innovative areas, locally and globally. What makes this possible is the migrant's duality of contextual knowledge, empathy and access to hard and soft resources, which stems from their "dual habitus" in the country of destination and the country of origin. Global engagement lets migrants break out of stereotypical minority business enclaves and grow, and they do not simply accept institutional constraints but actively mould them to suit their own initiatives.

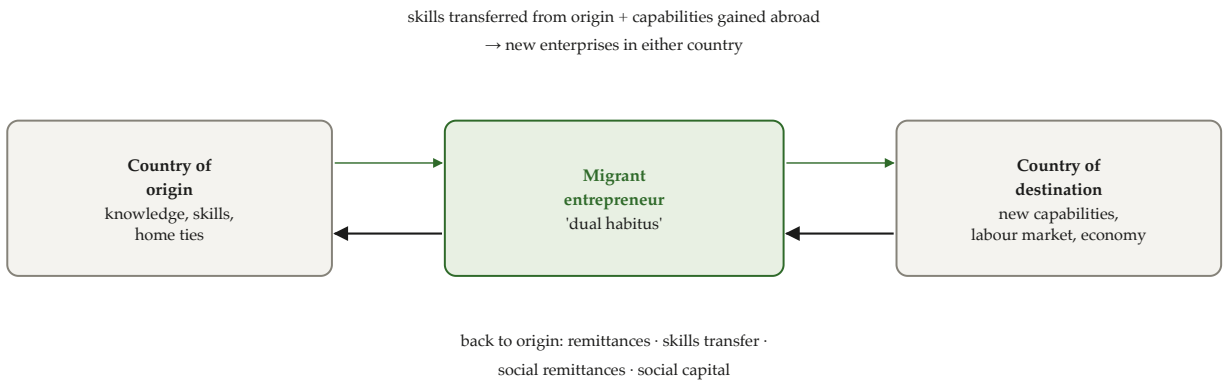


FIGURE 17.1 The migrant entrepreneur's 'dual habitus'. Knowledge, empathy and resources from both countries give a competitive advantage. Ventures can be set up in either country, and the origin country gains through remittances, skills transfer, social remittances and social capital.

Rationale

- **International agenda**: since the International Conference on Population and Development in 1994, migration and development have risen steadily on the agenda of the international community.
- **2030 Agenda**: the UN 2030 Agenda for Sustainable Development (UN, 2016) includes several migration-related targets and calls for regular reviews of progress.
- **Skills transfer**: knowledge and skills from countries of origin, plus new capabilities acquired in the country of residence, contribute to the latter's labour market and economy.

- **Enterprise**: using those skills can mobilize resources and raise personal motivation to set up enterprises in both destination country and country of origin.

Structure of the chapter

1 **Part One** how international migration flows have nurtured and enabled entrepreneurship.	2 **Part Two** evidence on how migrants develop entrepreneurial activities.	3 **Part Three** short case studies of global migrant entrepreneurs.	4 **Part Four** challenges faced by migrant entrepreneurs, policy makers and researchers.

Part One: migration flows and global entrepreneurship

- **Growth**: international migration shows rapid and continued growth; over 60% of all international migrants live in Asia or Europe.
- **Settlement**: shaped by geography and historical patterns, plus recent awareness of migrants' technical and entrepreneurial skills.
- **Developed economies**: the USA, the UK and Germany have increasing numbers of successful start-ups and growing firms run by international migrant entrepreneurs.
- **Impact on origin countries**: through remittances, skills transfer, social remittances and social capital, which can be substantial.

Part Two: migrant communities and entrepreneurial trajectories

- **Rates (OECD)**: in most OECD countries immigrants set up businesses at the same rate as the native-born; in some they are about 1.5 times as likely to be self-employed.
- **Motives**: migrants take control of their destiny by launching and growing an enterprise, out of both necessity and opportunity.
- **Historical pattern**: highly competitive industries with low barriers to entry and low skill requirements, serving minority communities.
- **Current pattern**: beyond traditional ethnic businesses into a wide range of technology sectors and innovative areas, locally and globally.

Dual habitus

- **Duality**: the migrant experience lies in the duality of contextual knowledge, empathy, and access to hard and soft resources.

- **Source**: these stem from migrants' "dual habitus" in the country of destination and the country of origin.
- **Breaking out**: global engagement enables migrants to break out of stereotypical minority business enclaves, grow their ventures and gain competitive advantage.
- **Agency**: migrant entrepreneurs are not passive adherents to institutional constraints; they actively mould them to suit their own initiatives.

> **Exam tip:** Topic B of the midterm's last question asks how migration flows have fostered entrepreneurial activity and asks for an analysis of migrant trajectories "using the concepts of dual habitus and dual contextual knowledge". The historical-versus-current trajectory and the four points on dual habitus above are the course's answer.

Link to next topic → Session 7 then illustrates these ideas with short cases and sets out the challenges migrant entrepreneurs face.

CHECK YOURSELF

Answer from memory, then check below.

1. **What does 'dual habitus' refer to in Session 7?**
   - A. Holding two passports
   - B. Running two businesses in one country
   - C. Migrants' duality of contextual knowledge, empathy and resources from both destination and origin countries
   - D. Living in two cities of the same country
2. **How does Session 7 describe the historical pattern of immigrant businesses?**
   - A. High-technology ventures backed by venture capital
   - B. Large family conglomerates
   - C. State-owned enterprises
   - D. Highly competitive, low-barrier, low-skill industries serving minority communities
3. RECALL **Dual habitus**

Answers 1. C **2.** D **3.** The duality of contextual knowledge, empathy and access to hard and soft resources that migrants hold from both the country of destination and the country of origin.

CHAPTER 18 · SESSION 7 · CILO 2

Migrant entrepreneurs in practice: cases, refugees, networks of innovation and challenges

PROBLEM
General claims about migrant entrepreneurs need cases to show how institutions and individual effort interact in different countries.

→

BIG IDEA
Cases from Israel, Korea and Japan, refugee entrepreneurship and global migrant networks show both the contributions of global migrant entrepreneurship (GME) and its constraints.

→

HOW (TOOLS)
Three cases, observations across them, refugee entrepreneurship, global migrant networks of innovation, and four challenges.

→

RESULT
Students can use case evidence to discuss contributions, barriers and policy implications of migrant entrepreneurship.

IN PLAIN WORDS

Session 7 presents three short cases. In Israel, the outcomes for Israeli and Palestinian high-tech entrepreneurs depended on the unequal "capital set" of the migrants and on institutional arrangements. In Korea, the Korean Wave (*Hallyu*) in film, television and music led to joint film production with China, which drew on the Chinese government's support for cross-border flows of investors, directors and producers and created new firms in technical service sectors. Japanese transnational entrepreneurs start "ex-pat" businesses in their late 30s to early 40s, often with savings from Japan, after exposure to overseas life and culture earlier in their careers. Across the examples, two observations stand out: the interest in going international and using that experience to renew home ties is constant, and the meeting of institutional structures and human agency in the dual habitus explains both the scope and the variation of global entrepreneurship.

Refugee entrepreneurship is treated separately. Welcoming refugees is described as an investment with substantial economic dividends: enterprising refugees start businesses that create wealth, employ locals, make the economy more dynamic and boost international trade and investment. But insecurity, legal rights and institutional issues set refugees apart from other migrants, and "fragility" best describes the economic and social conditions they work in.

Global migrant networks of innovation produce many positive externalities for the regions where migrant entrepreneurs operate. Their specialisms create intermediary functions that serve large multinationals; their networks can ease financial constraints for fast-growing firms; and firms with migrant co-owners and more migrant workers are more likely to be innovative. Migrant business growth also compensates for the falling share of new firms started by native entrepreneurs, and migrants who first enter their home country to found a global venture are more likely to found born-global ventures. GME contributes directly to international business creation and growth, finance and investment, research and development (R&D) and innovation, and international technology transfer. Yet challenges remain: migrants are constrained by home-country endowments and institutions, little is known about their networks, capabilities and locational dynamics across institutional contexts, policy makers and analysts pay them too little attention, and better granular data is needed.

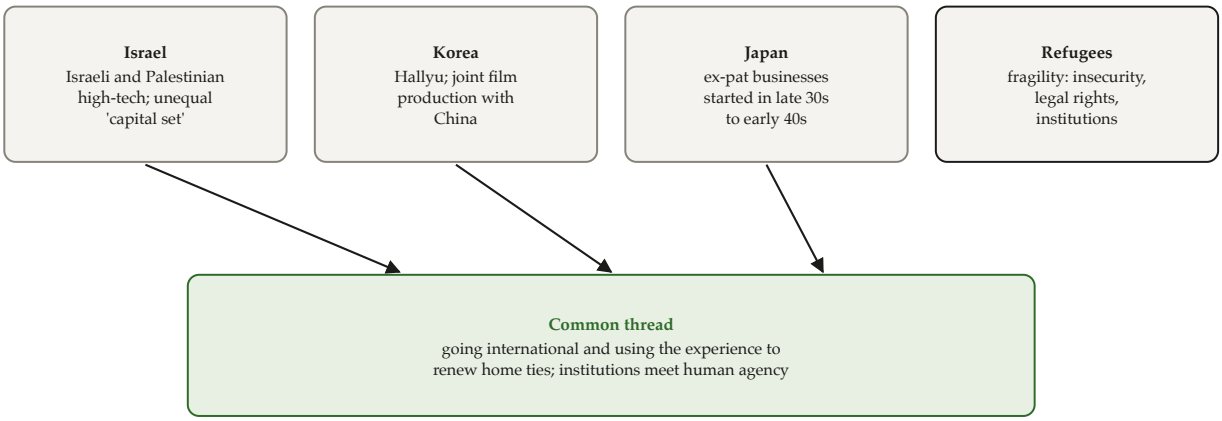


FIGURE 18.1 The short cases and themes of Session 7. The thread the slides draw through the cases is the interest in going international and using that experience to renew home ties, shaped by where institutions meet human agency.

Part Three: case studies

CASE	KEY POINT
1. Israel: Israeli and Palestinian high-tech communities of entrepreneurs	Effective outcomes were a function of the unequal "capital set" of migrants and the institutional arrangements
2. Korea: *Hallyu* (Korean Wave) in film, television and music	Joint film production with China leveraged the Chinese government's facilitation of cross-border flows of investors, directors and producers, and the creation of new firms in technical service sectors

3. Japanese transnational entrepreneurs	Start "ex-pat" businesses in their late 30s to early 40s, with start-up funds often from savings in Japan; exposure to overseas life and culture during the exploration stage of their career

Observations across the cases

- **Home ties**: the interest in going international and using that experience to renew home ties is a constant feature in all the examples.
- **Structure and agency**: the intersection between institutional structures and human agency in the "dual habitus" underlines the scope of, and variation in, global entrepreneurship activity.

Refugee entrepreneurship

- **Investment**: welcoming refugees is an investment yielding substantial economic dividends.
- **Contributions**: enterprising refugees start businesses that create wealth, employ locals, make the economy more dynamic, and boost international trade and investment.
- **Difference from migrants**: insecurity, legal rights and institutional issues.
- **Fragility**: the word that best describes the economic and social conditions affecting refugee entrepreneurship.

Global migrant networks of innovation

Benefits to regions and firms

- Multiple positive externalities for the regions where migrant entrepreneurs operate.
- Productive intermediary functions benefiting larger multinational corporations, created because of migrants' specialisms.
- Fast-growing migrant-founded firms show how migrant networks can alleviate financial constraints.
- Firms with migrant co-owners and more migrant workers are more likely to be innovative.

Benefits to economies

- Migrant business growth compensates for the decline in the share of new firms started by "native" entrepreneurs.
- Migrant entrepreneurs who first enter their home country to found a global venture are more likely to found "born global" ventures.
- Direct contributions to international business creation and growth, finance and investment, R&D and innovation, and international technology transfer.

Part Four: challenges and barriers

1. **Home constraints** migrant entrepreneurs' actions are constrained by home-country endowments and institutional structures.
2. **Knowledge gap** little is known about the networks, capabilities and locational dynamics of migrant entrepreneurs in multiple institutional contexts.
3. **Neglect** global migrant entrepreneurship does not feature adequately in the work of policy makers, technology developers and business strategy analysts.
4. **Data** systematic collection of granular data can support informed decisions.

Chapter summary

- **Global Migrant Entrepreneurship (GME)**: an increasingly growing phenomenon among migrant entrepreneurs who have secured an economic foothold in their country of residence (COR).
- **Policy reach**: GME affects policy issues from migration to international business and trade and social policy.
- **Possibilities**: new ways of developing global and entrepreneurial business, financing networks of transnational enterprise, and developing key technologies.

Exam tip: Topic B asks for challenges and barriers "including refugee entrepreneurship" and for case examples of global migrant networks of innovation and their contributions to innovation and technology transfer. The four challenges, the fragility of refugee entrepreneurship, and the contributions listed above match those parts; Session 1's immigrant founders (Uber, eBay, Chinese and Taiwanese American firms) add company examples.

CHECK YOURSELF

Answer from memory, then check below.

1. **Which word best describes the conditions affecting refugee entrepreneurship, according to Session 7?**
   - A. Stability
   - B. Dual habitus
   - C. Affluence
   - D. Fragility

2. **In the Korean case, what did joint film production with China draw on?**
   - A. Japanese savings brought home by ex-pats
   - B. The Chinese government's facilitation of cross-border flows of investors, directors and producers
   - C. The unequal capital set of Israeli migrants
   - D. Remittances from Korean refugees

3. RECALL **Two observations across the migrant cases**

Answers 1. D **2.** B **3.** Interest in going international and using the experience to renew home ties is constant; the intersection of institutional structures and human agency in the dual habitus explains the scope and variation of global entrepreneurship.

CHAPTER 19 · SYNTHESIS · MOCK MIDTERM

Putting the sessions together: how the mock midterm combines the topics

PROBLEM
Each session can be learned on its own, but the exam questions ask for several sessions' ideas in one answer.

→

BIG IDEA
The lecturer's mock midterm groups the course into four essay questions, each joining specific theories, data and cases; course intended learning outcome 2 (CILO 2) itself joins four factors that shape small firms' internationalizatio n.

→

HOW (TOOLS)
The mock paper's instructions and four questions, matched to the chapters of this book.

→

RESULT
Students know which chapters feed each question and which names and figures the paper expects.

IN PLAIN WORDS

The mock midterm paper given by the lecturer for the 2026/2027 odd term sets four essay questions of 25 marks each, to be answered in 120 minutes, closed book and on campus. Its instructions ask for clear, systematic and argumentative essays. Because the exam is closed book, full citations are not required, but students must name relevant theories, concepts or scholars, such as Zahra and George, Oviatt and McDougall, Schumpeter, Hofstede, the Global Entrepreneurship Monitor (GEM) 2018 and the U.S. Small Business Administration (USBA) 2018, as evidence of understanding, and use real case examples discussed in class.

Each question draws on a defined set of chapters. The first question (learning outcome 1, LO1) joins the definitions and significance of international entrepreneurship from Session 1 with the immigrant founders and statistics in the same session. The second (LO1) joins the three theories of entrepreneurship, the entrepreneurship-versus-small-business distinction, small firms' features, the U.S. job data and Schumpeter's creative destruction, all from Session 2. The third (LO1 and LO2) joins GEM 2018's Total Entrepreneurial Activity (TEA) index, motivations and U-shaped relationship with the political, economic, socio-cultural and technological influences and Hofstede's dimensions, all from Session 3. The fourth

(LO2) offers a choice between Session 4 (regions, spillovers, regional capital, corridors and clusters) and Session 7 (migration flows, dual habitus, refugees and migrant networks of innovation).

The course outcome CILO 2, listed on the paper as LO2, also joins topics directly: it names entry modes, regional influences, social networks and resource-based factors as the forces that shape global entrepreneurial outcomes for small firms. Session 5 supplies three of those (the establishment chain, network theory and the resource-based theory) and Session 4 supplies the fourth. Session 5 is not the subject of a question on the mock paper, but its theories serve any answer about how small firms go international.

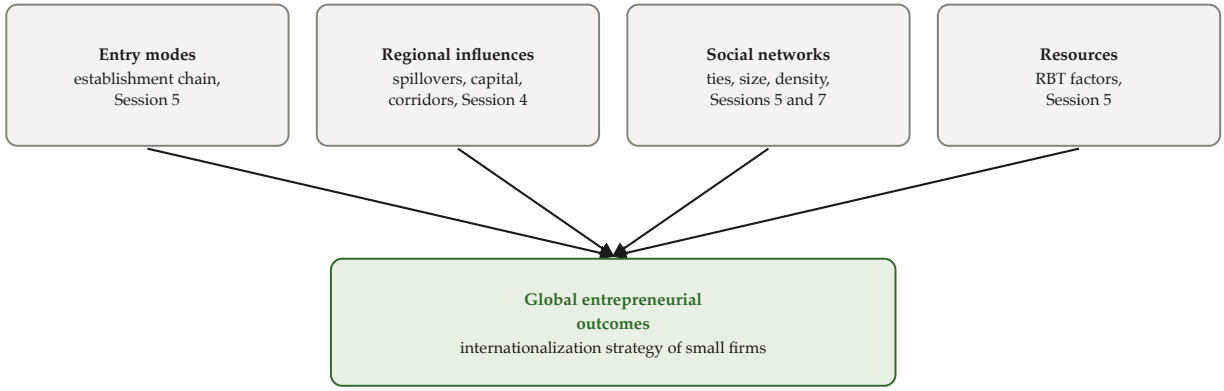


FIGURE 19.1 The four factors that CILO 2 names together, with the session where each is taught. An answer on a small firm's internationalization can draw on all four.

The mock midterm at a glance

QUESTION	LO · WEIGHT	REQUIRED PARTS	CHAPTERS
1. International entrepreneurship and innovation and their significance	LO1 · 25	Zahra and George (2002) and Oviatt and McDougall (2005) definitions; international new ventures (INVs) versus born globals; two or more statistics on immigrant entrepreneurs; immigrant-founded companies	Significance, definitions and origins; Concept and drivers
2. Role of small firms, analyzed with entrepreneurship theories	LO1 · 25	Personality, psycho-sociological and cognitive theories; entrepreneurship versus small business; advantages and disadvantages; USBA (2018) job data; creative destruction	Who entrepreneurs are; What makes a firm small; Why small firms matter

3. GEM 2018	LO1 and LO2 · 25	TEA index and its measurement; opportunity versus necessity by income level; U-shaped relationship; political, economic, socio-cultural and technological factors with Hofstede	GEM and TEA; Political and economic environment; Culture, education and technology
4A. Local and regional dimensions	LO2 · 25	Regions and knowledge spillovers; human, social and entrepreneurial capital; growth corridors such as the Maputo Development Corridor; clusters such as Silicon Valley	Regions and spillovers; Regional capital and corridors; Regional variations
4B. Migration and global entrepreneurship	LO2 · 25	Migration flows; dual habitus and dual contextual knowledge; challenges including refugees; migrant networks of innovation	Migration flows and dual habitus; Cases, refugees and challenges

Names and figures the paper asks for

- **Zahra and George (2002)**: opportunities outside the firm's domestic market, pursued for competitive advantage.
- **Oviatt and McDougall (2005)**: discovery, enactment, evaluation and exploitation of opportunities across national borders; **Oviatt and McDougall (1994)**: international new ventures.
- **Schumpeter**: creative destruction.
- **Hofstede (1991)**: five dimensions of national culture.
- **GEM 2018**: TEA, 37%, 42% and 51% opportunity entrepreneurs, U-shaped relationship, National Entrepreneurship Context Index (NECI).
- **USBA 2018**: 55% of all jobs and 66% of net new jobs; 30.2 million small businesses, 99.9% of firms, 47.5% of private sector employees.

CILO 2: four factors, four places in the course

FACTOR NAMED IN CILO 2	WHERE IT IS TAUGHT
Entry modes	Establishment chain of the stages (Uppsala) model
Regional influences	Knowledge spillovers and regional capital and corridors
Social networks	Network theory; migrant networks in Session 7
Resource-based factors	Resource-based theory

Exam tip: Every question on the mock paper lists its required parts. Answering each part under its own short heading, in the order given, and naming the scholar or dataset in each part, follows the paper's own instruction to write systematically and to mention theories and scholars as evidence.

CHECK YOURSELF

Answer from memory, then check below.

1. RECALL Names the mock paper says to mention as evidence

Answers 1. Zahra and George, Oviatt and McDougall, Schumpeter, Hofstede, GEM 2018, USBA 2018.

APPENDIX · REFERENCE

Glossary of abbreviations

SHORT	STANDS FOR / MEANING
CILO	Course intended learning outcome; this course has two (CILO 1 and CILO 2), shown as LO1 and LO2 on the mock paper
COR	Country of residence: where a migrant entrepreneur has secured an economic foothold
EU	European Union: defines an SME as under 50 employees and a medium-sized enterprise as under 250 (Session 2)
G7	Group of Seven: the USA, UK, Canada, Japan, France, Germany and Italy, GEM's first comparison countries
GDP	Gross domestic product: GEM finds no causal link between it and the level of entrepreneurial activity
GEM	Global Entrepreneurship Monitor: long-term research comparing entrepreneurial activity across countries
GME	Global Migrant Entrepreneurship: migrant entrepreneurs with an economic foothold in their country of residence building global ventures
GVC	Global value chain: integrated international value chains of individual and connected sectors
I model	Innovation model of pre-export behaviour: interplay of decision maker and the firm's environment and history
ICT	Information and communication technology
INV	International new venture: a firm that from inception seeks significant competitive advantage from resources and sales in multiple countries (Oviatt and McDougall, 1994)
KS	Knowledge spillover: a knowledge externality bounded in space
LO	Learning objective or learning outcome (LO4 and LO5 in Session 4; LO1 and LO2 on the mock paper)
MDC	Maputo Development Corridor: the first growth corridor, set up in 1996
NECI	National Entrepreneurship Context Index: GEM's composite index of twelve weighted framework conditions
NEPAD	New Partnership for Africa's Development: replicated the corridor model across Africa
NVCA	National Venture Capital Association: source of the venture-capital statistics in Session 1 (2019)

OECD	Organisation for Economic Co-operation and Development
PEST	Political, economic, sociocultural and technological: the four external influences on entrepreneurship
R&D	Research and development
RBT	Resource-based theory: firms as collections of productive resources
SBA	(United States) Small Business Administration; Session 2 also writes USBA
SME	Small and medium-sized enterprise
TEA	Total Entrepreneurial Activity: % of adults starting a business or owning one under 42 months old
U model	Uppsala model: the stages model of internationalization
UK	United Kingdom
UN	United Nations
U.S., USA	United States; United States of America
USBA	U.S. Small Business Administration (also SBA); its Office of Advocacy is the source of the 2018 small business data

APPENDIX · REFERENCE

Key lists and frameworks

LIST	ITEMS, IN THE LECTURER'S ORDER	SESSION
Drivers of international entrepreneurship (5)	Political and economic developments; information, communication and transportation technologies; changing nature of competition; migration and cross-border movements of people; equity financing outside developed markets	1
Creative destruction (3 steps)	Entrepreneurs bring innovations to market; innovations create new demand; this destroys existing markets and creates new ones	2
Entrepreneurial contexts (4)	Corporate; technology; social; green	2
Theories of entrepreneurship (3)	Personality; psycho-sociological; cognitive	2
Advantages of small size (3)	Entrepreneurial motivation and dynamism; informal structure and organization; proximity to market	2
Disadvantages of small size (4)	Lack of scale and scope economies; financial resource constraints; human resource constraints; lack of market control	2
Significance of small firms (3)	Economic impact (wealth, jobs); societal impact (innovations); impact on large firms	2
GEM revised objectives (3)	Measure differences; uncover determining factors; identify policies	3
External influences (4)	Political; economic; sociocultural; technological	3
Societal culture measures (3)	Societal attitudes; self-perceptions; affiliations	3
Hofstede's dimensions (5)	Power distance; uncertainty avoidance; individualism/collectivism; masculinity/femininity; long-term orientation	3
Role of universities (3)	Providing knowledge; conditioning mindsets; support infrastructure	3
Key issues in comparisons (4)	Ambiguity; interdependence; differing forms and goals; regional variations	3

Challenges in assessing culture (3)	Different levels of culture; different layers of society; different units of entrepreneurship	3
Knowledge spillover channels (4)	Employees changing jobs; knowledge exchange with universities; informal collaborations; sharing know-how across value chains	4
Corridor evolution (3)	Transport corridor; soft infrastructure; economic corridor	4
Benefits of internationalization (4)	Foreign markets, sales and profits; offset declining domestic sales, disperse risk; improved product quality; lower production costs	5
Theories of internationalization (3)	Stages (Uppsala) model; network theory; resource-based theory	5
Establishment chain (4)	No regular export; export via agents; sales subsidiaries; production/manufacturing	5
Network structure (5)	Size; diversity; density; stability; strength	5
Network content (5)	Finance; technical knowledge; information and advice; emotional support; reputation or signalling	5
Network aspects that speed internationalization (3)	Strength of ties; size; density	5
Migrant chapter parts (4)	Migration flows; trajectories; case studies; challenges	7
Challenges for migrant entrepreneurship (4)	Home-country constraints; little known about networks and dynamics; policy neglect; need for granular data	7

APPENDIX · REFERENCE

Numbers sheet

FIGURE	WHAT IT MEASURES	SOURCE AS CITED
55% / 66%	U.S. small businesses' share of all jobs and of net new jobs (2018)	USBA (2018)
1.16 million; 14%	People employed by UK migrant-founded enterprises; their share of job creation in SMEs	Johnson and Kimmelman (2014); Quan et al. (2019)
50%	Gross jobs created annually, 1980–2010, attributed to innovative start-ups	NVCA (2019)
440,000; $70 billion	Employees and taxable revenues of Chinese and Taiwanese American firms in Southern California	Zhou and Hsu (2011); Saxenian (2002)
42%; 63%; 85%	Venture-backed share of U.S. companies that went public 1974–2015; their share of market capitalization; of R&D	NVCA (2019)
<500 employees; <$5 million	Small business definition	Session 2
30.2 million; 99.9%; 47.5%; 40.8%	U.S. small businesses; share of firms; of private employees; of private payroll	USBA (2018)
64%	U.S. small businesses' share of net new jobs, 1993–2011	Liberto (2019)
8 million	New jobs added by new entrepreneurial firms in the USA since 1990	Bamford and Bruton (2016)
58.9 million; 1.9 million	U.S. small business employment and net jobs created (2015)	SBA Office of Advocacy (2018)
<20%; two-thirds; ~50%	Self-employed share of workers; of millionaires; entrepreneurs among those millionaires	Session 2
42 months	Age limit of a "new" business in the TEA index	GEM
18.6%; 8.0%	TEA in family businesses; solo businesses	GEM (2018)
37% / 42% / 51%	Opportunity entrepreneurs in low-, middle- and high-income economies	GEM (2018)
2×	Men's likelihood of starting a business relative to women	GEM (2018)

12; 54; 6.7	NECI framework conditions; economies ranked; top score (Qatar)	Bosma and Kelley (2018)
1996	Maputo Development Corridor set up	Session 4
25%	Foreign sales share that makes an entrepreneur "international"	GEM (2018)
95%; <250; 0.1% / 0.03%	U.S. services exporters with under 250 employees (2015); SMEs investing abroad in Japan / Korea	Session 5
60%	International migrants living in Asia or Europe	Session 7
1.5×	Immigrants' likelihood of self-employment in some OECD countries	Session 7

ENPR6303032 · KISI-KISI

Mock midterm: worked answers

ENPR6303032 · Entrepreneurship: A Global Perspective · Mock midterm (UTS), odd term 2026/2027, given by the lecturer for study. Closed book, on campus, 120 minutes, four essay questions of 25 marks each; Question 4 is a choice of Topic A or Topic B.

How to use these answers. Each model answer is built first from the course slides (Sessions 1–5 and 7) and the course textbook they follow. Where the slides do not cover a required part, a small number of free, open-access sources from reputable publishers fill the gap, and each is marked **[outside the slides]**. Citations follow APA 7th edition. Scholars quoted on the slides are cited as secondary sources ("as cited in Pruthi & Mitra, 2023"), because the slides take them from that textbook. The paper says full citations are not required in the closed-book exam, but it does require the scholar's name and year, as in "(Zahra & George, 2002)". The reference list is at the end.

QUESTION 1 · KISI-KISI

International entrepreneurship, INVs and immigrant founders

THE QUESTION

Comprehensively explain the concept of international entrepreneurship and innovation along with their significance to the global economy. In your answer, include: The definition of international entrepreneurship according to Zahra & George (2002) and Oviatt & McDougall (2005). The difference between International New Ventures (INVs) and Born Globals. At least two statistical data showing the contribution of immigrant entrepreneurs to the economy (e.g., from USBA, NVCA, or OECD). Real examples of companies founded by immigrants and their impact on global innovation.

25 marks · LO1 (CILO 1)

WHAT THE QUESTION IS REALLY ASKING

Define international entrepreneurship in two named ways, say what innovation is, separate two kinds of fast-internationalizing firm, and prove the field matters with immigrant-entrepreneur statistics and named companies. It tests Session 1 (chapters What international entrepreneurship is and why it matters: significance, definitions and origins and The scope of international entrepreneurship: concept, drivers and the book's structure).

KEY TERMS

- **International entrepreneurship (Zahra & George, 2002)** — the process of creatively discovering and exploiting opportunities that lie outside a firm's domestic market in the pursuit of competitive advantage.
- **International entrepreneurship (Oviatt & McDougall, 2005)** — the discovery, enactment, evaluation and exploitation of opportunities across national borders to create future goods and services.
- **International new venture, INV (Oviatt & McDougall, 1994)** — a business organization that, from inception, seeks significant competitive advantage from the use of resources and the sale of outputs in multiple countries.
- **Born global** — named on the slides as a type of small firm that does not internationalize in stages; defined outside the slides as "a venture launched to

exploit a global niche from the first day of its operations" (Tanev, 2012, p. 5). **[outside the slides]**

- **Innovation (Drucker, 1993)** — the sum of creativity and commercialization; the means by which entrepreneurs create new wealth-producing resources or enhance existing ones.

REASONING STAIRCASE

1. Define the field with both named definitions and show what each stresses (domestic market versus across borders; competitive advantage versus the whole opportunity process).
2. Add innovation: the field grew from entrepreneurship (where innovation sits) and international business, so innovation is how cross-border opportunities create wealth.
3. Separate INVs from born globals: both internationalize early and rapidly, INVs are defined by multi-country advantage from inception, and born globals by a global niche from day one.
4. Prove significance with at least two immigrant statistics, citing the source named on the slides.
5. Name immigrant-founded companies and state their impact on innovation and jobs.
6. Conclude by linking back to the drivers (migration, technology) that make the field grow.

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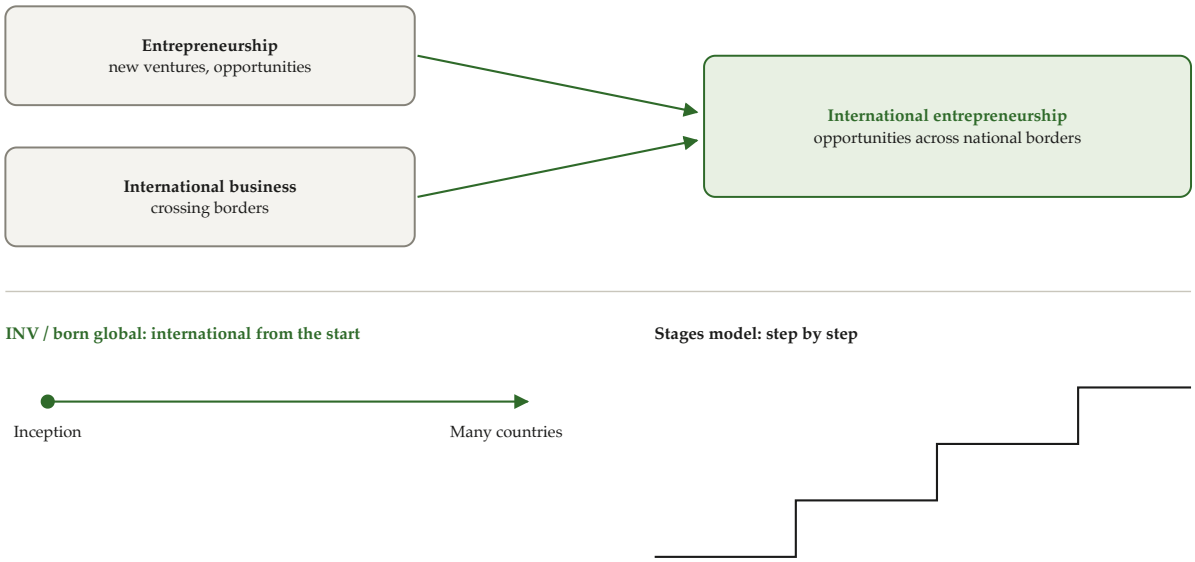


FIGURE 1.1 *Where the field comes from, and the two paths abroad. An INV or born global is international from the start; the stages model moves step by step.*

Two boxes on the left, "Entrepreneurship (new ventures, opportunities)" and "International business (crossing borders)", with arrows meeting in a highlighted box on the right, "International entrepreneurship: opportunities across national borders". Underneath, a small timeline arrow from "Inception" to "Many countries" marked "INV / born global: international from the start", contrasted with a staircase marked "stages model: step by step". This matches the figure in chapter What international entrepreneurship is and why it matters: significance, definitions and origins and the establishment chain in Step by step abroad: the stages (Uppsala) model and its critique.

MODEL ANSWER

MODEL ANSWER

International entrepreneurship joins two ideas: entrepreneurship, the pursuit of opportunities to create future goods and services, and international business, the activity of organizations that cross national borders. The field emerged from the confluence of these two research streams (Pruthi & Mitra, 2023). Zahra and George (2002, as cited in Pruthi & Mitra, 2023) define international entrepreneurship as the process of creatively discovering and exploiting opportunities that lie outside a firm's domestic market in the pursuit

of competitive advantage. Oviatt and McDougall (2005, as cited in Pruthi & Mitra, 2023) define it as the discovery, enactment, evaluation and exploitation of opportunities across national borders to create future goods and services. The first definition stresses where the opportunity lies (outside the home market) and why it is pursued (competitive advantage); the second stresses the whole opportunity process and its cross-border character.

Innovation is the engine inside this process. Innovation reflects firms' efforts to use unexploited opportunities by developing new products and business models, improving processes or combining existing components in new ways. Drucker (1993, as cited in Pruthi & Mitra, 2023) calls innovation the sum of creativity and commercialization, the means by which entrepreneurs create new wealth-producing resources or give existing resources greater wealth-creating potential. Schumpeter adds that innovations create new demand, which destroys existing markets and creates new ones. International entrepreneurship therefore matters to the global economy because it carries this wealth-creating innovation across borders.

A third view of the field treats it as the phenomenon of early and rapid internationalization of new and small firms. Two labels describe such firms. International new ventures (INVs), in Oviatt and McDougall's (1994, as cited in Pruthi & Mitra, 2023) definition, are business organizations that, from inception, seek significant competitive advantage from the use of resources and the sale of outputs in multiple countries. The defining feature is that resources and sales are international from the start. Born globals are named on the course slides as one type of small firm that the stages model cannot explain, alongside traditional exporters and late starters, because they do not internationalize step by step. Tanev (2012) defines a born-global firm as "a venture launched to exploit a global niche from the first day of its operations" (p. 5), and notes that such firms typically export within a couple of years of founding and may export a quarter or more of their output. **[outside the slides]** On these definitions, an INV is identified by using resources and selling in several countries from inception, while a born global is identified by being built from day one around a global niche, usually seen in how quickly and how much it exports. Tanev (2012) treats "international new venture" as one of several labels for early internationalizers and argues that entering foreign niches early does not on its own make a firm born global. **[outside the slides]**

The significance of this activity is clear from the data on immigrant entrepreneurs. In the United Kingdom, migrant-founded enterprises employ 1.16 million people and contribute 14% of job creation in small and medium-sized firms (Johnson & Kimmelman, 2014; Quan et al., 2019, as cited in Pruthi & Mitra, 2023). In the United States, innovative start-ups founded by immigrant entrepreneurs, such as Uber and eBay, account for as many as 50% of gross jobs created annually between 1980 and 2010 (NVCA, 2019, as cited in Pruthi & Mitra, 2023). Firms founded by Chinese Americans and Taiwanese Americans in Southern California employ more than 440,000 people and generate $70 billion in taxable revenues (Zhou & Hsu, 2011; Saxenian, 2002, as cited in Pruthi & Mitra, 2023). More broadly, small businesses in the USA created 55% of all jobs and 66% of net new jobs in 2018 (USBA, 2018, as cited in Pruthi & Mitra, 2023), and in some OECD countries immigrants are about 1.5 times as likely as the native-born to be self-employed (Pruthi & Mitra, 2023).

The companies show the impact on global innovation. Uber and eBay, both founded by immigrant entrepreneurs, are innovative start-ups that built new markets. The Chinese and Taiwanese American firms did more than create jobs in California: they expanded business opportunities and contributed to the development of China's information and communication technology industries, an example of innovation flowing back across borders. Immigrants who return home to start up also bring innovation, competition and an entrepreneurial culture to their home countries (OECD, 2017, as cited in Pruthi & Mitra, 2023). Venture-backed companies represented 63% of market capitalization and 85% of R&D among U.S. public companies (NVCA, 2019, as cited in Pruthi & Mitra, 2023).

In conclusion, international entrepreneurship, whether defined through opportunities outside the home market (Zahra & George, 2002) or across national borders (Oviatt & McDougall, 2005), is significant because it spreads innovation and creates jobs and wealth across countries. Immigrant founders, from Uber and eBay to the Chinese and Taiwanese American firms of California, show that migration, one of the five drivers of the field, is a major source of that innovation.

QUESTION 2 · KISI-KISI

Small firms, entrepreneurship theories and job creation

THE QUESTION

Analyze the role of small firms in a country's economy using entrepreneurship theories (Personality Theory, Psycho-sociological Theory, Cognitive Theories). In your answer: Explain the difference between entrepreneurship and small business. Elaborate on the advantages and disadvantages of small firms from quantitative and qualitative aspects. Provide arguments on why small firms are often called the backbone of job creation in the United States, including data from USBA (2018). Relate it to Schumpeter's concept of creative destruction.

25 marks · LO1 (CILO 1)

WHAT THE QUESTION IS REALLY ASKING

Explain why people start small firms (three theories), separate entrepreneurship from small business, weigh what small size helps and hurts, prove small firms' job role with USBA (2018) data, and connect it all to Schumpeter. It tests Session 2 (chapters Who entrepreneurs are: meaning, creative destruction, types and theories, What makes a firm small: definitions, quantitative and qualitative features, advantages and disadvantages, Why small firms matter: wealth creation, job creation and societal impact).

KEY TERMS

- **Entrepreneurs** — individuals who start new business ventures, unlike employees who work for someone else's business.
- **Small business** — fewer than 500 employees and under $5 million in annual sales; the focus is on established small firms.
- **Personality theory** — entrepreneurs are "born", not "made"; personality shapes opportunity recognition.
- **Psycho-sociological theory** — "disgruntlement" or job dissatisfaction can push people into entrepreneurship.
- **Cognitive theories** — entrepreneurs perceive market gaps or unnoticed opportunities.

- **Creative destruction (Schumpeter)** — entrepreneurs bring innovations to market, which create new demand, destroying existing markets and creating new ones.

REASONING STAIRCASE

1. Distinguish entrepreneurship (start-up context, innovative effort) from small business (established small firms).
2. Use the three theories to explain why small firms are founded: personality, push from dissatisfaction, and cognition of gaps.
3. Set out quantitative and qualitative features, then the advantages and disadvantages that follow from them.
4. Argue the backbone-of-jobs claim with USBA (2018) and related U.S. data.
5. Link to creative destruction: small firms bring innovations that create demand and new markets, and feed innovation into large firms.
6. Conclude on the overall role of small firms in the economy.

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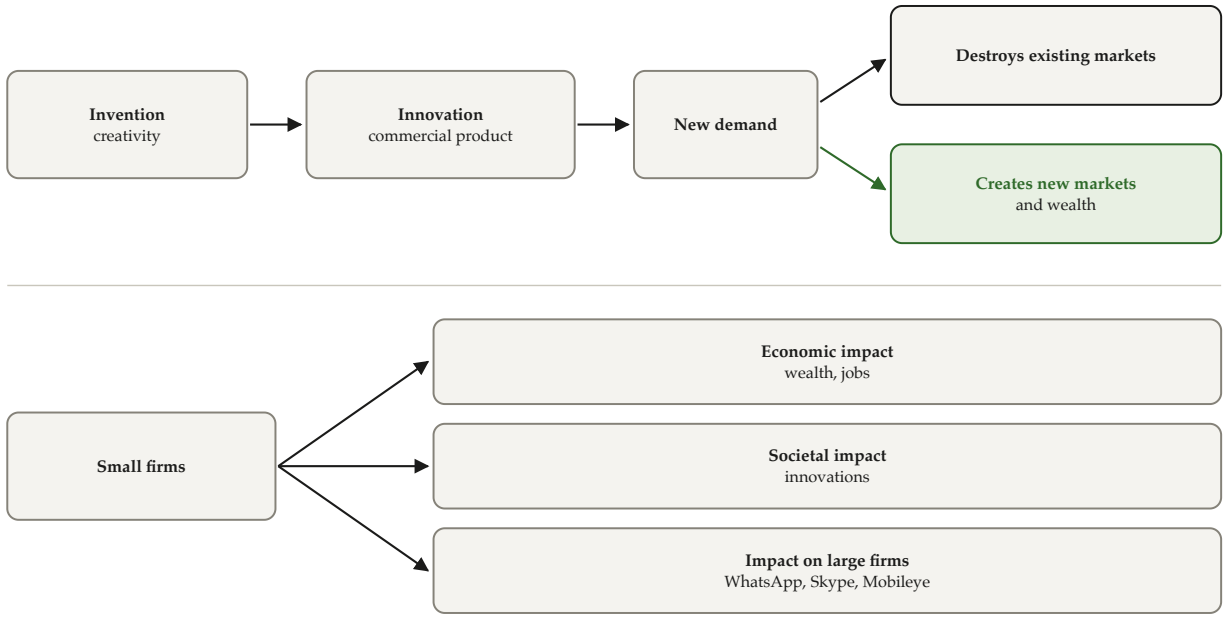


FIGURE 2.1 *Creative destruction on top, and the three kinds of impact small firms have underneath.*

A left-to-right chain: "Invention (creativity)" → "Innovation (commercial product)" → "New demand", splitting into a warning box "Destroys existing markets" and a highlighted box "Creates new markets and wealth". Below, a three-branch tree from "Small firms" to "Economic impact: wealth, jobs", "Societal impact: innovations" and "Impact on large firms: WhatsApp, Skype, Mobileye". These match the figures in chapters Who entrepreneurs are: meaning, creative destruction, types and theories and Why small firms matter: wealth creation, job creation and societal impact.

MODEL ANSWER

MODEL ANSWER

Small firms play a central role in a country's economy as the vehicles through which entrepreneurs create jobs, wealth and innovation. To analyze that role it helps first to separate two terms. Entrepreneurs are individuals who start new business ventures; unlike employees, they build their own business. Entrepreneurship focuses on the context, such as the start-up process, where innovative effort is required. Small business, by contrast, focuses on established small firms, such as a corner grocery or bakery, a neighbourhood restaurant, a laundromat or a dry-cleaner (Pruthi & Mitra, 2023). A small

business is defined as having fewer than 500 employees and selling less than $5 million of products and services a year. Every small firm begins with an entrepreneurial act, but not every small business remains entrepreneurial.

Three theories explain why people found these firms. Personality theory holds that individual personality characteristics influence opportunity recognition, so people become entrepreneurs because of their personality: entrepreneurs are "born", not "made". Psycho-sociological theory points out that not all entrepreneurs start for positive, pull-based reasons; "disgruntlement", or dissatisfaction with a job, can be the trigger. Cognitive theories argue that entrepreneurs perceive market gaps or identify opportunities others have not noticed (Pruthi & Mitra, 2023). Together the theories show that small firms arise from who people are, from what pushes them out of employment, and from what they see in the market. This variety helps explain why small firms are so numerous: USBA (2018, as cited in Pruthi & Mitra, 2023) counts 30.2 million small businesses in the USA, 99.9% of all U.S. firms.

Small firms differ from large ones in quantitative and qualitative ways. Quantitatively, they have few employees, small initial capital and a small share of their industry, with low turnover and a small market. Size bands run from the self-employed (one person) to micro-businesses (up to 19 employees), small businesses (20–99) and medium-sized businesses (100–499) (Bridge et al., 2003, as cited in Pruthi & Mitra, 2023); the European Union instead treats firms under 50 employees as SMEs and under 250 as medium-sized. Qualitatively, small firms have an informal culture, the family often plays a role, and the owner-founder is also the manager, personally responsible for the firm's functions, whereas in large firms ownership is separated from control. These features bring advantages: entrepreneurial motivation and dynamism, an informal structure and organization, and closeness to the market, with control over customers' purchasing based on informal relationships. They also bring disadvantages: no economies of scale or scope; financial resource constraints; human resource constraints, such as centralization, lack of delegation, owners personally procuring supplies and monitoring quality, and small-batch production; and lack of market control, with publicity left to word of mouth and no concrete sales and marketing strategy.

Despite these constraints, small firms are often called the backbone of job creation in the United States, and the data support the claim. According to

USBA (2018, as cited in Pruthi & Mitra, 2023), the 30.2 million small businesses make up 99.7% of U.S. firms with paid employees, employ 47.5% of private sector employees and pay 40.8% of private sector payroll. In 2018, small businesses provided 55% of all jobs and 66% of all net new jobs. In 2015 they employed 58.9 million people and created 1.9 million net jobs, with firms of fewer than 20 employees adding 1.1 million of them. Small businesses accounted for 64% of net new jobs between 1993 and 2011 (Liberto, 2019, as cited in Pruthi & Mitra, 2023), and new entrepreneurial firms have added 8 million jobs since 1990 (Bamford & Bruton, 2016, as cited in Pruthi & Mitra, 2023). More than 25.1 million microenterprises with five or fewer employees provide 22% of private employment, and franchises accounted for 40% of retail sales and some 8 million jobs in 2014.

Schumpeter's concept of creative destruction explains why this job creation also renews the economy. An invention, a new idea from creativity, becomes an innovation when it is used in a new commercial product or service. Entrepreneurs, as owner-managers who start businesses to exploit inventions, bring innovations to market; the innovations create new demand; and this destroys existing markets and creates new ones, generating wealth for the entrepreneur and employment for others (Pruthi & Mitra, 2023). Small firms are therefore not only employers but agents of change. Their wealth potential is large: the self-employed are fewer than 20% of workers but almost two-thirds of millionaires, and founders such as Sergey Brin and Larry Page (Google) and Bill Gates (Microsoft) grew small firms into global businesses. Small firms also feed innovation into large firms, which buy them to enter new markets, as when Facebook bought WhatsApp to enter the mobile market and Microsoft bought Skype to enter internet communications.

In conclusion, small firms arise from personality, dissatisfaction and opportunity recognition; they are agile but resource-constrained; they provide most U.S. jobs and net new jobs according to USBA (2018); and through Schumpeter's creative destruction they keep replacing old markets with new ones. That combination of employment and renewal is their role in the economy.

QUESTION 3 · KISI-KISI

GEM data: TEA, motivation and the U-shaped curve

THE QUESTION

Based on the Global Entrepreneurship Monitor (GEM) 2018 data, answer the following: Explain what the Total Entrepreneurial Activity (TEA) Index is and how it is measured. Analyze the differences in entrepreneurial motivation (opportunity vs necessity entrepreneurs) in low-, middle-, and high-income countries. Elaborate on the U-shaped relationship between the level of entrepreneurial activity and a country's economic development. Discuss how political, economic, socio-cultural, and technological factors influence the development of international entrepreneurship, referring to Hofstede's cultural dimensions.

25 marks · LO1 & LO2 (CILO 1 and 2)

WHAT THE QUESTION IS REALLY ASKING

Explain GEM's main measure, compare motivations across income levels, explain the U-shape, and use the four external influences, with Hofstede's dimensions for culture, to explain why countries differ. It tests Session 3 (chapters Measuring entrepreneurship across countries: the Global Entrepreneurship Monitor and its activity index, Why countries differ, part one: the political and economic environment, Why countries differ, part two: culture, education and technology).

KEY TERMS

- **GEM** — Global Entrepreneurship Monitor: long-term research measuring and explaining differences in entrepreneurial activity among countries.
- **TEA index** — the percentage of the adult population that has taken some action towards creating a new business in the past year, or owns and manages an active business less than 42 months old.
- **Opportunity entrepreneurs** — start a business to exploit an opportunity.
- **Necessity entrepreneurs** — start a business to sustain themselves because other work options are absent or unsatisfactory.
- **Hofstede's dimensions** — power distance, uncertainty avoidance, individualism/collectivism, masculinity/femininity, long-term orientation (Hofstede, 1991, as cited in Pruthi & Mitra, 2023).

REASONING STAIRCASE

1. Define GEM and the TEA index, then explain its two components and the 42-month cut-off.
2. Give the opportunity shares (37%, 42%, 51%) and interpret them as a shift from necessity to opportunity as income rises.
3. Explain the U-shape and stress that GEM finds no causal link with GDP.
4. Political factors: political system and government intervention (conditions versus direct measures).
5. Economic factors: development level (push versus pull) and state of the economy; then socio-cultural factors with Hofstede, and technology.
6. Conclude that the factors are interdependent, so no single "right" culture or policy exists.

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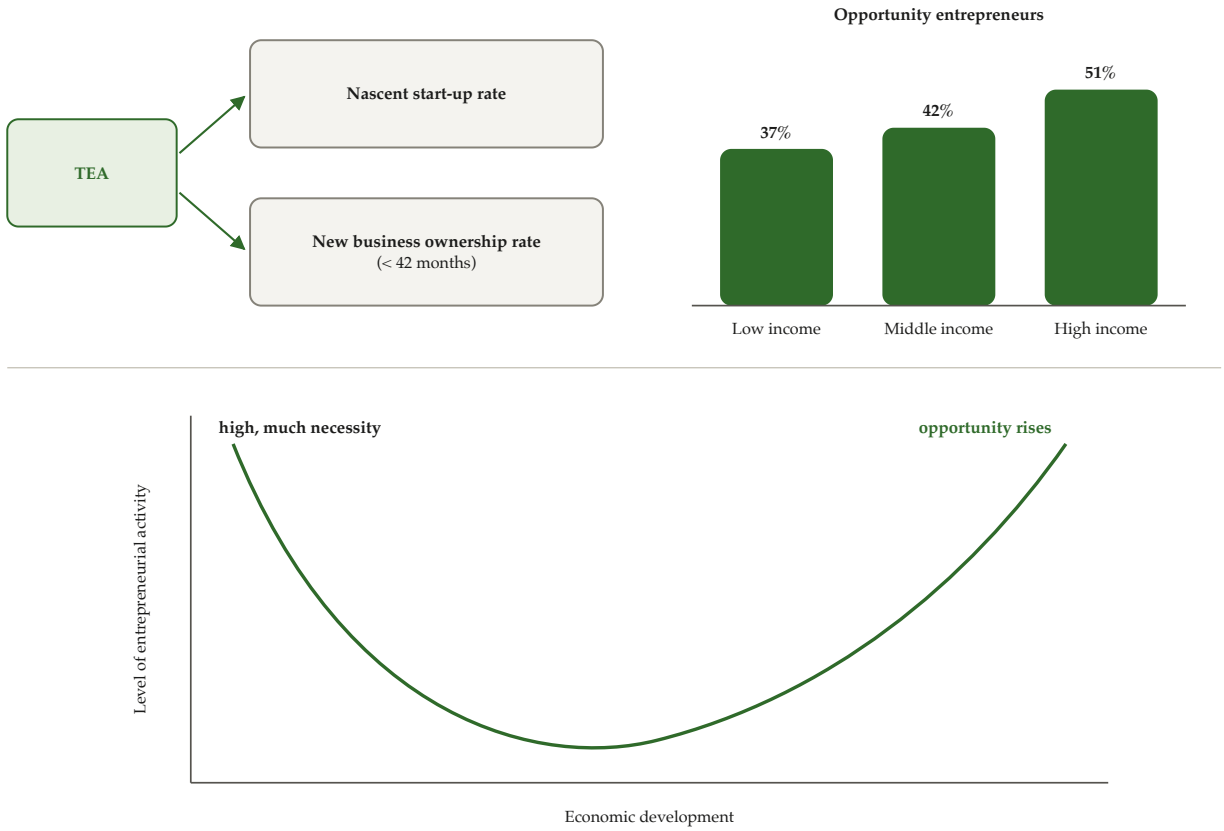


FIGURE 3.1 *How TEA is built, the opportunity share by income level, and the U-shaped relationship. The curve is a sketch of the slide's description, not plotted data.*

Left: a box "TEA" splitting into "Nascent start-up rate" and "New business ownership rate (< 42 months)". Right: three bars labelled low, middle and high income at 37%, 42% and 51% opportunity entrepreneurs. Beside it, a U-shaped curve with "level of entrepreneurial activity" on the vertical axis and "economic development" on the horizontal axis, the left arm labelled "high, much necessity" and the rising right arm labelled "opportunity rises". The TEA and bar figure matches chapter Measuring entrepreneurship across countries: the Global Entrepreneurship Monitor and its activity index; the U-curve is a sketch of the slide's verbal description.

MODEL ANSWER

MODEL ANSWER

The Global Entrepreneurship Monitor (GEM) is long-term, longitudinal research that sets out to measure differences in entrepreneurial activity among

countries, uncover the factors that determine national levels, and identify policies that could raise them. It began by comparing the G7 countries with Denmark, Finland and Israel and now uses phone surveys and, in developing countries such as China, India and Uganda, face-to-face interviews. GEM defines entrepreneurship broadly as any attempt to create a new business or to expand an existing one, by an individual, a team or an established business (Pruthi & Mitra, 2023).

GEM's central measure is the Total Entrepreneurial Activity (TEA) index. It is the percentage of the adult population that has taken some action towards creating a new business in the past year, or who are owner-managers of an active business less than 42 months old. It is measured by adding two rates: the nascent start-up rate, covering people in the process of setting up a business, and the new business ownership rate, covering those actually owning and running early-stage businesses. GEM 2018 data for 49 economies show TEA rates ranging from a few per cent in Japan and much of Europe to around 40% in Angola (Bosma & Kelley, 2018, as cited in Pruthi & Mitra, 2023). GEM 2018 also shows variation by type (18.6% of TEA is in family businesses and 8.0% are solo), by sector, and by gender, with men twice as likely as women to start a business.

Motivation differs sharply by income level. GEM distinguishes opportunity entrepreneurs, who start a business to exploit an opportunity, from necessity entrepreneurs, who start one because all other work options are absent or unsatisfactory. The share of opportunity entrepreneurs rises from an average of 37% in low-income economies to 42% in middle-income and 51% in high-income economies (GEM, 2018, as cited in Pruthi & Mitra, 2023). In other words, most entrepreneurs in low-income economies are driven by necessity, while in high-income economies just over half are driven by opportunity. This matches the push and pull pattern of Session 3: developing economies show push motivations, higher business birth rates and social entrepreneurship, while developed economies show pull motivations and a goal of long-term ownership.

These findings produce the U-shaped relationship. GEM finds no causal relationship between the level of entrepreneurial activity and a country's GDP, per capita income or growth. Instead, the relationship with economic development is U-shaped. In low- and middle-income countries,

entrepreneurial activity is relatively high, much of it necessity-driven, but it falls as income levels rise and jobs become available as a fall-back. In high-income countries necessity entrepreneurship is low, but opportunity entrepreneurship starts to increase as incomes rise further, lifting activity again (Pruthi & Mitra, 2023).

Four external influences explain why countries differ. Politically, the type of system matters (free market versus central planning), and so does government intervention, which either sets the conditions for enterprise, through tax reforms and regulations such as the time to register a business, low interest rates and listing rules for small firms, or supports the process directly through finance, specialist advice and training, and investment in R&D. Economically, the level of development shapes motivation, and the state of the economy matters: U.S. TEA fell after the 2009/2010 financial crisis, while in China activity has diminished as sustained growth let companies grow larger. Technologically, information and communication technology connects entrepreneurs with international customers and lets them coordinate at a distance, so they can sell outside their home market, which is directly relevant to international entrepreneurship.

Socio-culturally, GEM measures societal attitudes (status of entrepreneurs, career choice, media attention), self-perceptions (ease of starting a business) and affiliations with entrepreneurs, which supply role models, investors and mentors. National culture is described by Hofstede's dimensions (Hofstede, 1991, as cited in Pruthi & Mitra, 2023). Power distance, the acceptance of unequal power, is highest in Malaysia and Mexico and lowest in Germany and Austria. Uncertainty avoidance, the sense of threat from ambiguity, is highest in Greece and Japan and lowest in the USA and Singapore; low uncertainty avoidance suits the risk of starting a venture. Individualism, valuing independence of action over group loyalty, is highest in the USA and Canada and lowest in Mexico and Guatemala, and entrepreneurs in developed European countries are described as the most individualistic and self-confident. Masculinity, an orientation to money and things, is highest in Japan and Mexico; long-term orientation is highest in Hong Kong and Japan. Hofstede's later work adds a sixth dimension, indulgence versus restraint (Hofstede, 2011). **[outside the slides]** Universities add to the cultural

environment by providing knowledge, conditioning mindsets and offering incubation and support networks.

However, Session 3 warns that these influences are ambiguous and interdependent. Economically successful nations score very differently on each Hofstede dimension, so there is no single "right" culture for entrepreneurship, and in collectivist Asian countries enterprise often takes the form of large organizations, such as Japan's kaisha and Korea's chaebol. In conclusion, GEM 2018 shows that how much and why people start businesses depends on a country's income level, and that political, economic, socio-cultural and technological factors together, not any one of them, shape the development of international entrepreneurship.

QUESTION 4A · KISI-KISI

Regions, knowledge spillovers and growth corridors

THE QUESTION

Choose one of the following two topics and answer in depth: Topic A: Local and Regional Dimensions of International Entrepreneurship. Explain the concepts of regions and knowledge spillovers. Elaborate on the role of human capital, social capital, and entrepreneurial capital in regional entrepreneurship development. Analyze how growth corridors (e.g., Maputo Development Corridor) can connect local regions with cross-border regions and create transnational regions. Provide real examples of regional clusters of entrepreneurship (e.g., Silicon Valley).

25 marks · LO2 (CILO 2)

WHAT THE QUESTION IS REALLY ASKING

Explain why regions, not just countries, are where international entrepreneurship takes root: define regions and spillovers, explain the three forms of capital, show how corridors link regions across borders, and give cluster examples. It tests Session 4 (chapters Where entrepreneurship happens: regions and knowledge spillovers, What makes a region competitive: regional capital and growth corridors) plus the Silicon Valley example in Comparing countries with care: key issues, regional variations and the national context index.

KEY TERMS

- **Region** — a unit tied to the governance of policies for economic development, social cohesion and environmental welfare; usually sub-national, but it can span countries, as in the European Region.
- **Knowledge spillovers (KSs)** — knowledge externalities bounded in space.
- **Social capital** — the networks and relationships of people beyond the individual entrepreneur.
- **Entrepreneurial capital** — a composite form of capital defined at the economic (region and industry), organizational and personal (team and individual) levels.
- **Corridors** — bundles of infrastructure connecting two or more urban areas in one country or across adjacent countries.

REASONING STAIRCASE

1. Explain why location matters for international entrepreneurship and define regions.
2. Define knowledge spillovers, show the four channels, and explain why nearby firms innovate faster.
3. Weigh human capital against social capital, then show how entrepreneurial capital combines them with institutions and technology.
4. Explain the three stages from transport corridor to economic corridor, with the Maputo example and NEPAD.
5. Show how corridors turn local regions into transnational regions (LO4), then give cluster examples.
6. Conclude with the summary idea of regions as international hubs.

DRAW THIS IN THE EXAM

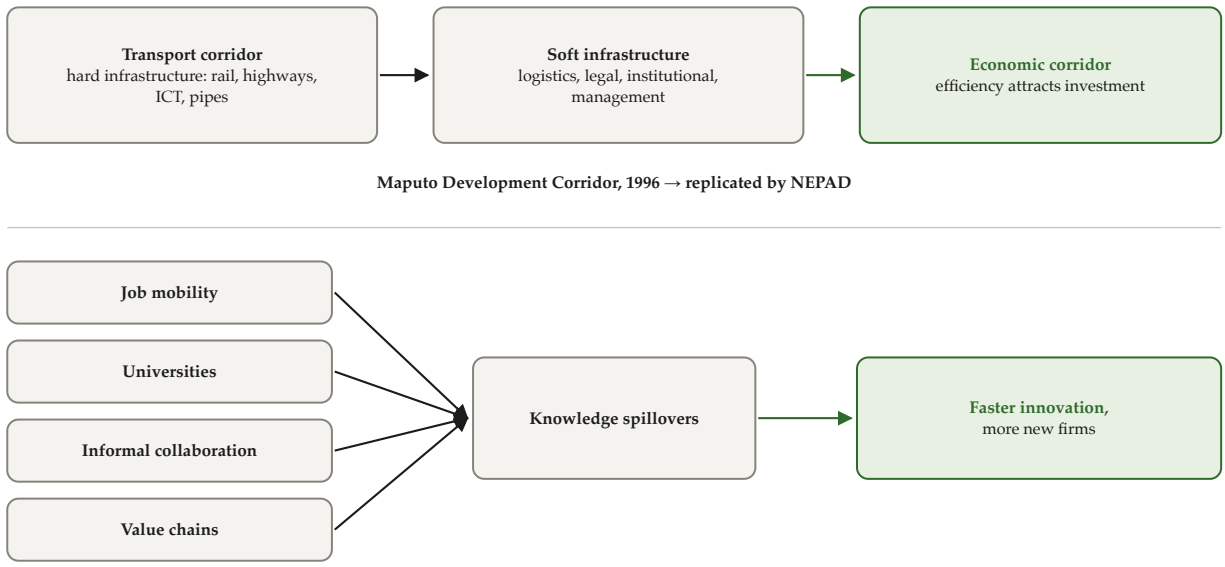


FIGURE 4.1 *From transport corridor to economic corridor, and the four channels that carry knowledge spillovers.*

Three boxes in a row with arrows: "Transport corridor (hard infrastructure: rail, highways, ICT, pipes)" → "Soft infrastructure (logistics, legal, institutional, management)" → highlighted "Economic corridor (efficiency attracts investment)". Beneath, "Maputo Development Corridor, 1996 → replicated by NEPAD". On the side, four small channel boxes (job mobility, universities, informal collaboration, value chains) feeding a box "Knowledge spillovers" and then "Faster innovation, more new firms". These match the figures in chapters What makes a region competitive: regional capital and growth corridors and Where entrepreneurship happens: regions and knowledge spillovers.

MODEL ANSWER

MODEL ANSWER

International entrepreneurship is often discussed at the level of countries, but Session 4 argues that it takes root in regions. Businesses trade, form strategic alliances, network, invest overseas and set up offshore operations on the basis of information about attractive regions, supply and value chains are increasingly international, and the more global a region is economically, the more likely it is also a powerful local economy (Pruthi & Mitra, 2023). A region is associated with the governance of policies and institutions that promote economic development, social cohesion and environmental welfare. Its meaning varies by country, but it usually refers to a sub-national administrative unit, and it can also cover several countries, as in the European Region or Community. A region's identity rests on the beliefs, values and cultural perceptions of its people, and regions differ significantly both between and within countries, which is why entrepreneurs and policy makers watch business formation at regional level.

Knowledge spillovers explain much of how regions evolve. Knowledge spillovers (KSs) are knowledge externalities bounded in space. Knowledge created in one organization is "leaky", so rival organizations nearby can appropriate some of it without creating it themselves. Firms located close to key sources of knowledge, intelligence and data can therefore introduce innovations faster than rivals elsewhere. Spillovers flow through four channels: employees changing jobs, knowledge exchange with universities, informal collaborations among firms, and the sharing of know-how along value chains. Their effect depends on physical, institutional, social and socio-psychological

factors that create framework conditions for entrepreneurship and wealth creation. Regions can be distinguished by how much knowledge they create and spill over, and this explains their levels of innovation and new firm creation.

The people and relationships of a region determine how well it uses that knowledge. Some authors argue that human capital is the key to economic growth, especially in urban areas; a place's capacity to attract talent and tolerate the diversity of talented people fuses with its capacity for invention and new technology, and the cultural diversity of urban networks brings in different kinds of human capital that promote innovation, accelerate information flows and raise new firm formation. Others argue that social capital plays a more integral role, because it harnesses the contributions of people other than the individual entrepreneur, namely their networks and relationships. Entrepreneurial capital brings these together. It is a composite form of capital defined at the economic (region and industry), organizational and personal (team and individual) levels, and the amalgam of institutions, talent and technology can be called creative entrepreneurial capital. Institutions, good governance and the generation and attraction of talent give regions a local edge over their neighbours, and the mix and strength of human, social, technological and entrepreneurial capital is a good measure of regional competitiveness (Pruthi & Mitra, 2023).

Growth corridors connect such regions across borders. Corridors are bundles of infrastructure, including rail links for passengers or freight and highways, that connect two or more urban areas in one country or across adjacent countries, enhanced by ICT, power lines and pipes for water, gas, oil and sewage. Growth corridors are instruments for boosting development in developing economies, based on World Economic Forum deliberations and the World Bank's World Development Reports. A corridor develops in stages. The economic potential of a basic transport route drives it; hard infrastructure creates a transport corridor; growing freight and passenger volumes call for soft infrastructure, meaning logistics, legal, institutional and management support; and the ripple effect of efficiency stimulates further activity and attracts investment, producing an economic corridor. The first was the Maputo Development Corridor (MDC), set up in 1996, whose broad success led the New Partnership for Africa's Development (NEPAD) to replicate the model

throughout Africa (Pruthi & Mitra, 2023). Because corridors can run across urban and rural areas in more than one country and can draw funding from governments, private firms, public-private partnerships, multilateral agencies and NGOs, they link local regions with cross-border regions. As efficiency and investment build along the route, the connected regions function together as a transnational region, which is the process named in the session's learning objective LO4. Session 4 also notes that interest has since shifted towards global value chains, which integrate the international value chains of connected sectors.

Regional clusters of entrepreneurship show the result. Silicon Valley is the course's example of a regional cluster of entrepreneurship (Pruthi & Mitra, 2023), a place where the spillovers and capital described above concentrate. Session 3 adds that entrepreneurship varies regionally in other ways: Taiwan has lower start-up rates than its neighbours but high established-business and employee entrepreneurship rates, and attitudes to entrepreneurship vary more within regions than across them. Southern California, where firms founded by Chinese and Taiwanese Americans employ more than 440,000 people and helped develop China's ICT industries, shows how a regional economy can also link to a region abroad.

In conclusion, regions, and especially cities, become international hubs when spillovers, a strong mix of human, social and entrepreneurial capital, good institutions and connecting infrastructure create critical mass. As Session 4 summarizes, that critical mass is partly a function of internationalization: such regions bring the world outside into their local environment.

QUESTION 4B · KISI-KISI

Migration and migrant entrepreneurs

THE QUESTION

Choose one of the following two topics and answer in depth: Topic B: Migration and Global Entrepreneurship. Explain how international migration flows have fostered entrepreneurial activity. Analyze migrant entrepreneurial trajectories using the concepts of dual habitus and dual contextual knowledge. Discuss the challenges and barriers faced by migrant entrepreneurs, including refugee entrepreneurship. Provide case examples of global migrant networks of innovation and their contributions to innovation and technology transfer.

25 marks · LO2 (CILO 2)

WHAT THE QUESTION IS REALLY ASKING

Show how migration creates entrepreneurs, trace how migrant businesses have moved from ethnic enclaves to global, innovative ventures using dual habitus, set out the barriers (with refugees), and give cases of migrant networks that spread innovation and technology. It tests Session 7 (chapters Migrants as entrepreneurs: migration flows, trajectories and dual habitus, Migrant entrepreneurs in practice: cases, refugees, networks of innovation and challenges) with immigrant-founder examples from Session 1.

KEY TERMS

- **Dual habitus** — the migrant's position in both the country of destination and the country of origin, from which comes a duality of contextual knowledge, empathy and access to hard and soft resources.
- **Dual contextual knowledge** — knowledge of both contexts, the course's "duality of contextual knowledge".
- **Global Migrant Entrepreneurship (GME)** — a growing phenomenon among migrant entrepreneurs who have secured an economic foothold in their country of residence (COR).
- **Fragility** — the word the course uses for the economic and social conditions affecting refugee entrepreneurship.

REASONING STAIRCASE

1. Set the context: migration on the international agenda, growth of flows, and how skills from two countries become enterprise.
2. Show the trajectory: from low-barrier ethnic businesses to technology and innovative ventures, locally and globally.
3. Explain dual habitus and dual contextual knowledge as the cause of that shift, and migrants' agency over institutions.
4. Set out the four challenges and the extra fragility of refugees.
5. Give the cases (Israel, Korea, Japan) and the evidence on migrant networks of innovation and technology transfer.
6. Conclude on GME's significance for policy.

DRAW THIS IN THE EXAM

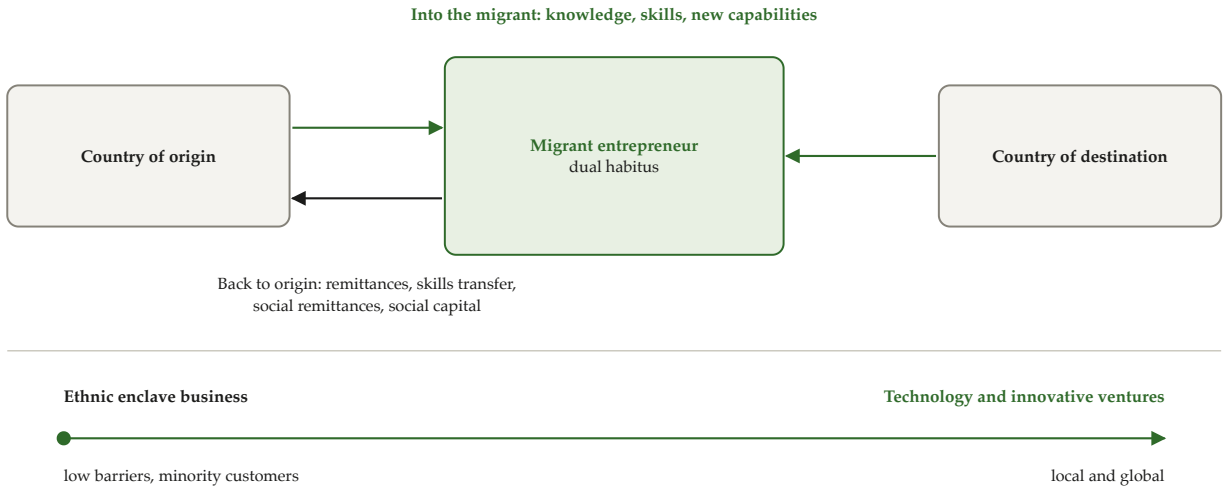


FIGURE 5.1 *The migrant entrepreneur between two countries, and the path from enclave business to innovative ventures.*

Three boxes in a row: "Country of origin" ↔ highlighted "Migrant entrepreneur: dual habitus" ↔ "Country of destination". Arrows from origin and destination into the migrant labelled "knowledge, skills, new capabilities"; arrows back to origin labelled "remittances, skills transfer, social remittances, social capital". Underneath,

a timeline from "ethnic enclave business (low barriers, minority customers)" to "technology and innovative ventures, local and global". This matches the figure in chapter Migrants as entrepreneurs: migration flows, trajectories and dual habitus.

MODEL ANSWER

MODEL ANSWER

International migration has become a major source of entrepreneurship. Since the International Conference on Population and Development in 1994, the link between migration and development has risen steadily on the international agenda, and the United Nations 2030 Agenda for Sustainable Development includes migration-related targets with regular reviews of progress (UN, 2016, as cited in Pruthi & Mitra, 2023). The economic reasoning is that migrants transfer knowledge and skills from their country of origin and acquire new capabilities in their country of residence. This helps the labour market and economy of the country of residence, and using those skills mobilizes resources and raises the personal motivation to set up enterprises in both the destination country and the country of origin. Migration flows have grown rapidly, with over 60% of international migrants living in Asia or Europe, and settlement is shaped by geography, history and growing awareness of migrants' technical and entrepreneurial skills. Developed economies such as the United States, the United Kingdom and Germany now have increasing numbers of successful start-ups and growing firms run by migrant entrepreneurs. In most OECD countries immigrants start businesses at the same rate as the native-born, and in some they are about 1.5 times as likely to be self-employed, driven by both necessity and opportunity (Pruthi & Mitra, 2023).

The trajectory of migrant entrepreneurship has changed. Historically, immigrant businesses operated in highly competitive industries with low barriers to entry and low skill requirements, serving minority communities. Migrant entrepreneurship has now moved beyond traditional ethnic businesses into a wide range of technology sectors and innovative areas, locally and globally. Session 7 explains this shift with the concept of dual habitus. The migrant experience lies in a duality of contextual knowledge, empathy and access to hard and soft resources, which stems from the migrant's dual habitus in the country of destination and the country of origin. Knowing two contexts lets migrants see opportunities and serve customers in both, and access to

resources in both widens what they can build. Global engagement therefore enables migrants to break out of stereotypical minority business enclaves, grow their ventures and gain competitive advantage. Migrant entrepreneurs are not passive adherents to institutional constraints; they actively mould those institutions to suit their own initiatives. Across the course's cases, the interest in going international and using that experience to renew home ties is constant, and the intersection of institutional structures and human agency in the dual habitus explains both the scope of and the variation in global entrepreneurship (Pruthi & Mitra, 2023).

Migrant entrepreneurs still face real barriers. Their actions are constrained by home-country endowments and institutional structures. Little is known about their networks, capabilities and locational dynamics in multiple institutional contexts. Global migrant entrepreneurship does not feature adequately in the work of policy makers, technology developers and business strategy analysts, and the systematic collection of granular data is needed to support informed decisions. Refugees face these barriers in a sharper form. Welcoming refugees is an investment with substantial economic dividends, since enterprising refugees start businesses that create wealth, employ locals, make the economy more dynamic and boost international trade and investment. Yet insecurity, legal rights and institutional issues make refugees different from other migrants, and fragility best describes the economic and social conditions that affect refugee entrepreneurship (Pruthi & Mitra, 2023).

The cases show global migrant networks of innovation at work. In Israel, outcomes for Israeli and Palestinian high-tech entrepreneurs depended on the unequal "capital set" of the migrants and on institutional arrangements. In Korea, the Hallyu or Korean Wave in film, television and music led to joint film production with China, drawing on the Chinese government's facilitation of cross-border flows of investors, directors and producers and creating new firms in technical service sectors, a clear case of cross-border knowledge and technology transfer. Japanese transnational entrepreneurs start "ex-pat" businesses in their late 30s to early 40s, often with savings from Japan, after exposure to overseas life during their careers. At the level of firms and regions, migrant networks generate positive externalities: migrants' specialisms create intermediary functions that serve larger multinational corporations, their networks ease the financial constraints of fast-growing firms, and firms with

migrant co-owners and more migrant workers are more likely to be innovative. Migrant entrepreneurs who first enter their home country to found a global venture are more likely to found born-global ventures. Global migrant entrepreneurship contributes directly to international business creation and growth, finance and investment, R&D and innovation, and international technology transfer (Pruthi & Mitra, 2023). Session 1 adds concrete examples: immigrant-founded start-ups such as Uber and eBay, and firms founded by Chinese and Taiwanese Americans in Southern California that employ more than 440,000 people and helped develop China's ICT industries, a direct case of technology transfer back to a home country.

In conclusion, migration fosters entrepreneurship by moving skills and resources between countries; the dual habitus explains why migrant ventures have moved from ethnic enclaves into technology and global markets; refugees and other migrants still face institutional, data and policy barriers; and global migrant networks, from Hallyu co-productions to California's Chinese and Taiwanese American firms, show their contribution to innovation and technology transfer. Global Migrant Entrepreneurship, by migrants with a foothold in their country of residence, now affects policy from migration to trade and deserves the attention the course argues it lacks.

APPENDIX · REFERENCES · KISI-KISI

References

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Hofstede, G. (2011). Dimensionalizing cultures: The Hofstede model in context. *Online Readings in Psychology and Culture, 2*(1). https://doi.org/10.9707/2307-0919.1014

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Tanev, S. (2012). Global from the start: The characteristics of born-global firms in the technology sector. *Technology Innovation Management Review, 2*(3), 5–8. https://doi.org/10.22215/timreview/532

Notes on the references. Bosma and Kelley's report, Hofstede (2011) and Tanev (2012) are free to read online: the first from the Global Entrepreneurship Monitor site, the second under a Creative Commons licence from Grand Valley State University's ScholarWorks, and the third under a Creative Commons Attribution licence. The slides cite the GEM report as "Bosma and Kelley (2018)"; the report is the 2018/2019 global report, published in January 2019, so the reference list gives 2019. Pruthi and Mitra (2023) and Kshetri (2018) are the course textbooks named on the slides and are not open access. All other scholars named in the answers (Zahra and George, Oviatt and McDougall, Shane and Venkataraman, Drucker, Schumpeter, Hofstede 1991, USBA, NVCA, OECD, Bridge et al., Liberto, Bamford and Bruton) are cited as they appear on the course slides, as secondary sources through Pruthi and Mitra (2023).

Flashcards

Cover the right-hand column and answer from memory.

Course map and synthesis 12 cards

The six session decks of the course, in order	Session 1 Introduction to global entrepreneurship and innovation; Session 2 Entrepreneurship and small firms; Session 3 GEM and comparative development; Session 4 Local and regional dimensions; Session 5 Theories of small firm internationalization; Session 7 Migration and global entrepreneurship.
CILO 1 of the course	Apply foundational concepts of global entrepreneurship to real-world cases involving immigrant, ethnic, returnee and transnational entrepreneurs across diverse international settings.
CILO 2 of the course	Analyze the internationalization strategies of small firms, including entry modes, regional influences, social networks and resource-based factors that shape global entrepreneurial outcomes.
Which sessions list both CILO 1 and CILO 2	Sessions 4 and 5. Sessions 1–3 list CILO 1 only; Session 7 lists CILO 2 only.
The two textbooks on the reference slides	Pruthi and Mitra (2023), Global Entrepreneurship & Innovation, 1st ed., SAGE; Kshetri (2018), Global Entrepreneurship: Environment and Strategy, 2nd ed., Routledge.
Three sessions that discuss born globals	Session 1 (INVs and born-globals as a key topic), Session 5 (born globals in the critique of the stages model), Session 7 (migrants who first enter their home country are more likely to found born-global ventures).
Format of the lecturer's mock midterm	Four essay questions of 25 marks each, 120 minutes, closed book, on campus; Q4 is a choice of Topic A (regions) or Topic B (migration).
Names the mock paper says to mention as evidence	Zahra and George, Oviatt and McDougall, Schumpeter, Hofstede, GEM 2018, USBA 2018.

Which sessions feed each mock midterm question	Q1: Session 1. Q2: Session 2. Q3: Session 3. Q4A: Session 4 (plus Silicon Valley from Session 3). Q4B: Session 7.
The four factors CILO 2 names and where they are taught	Entry modes (Session 5 establishment chain); regional influences (Session 4); social networks (Session 5, also Session 7); resource-based factors (Session 5 RBT).
Session not directly examined on the mock paper but needed for CILO 2	Session 5, Theories of small firm internationalization.
How the mock paper asks students to write	Essay form with clear, systematic and argumentative language, naming relevant theories, concepts or scholars and using real case examples discussed in class.

Session 1 · Introduction to global entrepreneurship 21 cards

International entrepreneurship: Zahra and George (2002)	The process of creatively discovering and exploiting opportunities that lie outside a firm's domestic market in the pursuit of competitive advantage.
International entrepreneurship: Oviatt and McDougall (2005)	The discovery, enactment, evaluation and exploitation of opportunities across national borders to create future goods and services.
International new ventures (INVs): Oviatt and McDougall (1994)	Business organizations that, from inception, seek significant competitive advantage from the use of resources and the sale of outputs in multiple countries.
The 'phenomenon' view of international entrepreneurship	The phenomenon of early and rapid internationalization of new and small firms.
The two research streams international entrepreneurship emerged from	Entrepreneurship and international business: interrelated but separate streams whose confluence produced the field.
Entrepreneurship as defined by Shane and Venkataraman (2000)	The scholarly examination of how, by whom and with what consequences opportunities to create future goods and services are recognized, formed, evaluated and exploited.

Innovation according to Drucker (1993)	The sum of creativity and commercialization: the means by which entrepreneurs create new wealth-producing resources or endow existing resources with enhanced wealth-creating potential.
UK migrant-founded enterprises: two figures	They employ 1.16 million people and contribute to 14% of job creation in small and medium-sized firms (Johnson and Kimmelman, 2014; Quan et al., 2019).
Chinese and Taiwanese American firms in Southern California	Employ more than 440,000 people and generate $70 billion in taxable revenues; they also contributed to China's ICT industries (Zhou and Hsu, 2011; Saxenian, 2002).
Immigrant-founded start-ups named in Session 1	Uber and eBay; such innovative start-ups account for as many as 50% of gross jobs created annually between 1980 and 2010 (NVCA, 2019).
What returnee entrepreneurs contribute to their home country	Innovation, competition and the development of an entrepreneurial culture (OECD, 2017; Tynaliev and McLean, 2011).
Venture-backed share of U.S. companies going public, 1974–2015	42%; these companies represented 63% of market capitalization and 85% of total R&D of all public companies (NVCA, 2019).
USBA (2018) job figures in Session 1	In 2018, small businesses in the USA created 55% of all jobs and 66% of all net new jobs.
The two kinds of cross-national comparison in international entrepreneurship	(1) Domestic entrepreneurship, e.g. differences in activity rates across countries; (2) entrepreneurial internationalization, e.g. cross-country differences in drivers of new venture internationalization.
Is international entrepreneurship limited to new and small ventures?	No. It also occurs in large, well-established companies pursuing entrepreneurial activities; knowledge-intensive firms and family businesses have been studied, from mini-nationals to multinationals.
The five drivers of international entrepreneurship	Political and economic developments; advances in information, communication and transportation technologies; changing nature of competition; migration and cross-border movement of people; proliferation of equity financing outside developed markets.

Overall aim of the textbook	To examine the international development of entrepreneurship and innovation.
Context and approach of the textbook	Context: for-profit ventures, new and small firms. Approach: theory and multi-country case studies tracing the role of small firms' distinctive features in their international and global growth.
Target audience of the textbook	Instructors, research scholars and potential international entrepreneurs.
Eight key topics of the textbook	Small firms' features and growth challenges; local and regional dimensions; motivations and entry strategies; immigration and immigrant entrepreneurs; globalization; INVs and born-globals; digitization; international venture capital and private equity.
Three blocks of the textbook's structure	(1) Entrepreneurship and small firms, international development, local and regional dimensions; (2) immigration, global start-ups, globalization and digitization; (3) supply of investment capital for fast-growing small and new firms.

Session 2 · Entrepreneurship and small firms 37 cards

Earliest economic use of the term entrepreneurship	A class of economic actors financially dependent on others: set up with capital to conduct their enterprise, or undertakers of their own labour without capital.
Entrepreneurs versus employees	Entrepreneurs start their own business ventures; employees earn a living working directly for someone else's business.
Invention	The origination of a new concept or idea as a result of the process of creativity.
Innovation (Session 2)	Use of an invention to create a new commercial product or service; a key force in creating new demand and thus new wealth.
Schumpeter's creative destruction in three steps	Entrepreneurs bring innovations to the market; innovations create new demand; this destroys existing markets and creates new ones.

Novice versus habitual entrepreneurs	Novice: no prior minority or majority firm ownership. Habitual: hold or have held a minority or majority stake in two or more firms, at least one established or purchased.
Routes into entrepreneurship other than starting from scratch	Buying an existing company, securing franchise rights, licensing or purchasing critical technology or methods, or inheriting a company.
Corporate entrepreneurship	Formal or informal activities aimed at creating new products or businesses, new business models or international organization structures in established companies.
Social entrepreneurship	Solving a social problem for the wider good; social enterprises serve a social mission but with a profit motive.
Green entrepreneurship	Enterprise activities that avoid harm to the environment or help to protect the environment in some way.
Personality theory of entrepreneurship	Personality characteristics influence opportunity recognition; people become entrepreneurs because of their personality: entrepreneurs are 'born', not 'made'.
Psycho-sociological theory of entrepreneurship	Not all entrepreneurs start for positive, pull-based reasons; 'disgruntlement' or dissatisfaction with a job can be the reason.
Cognitive theories of entrepreneurship	Entrepreneurs perceive market gaps or identify unnoticed opportunities.
Session 2 definition of a small business	Fewer than 500 employees and selling less than $5 million worth of products and services annually.
Entrepreneurship versus small business	Entrepreneurship focuses on the context (e.g. the start-up process) where innovative effort is required; small business focuses on established small firms.
Examples of small businesses	A corner grocery or bakery, a neighbourhood restaurant, a laundromat, a dry-cleaning shop, a lawn-mowing company.
USBA (2018): what 30.2 million U.S. small businesses comprise	99.9% of all U.S. firms; 99.7% of firms with paid employees; 47.5% of private sector employees; 40.8% of private sector payroll.

EU and U.S. SME thresholds	EU: SME under 50 employees, medium-sized under 250. USA: manufacturing SMEs 500 or fewer; copper and nickel ore mining SMEs up to 1,500.
SME size bands (Bridge et al., 2003)	Self-employed: 1 person; micro-business: 9 or up to 19; small business: 20–99; medium-sized: 100–499.
Quantitative features of small firms	Small number of employees, small initial capital requirements, and small relative size within the industry (low turnover, small market).
Qualitative features of small firms	Informal culture and the role of family; owner-founders are also managers, personally responsible for the firm's functions (ownership not dissociated from control).
Three advantages of small size	Entrepreneurial motivation and dynamism; informal structure and organization; proximity to market and control over customers' purchasing based on informal relationships.
Four disadvantages of small size	Lack of scale and scope economies; financial resource constraints; human resource constraints; lack of market control.
Human resource constraints of small firms	Centralization and lack of delegation; owner control over decisions (personal procurement of supplies, personal quality monitoring); small-batch production.
Lack of market control in small firms	Word-of-mouth publicity and informal feedback from customers; lack of a concrete sales and marketing strategy.
U.S. small business statistics for 2014	Occupied 30–50% of commercial space (20–34 billion sq ft); 23 million small businesses accounted for 54% of U.S. sales.
Three headings of the significance of small firms	Economic impact (wealth creation, job creation); societal impact (product/service innovations); impact on large firms.
Self-employed workers and millionaires	The self-employed are fewer than 20% of workers but almost two-thirds of millionaires; close to 50% of these millionaires are entrepreneurs.

Entrepreneur millionaires named in Session 2	Sergey Brin and Larry Page (Google), Bill Gates (Microsoft), Mark Zuckerberg (Facebook), Richard Branson (Virgin).
Jobs added by new U.S. entrepreneurial firms since 1990	8 million (Bamford and Bruton, 2016).
Small businesses' share of U.S. net new jobs, 1993–2011	64% (Liberto, 2019).
U.S. microenterprises with five or fewer employees	More than 25.1 million, contributing 22% of all private employment.
U.S. franchises in 2014 (SBA Office of Advocacy, 2018)	600,000-plus franchised businesses accounted for 40% of all retail sales and some 8 million jobs.
U.S. small business employment in 2015	58.9 million people, or 47.5% of the private workforce; 1.9 million net jobs created, 1.1 million by firms under 20 employees, 387,874 by firms of 100–499.
Small business share of jobs, 2018 (SBA Office of Advocacy)	55% of all jobs and 66% of all net new jobs since the 1970s.
Acquisitions showing small firms as sources of innovation for large firms	Facebook bought WhatsApp (mobile market); Microsoft bought Skype (internet communications); Intel (USA) acquired Mobileye (Israel).
Four size bands in the U.S. employment-by-business-size chart	Fewer than 20; 20 to 99; 100 to 499; more than 500 employees (USBA Office of Advocacy, 2018).

Session 3 · GEM and comparative development 50 cards

GEM's three original questions	Does entrepreneurial activity vary between countries and how much? Does it affect economic growth and prosperity? What makes a country entrepreneurial?
GEM's three revised objectives	Measure differences in entrepreneurial activity among countries; uncover factors determining national levels; identify policies that may enhance national levels.

GEM methodology	Long-term longitudinal research; first comparisons in the G7 plus Denmark, Finland and Israel; phone surveys, and face-to-face interviews in developing countries such as China, India and Uganda.
GEM's definition of entrepreneurship	Any attempt to create a new business enterprise or to expand an existing business by an individual, a team of individuals or an established business.
Total Entrepreneurial Activity (TEA) index	The percentage of the adult population that has taken some action towards creating a new business in the past year, or are owner-managers of an active business less than 42 months old.
Two components of TEA	Nascent start-up rate (those setting up a business) and new firm or new business ownership rate (those owning and running early-stage businesses).
GEM 2018: TEA by entrepreneurship type	18.6% of TEA is in family businesses; 8.0% are solo businesses.
GEM 2018: gender	Across the world, men are twice as likely to start a business as women.
Opportunity versus necessity entrepreneurs	Opportunity: start a business to exploit an opportunity. Necessity: start to sustain themselves because other work options are absent or unsatisfactory.
Share of opportunity entrepreneurs by income level (GEM 2018)	37% in low-income, 42% in middle-income, 51% in high-income economies.
GEM 2018 on entrepreneurial activity and GDP	No causal relationship with GDP, per capita income or national growth, but a U-shaped relationship with economic development.
The U-shaped relationship explained	Low/middle-income countries: entrepreneurship relatively high but falls as income rises. High-income countries: necessity entrepreneurship low, but opportunity entrepreneurship starts to increase as income rises.

Range of TEA rates in the 49-economy chart (Bosma and Kelley, 2018)	From a few per cent in Japan and much of Europe to around 40% in Angola, split into necessity and improvement-driven opportunity shares.
Four external influences on the international development of entrepreneurship	Political, economic, sociocultural and technological factors.
Two elements of the political environment	Types of political system (free market versus central planning/communism) and government intervention.
Government intervention: setting the conditions for enterprise	Tax reforms and regulations, e.g. time to set up and register new businesses, low interest rates, listing requirements for new and small firms.
Government intervention: direct measures	Cost reduction and provision of finance; specialist advice, information, training and development; investment in R&D.
Two elements of the economic environment	Level of economic development and state of the economy.
Entrepreneurship in developed economies	Pull motivations; continuity of business (long-term ownership).
Entrepreneurship in developing economies	Push motivations; higher business birth rates (risk avoidance, sell-out); social entrepreneurship.
TEA in the USA around the financial crisis	TEA rates went down after the 2009/2010 financial crisis, while high TEA in the late 2000s coincided with high unemployment.
Why entrepreneurial activity has diminished in China	Probably due to the increased scale of growth of many companies as a consequence of sustained economic growth.
Role of job availability in entrepreneurship	It signals fall-back options for those whose entrepreneurial efforts do not work out.
Two levels of the cultural environment	Societal culture and national culture.
GEM's three measures of societal culture	Societal attitudes; self-perceptions; affiliations.
Societal attitudes (GEM)	Whether successful entrepreneurs have high status, whether starting a business is a good career choice, and how much media attention entrepreneurship receives.

Affiliations (GEM)	Social networks with entrepreneurs that provide role models and experienced, eager stakeholders such as investors, board members, partners and mentors.
Regional pattern: North America/Europe versus Latin America	North America and Europe: more believe entrepreneurs have high status than think it a good career. Latin America and Caribbean: more think it a good career than believe it brings status.
Affiliations by region	North America generally lower; Middle East highest; Africa lowest.
Definition of culture (Session 3)	A set of historically evolved learned values, attitudes and meanings shared by members of a community that influences their material and non-material way of life.
Hofstede's five dimensions (Hofstede, 1991)	Power distance; uncertainty avoidance; individualism/collectivism; masculinity/femininity; long-term orientation.
Power distance: meaning and extremes	Acceptance of an unequal distribution of power. Highest: Malaysia, Mexico. Lowest: Germany, Austria.
Uncertainty avoidance: meaning and extremes	How threatened society feels by uncertain, ambiguous situations. Highest: Greece, Japan. Lowest: USA, Singapore.
Individualism/collectivism: meaning and extremes	Valuing individual freedom versus a tight social framework and group loyalty. Highest: USA, Canada. Lowest: Mexico, Guatemala.
Masculinity/femininity: meaning and extremes	Orientation to money and things (masculine) or people (feminine). Highest: Japan, Mexico. Lowest: France, Sweden.
Long-term orientation: extremes	Highest: Hong Kong, Japan. Lowest: Pakistan.
Three ways universities foster entrepreneurship	Providing knowledge; conditioning mindsets; providing support infrastructure such as incubation and support networks.
How technology supports international entrepreneurship	ICT connects entrepreneurs with international markets and customers and helps coordinate activities at a distance, so they can sell outside their home market.

Four key issues in international comparisons of entrepreneurship	Ambiguity in impact of specific external factors; interdependence of factors; differing forms and goals of entrepreneurship; regional variations.
Why the impact of external factors is ambiguous	Successful nations score very differently on Hofstede's dimensions, so there are no easily defined 'right' or 'wrong' conditions; and results depend on how the outcome variable is defined (e.g. large firms in Korea and Japan).
Interdependence of external factors: key points	Political and economic influences are not independent; less developed countries have unstable environments affecting business longevity; political, economic and cultural factors are interrelated.
Differing forms and goals of entrepreneurship in Asia	In collectivist Asian countries enterprise appears as large organizations; large firms create entrepreneurial opportunities; social ventures must also be considered.
Kaisha (Japan)	Goal: employment; large, professionally managed and complex enterprise.
Chaebol (South Korea)	Goal: national development goals of the country; large family businesses managed like a regiment.
Guanxi (China)	Goal: create and sustain family fortunes in family businesses; share information based on networking.
Taiwan as an example of multiple indicators	Lower start-up rates than regional neighbours but high established business and employee entrepreneurship rates (GEM, 2018).
Three challenges in assessing the role of culture	Different levels of culture; different layers of society (age, class, gender, occupation, family, religion); different units of entrepreneurship (individual, group, community).
National Entrepreneurship Context Index (NECI)	GEM's composite index of the environment for entrepreneurship, derived from twelve framework conditions weighted by the importance experts place on them.
Top five economies in the NECI table (Bosma and Kelley, 2018)	Qatar 6.7, Indonesia 6.6, Netherlands 6.5, Taiwan 6.3, India 6.2 (out of 10, 54 economies).

Example of a regional cluster of entrepreneurship	Silicon Valley.

Session 4 · Local and regional dimensions 23 cards

Why a regional view matters for international entrepreneurship	Businesses trade, ally, network, invest and offshore based on information about attractive regions; supply and value chains are increasingly international; knowing environments is central to understanding international entrepreneurship.
Link between global and local economies (Session 4)	The more global a region is in economic terms, the greater the likelihood that it is also a powerful local economy.
Four parts of the regional chapter	(1) The concept of regions; (2) knowledge spillovers; (3) human, social and entrepreneurial capital; (4) growth corridors.
The concept of 'regions'	Associated with governance of policies of institutions facilitating economic development, social cohesion and environmental welfare; usually a sub-national administrative unit, but can encompass countries (e.g. the European Region).
What a region's identity is based on	Arrangements and reconfigurations of beliefs, values and cultural perceptions of groups of people.
Knowledge spillovers (KSs)	Knowledge externalities bounded in space.
Why proximity to knowledge sources matters	Firms near key sources of knowledge, intelligence and data introduce innovations faster than rivals located elsewhere.
'Leaky' knowledge	Knowledge created in one organization can leak, letting rivals appropriate some of it without having to create it.
Four channels of knowledge spillover	Employees changing jobs; knowledge exchange with universities; informal collaborations among firms; sharing know-how across value chains.

Factors that enable the KS effect	Physical, institutional, social and socio-psychological factors, which establish framework conditions for entrepreneurship and wealth creation in a region.
Human capital versus social capital in regions	Some authors see human capital as key to growth, especially in cities; others say social capital matters more because it harnesses networks and relationships beyond the individual entrepreneur.
Effect of cultural diversity in urban networks	Inflow of different kinds of human capital, promoting innovation, accelerating information flows and fostering new ideas, leading to higher new firm formation.
Creative entrepreneurial capital	The amalgam of institutions, talent and technology; institutions, good governance and talent give regions a local edge over neighbours.
Entrepreneurial capital	A composite form of capital defined at economic (region and industry), organizational and personal (team and individual) levels.
How to measure regional competitiveness (Session 4)	By the combination of regional assets (human, social, technological and entrepreneurial capital) and their strength or value.
Corridors	Bundles of infrastructure (rail links, highways) connecting two or more urban areas in one country or across adjacent countries, enhanced by ICT, power lines and pipes.
Purpose and origin of growth corridors	Instruments to boost economic development in developing economies; based on World Economic Forum deliberations and the World Bank's World Development Reports.
The first growth corridor	The Maputo Development Corridor (MDC), 1996; its success led NEPAD to replicate corridors throughout Africa.
What drives the development of a corridor	The economic potential of a basic transport route.

Three stages from transport to economic corridor	Hard infrastructure creates a transport corridor; rising freight and people call for soft infrastructure (logistics, legal, institutional, management); efficiency attracts investment, creating an economic corridor.
Global value chains (GVCs) and corridors	Interest in GVCs, the integration of international value chains of individual and connected sectors, has overtaken interest in regional economic corridors.
LO4 of Session 4	Understand and evaluate how local regions connect with cross-border regions and become transnational regions through growth corridors.
Regions as international hubs (chapter summary)	Cities and regions become focal points of global activity, cultivating human, social, creative and entrepreneurial capital; their critical mass is partly a function of internationalization, bringing the world into the local environment.

Session 5 · Theories of small firm internationalization 35 cards

Internationalization (Luostarinen, 1994)	The process of increasing involvement in international operations: a continuum from import activity or domestic internationalization, through extra-regional expansion, to full globalization.
When GEM (2018) counts an entrepreneur as international	When 25% or more of their sales come from customers outside their economy.
SME internationalization and economy size	Generally greater in small, open economies and less in large, self-contained economies, though not always.
U.S. SMEs in services exports, 2015	Over 95% of firms exporting services had under 250 employees and accounted for almost half the value; firms under 10 employees accounted for almost a quarter.
Evidence that small firms are underrepresented abroad	Only a very small share of U.S. services firms export; SMEs investing abroad are only 0.1% of SMEs in Japan and 0.03% in Korea.

Four benefits of internationalization	Access foreign markets and raise sales and profits; offset declining domestic sales and disperse risk; improved product quality; lower production costs through economies of scale.
Three theories of internationalization	Stages (Uppsala) model; network theory; resource-based theory.
Core idea of the stages (Uppsala) model	Small firm internationalization is an incremental, sequential, staged process to minimise risk and uncertainty and gain market knowledge and experience.
Pre-export behaviour: the innovation (I) model	An interplay between the individual decision maker and the firm's environment and history, including experience and extra-regional expansion.
Psychic distance	The extent of proximity in language, culture, political systems and business factors such as industry structure and competitive environment.
Foreign market selection in the stages model	Firms first enter psychically close countries that are easily understood with low perceived uncertainty, later venturing into markets of greater psychic distance.
The establishment chain	1. No regular export; 2. Export via agents/intermediaries; 3. Sales subsidiaries; 4. Production/manufacturing.
The psychic distance paradox	Operations in culturally proximate countries are not always easy to manage.
Factors that change the path in the psychic distance critique	Experience in another foreign market; technology and global communications; social networks and client followership.
Three types of small firm in the heterogeneity critique	Traditional exporters (incremental); late starters (leapfrog some stages); born globals.
Four points of critique of the stages models	Psychic distance paradox; heterogeneity of small firms; service sector firms; aspirations of entrepreneurs.
Social networks (Brass, 1992)	The pattern of relationships, or actual set of links, between individuals, groups and organizations, which is greater than the sum of its parts.

Social network theory of entrepreneurship	Entrepreneurs' networks (who they know) influence their ability to create, develop and grow firms (Aldrich and Zimmer, 1986; Dubini and Aldrich, 1991); interactions build knowledge and trust that facilitate internationalization.
Five dimensions of network structure	Size; diversity (age, gender, education); density (extensiveness of ties); stability (change over time); strength (strong or weak ties).
Strong ties	Relationships with close people, marked by trust, strong emotional bonds and frequent interaction, e.g. family and friends.
Weak ties	New relationships, often in a different context, with infrequent interaction and no close bond, e.g. a father's friend, a friend of a friend, an introduced customer or supplier.
Personal, professional and intermediary ties	Personal: family and friends. Professional: former colleagues, buyers, suppliers. Intermediary: forums, conferences and events that may form strong or new ties.
Network content (social capital)	Finance; technical knowledge; information and advice; emotional support; reputation or signalling content.
Why strong ties are not the most important for internationalization	Because of their small number and the investment required.
Effect of cross-border weak ties	They positively and significantly influence the speed of venture internationalization.
Effect of network size and density on internationalization	Larger networks: faster internationalization and more rapid increases in country scope. Dense networks: relatively efficient support for internationalization.
Resource-based theory (RBT)	Firms are collections of productive resources; heterogeneity of resources gives unique, idiosyncratic characteristics that contribute to competitive advantage.
Dynamic capabilities	A firm's ability to combine and re-combine resources and use its resource base in ways that confer a competitive advantage over a long period.

How RBT sees internationalization decisions	Made within a coordinated framework of resources and capabilities, and environmental realities.
Internal factors under RBT	Financial (tangible) resources: finance, plant and machinery. Human (intangible) resources: characteristics of the decision maker.
Characteristics of the decision maker (RBT)	Age; education; international experience/knowledge (international orientation); prior work or start-up experience; international networks (customers abroad).
Evidence on decision-maker characteristics	There is no clear evidence on whether age, education or personality traits influence internationalization.
Home competitive environment as a push factor	Competitive pressure, declining home sales and market saturation, e.g. Italy's Parmigiano-Reggiano makers.
Institutional environment example	Federal grants from the government in Las Vegas, Nevada, USA, led small businesses to enter foreign markets; foreign governments can also support.
Nature of the product and internationalization	High-tech firms are small and international; short product life cycle industries are more likely to internationalize; R&D intensity and product attributes matter more than size.

Session 7 · Migration and global entrepreneurship 22 cards

Milestones that put migration and development on the international agenda	The International Conference on Population and Development (1994) and the UN 2030 Agenda for Sustainable Development (UN, 2016), with migration-related targets.
How migrants' skills support enterprise	Knowledge and skills from the country of origin plus new capabilities in the country of residence contribute to its economy and can mobilize resources and motivation to start enterprises in both countries.
Four parts of the migration chapter	(1) Migration flows and entrepreneurship; (2) how migrants develop entrepreneurial activities; (3) short case studies; (4) challenges.

Where most international migrants live	Over 60% live in Asia or Europe.
Ways migrant entrepreneurs affect their countries of origin	Remittances, skills transfer, social remittances and social capital.
Immigrant business creation in OECD countries	In most OECD countries immigrants set up businesses at the same rate as the native-born; in some they are about 1.5 times as likely to be self-employed.
Historical pattern of immigrant businesses	Highly competitive industries with low barriers to entry and low skill requirements, serving minority communities.
Current pattern of migrant entrepreneurship	Beyond traditional ethnic businesses into a wide range of technology sectors and innovative areas, locally and globally.
Dual habitus	The duality of contextual knowledge, empathy and access to hard and soft resources that migrants hold from both the country of destination and the country of origin.
What global engagement lets migrant entrepreneurs do	Break out of stereotypical minority business enclaves, grow their ventures and gain competitive advantage.
Migrant entrepreneurs and institutional constraints	They are not passive adherents; they actively mould institutional constraints to suit their own initiatives.
Case 1: Israel	Outcomes for Israeli and Palestinian high-tech entrepreneurs were a function of the unequal 'capital set' of migrants and the institutional arrangements.
Case 2: Korea (Hallyu)	The Korean Wave in film, TV and music; joint film production with China leveraged the Chinese government's facilitation of cross-border flows of investors, directors and producers, creating firms in technical services.
Case 3: Japanese transnational entrepreneurs	Start 'ex-pat' businesses in their late 30s to early 40s, often funded by savings in Japan, after exposure to overseas life during the exploration stage of their career.

Two observations across the migrant cases	Interest in going international and using the experience to renew home ties is constant; the intersection of institutional structures and human agency in the dual habitus explains the scope and variation of global entrepreneurship.
Contributions of refugee entrepreneurs	They start businesses that create wealth, employ locals, make the economy more dynamic, and boost international trade and investment.
What makes refugees different from migrants	Insecurity, legal rights and institutional issues; 'fragility' best describes their economic and social conditions.
Benefits of global migrant networks of innovation to regions and firms	Positive externalities; intermediary functions serving multinationals; networks that alleviate financial constraints; migrant co-owners and workers raise innovativeness.
Migrant entrepreneurs and born globals	Migrant entrepreneurs who first enter their home country to found a global venture are more likely to found 'born global' ventures.
Direct contributions of global migrant entrepreneurship	International business creation and growth; finance and investment; R&D and innovation; international technology transfer.
Four challenges and barriers for migrant entrepreneurs	Constrained by home-country endowments and institutions; little known about their networks, capabilities and locational dynamics; neglected by policy makers and analysts; need for systematic granular data.
Global Migrant Entrepreneurship (GME)	A growing phenomenon among migrant entrepreneurs with an economic foothold in their country of residence (COR), affecting policy from migration to trade and social policy.

Abbreviations 29 cards

CILO	Course intended learning outcome; this course has two (CILO 1 and CILO 2), shown as LO1 and LO2 on the mock paper

COR	Country of residence: where a migrant entrepreneur has secured an economic foothold
EU	European Union: defines an SME as under 50 employees and a medium-sized enterprise as under 250 (Session 2)
G7	Group of Seven: the USA, UK, Canada, Japan, France, Germany and Italy, GEM's first comparison countries
GDP	Gross domestic product: GEM finds no causal link between it and the level of entrepreneurial activity
GEM	Global Entrepreneurship Monitor: long-term research comparing entrepreneurial activity across countries
GME	Global Migrant Entrepreneurship: migrant entrepreneurs with an economic foothold in their country of residence building global ventures
GVC	Global value chain: integrated international value chains of individual and connected sectors
I model	Innovation model of pre-export behaviour: interplay of decision maker and the firm's environment and history
ICT	Information and communication technology
INV	International new venture: a firm that from inception seeks significant competitive advantage from resources and sales in multiple countries (Oviatt and McDougall, 1994)
KS	Knowledge spillover: a knowledge externality bounded in space
LO	Learning objective or learning outcome (LO4 and LO5 in Session 4; LO1 and LO2 on the mock paper)
MDC	Maputo Development Corridor: the first growth corridor, set up in 1996

NECI	National Entrepreneurship Context Index: GEM's composite index of twelve weighted framework conditions
NEPAD	New Partnership for Africa's Development: replicated the corridor model across Africa
NVCA	National Venture Capital Association: source of the venture-capital statistics in Session 1 (2019)
OECD	Organisation for Economic Co-operation and Development
PEST	Political, economic, sociocultural and technological: the four external influences on entrepreneurship
R&D	Research and development
RBT	Resource-based theory: firms as collections of productive resources
SBA	(United States) Small Business Administration; Session 2 also writes USBA
SME	Small and medium-sized enterprise
TEA	Total Entrepreneurial Activity: % of adults starting a business or owning one under 42 months old
U model	Uppsala model: the stages model of internationalization
UK	United Kingdom
UN	United Nations
U.S., USA	United States; United States of America
USBA	U.S. Small Business Administration (also SBA); its Office of Advocacy is the source of the 2018 small business data

Self-check quiz

Pick an answer for each question, then check yourself against the answers and explanations that follow.

1. **Which course intended learning outcome (CILO) does Session 7, Migration and global entrepreneurship, list?**
   A. CILO 2 only
   B. CILO 1 only
   C. Both CILO 1 and CILO 2
   D. No CILO is listed

2. **Which textbook supplies the figure and table numbering used on the course slides?**
   A. Kshetri (2018), Global Entrepreneurship: Environment and Strategy
   B. Bosma and Kelley (2018), the GEM global report
   C. Pruthi and Mitra (2023), Global Entrepreneurship & Innovation
   D. Shane and Venkataraman (2000)

3. **Zahra and George (2002) define international entrepreneurship as the process of creatively discovering and exploiting opportunities that lie where?**
   A. Inside the firm's home region, to reduce costs
   B. Outside a firm's domestic market, in pursuit of competitive advantage
   C. In multiple countries from the firm's inception
   D. Across national borders to create future goods and services

4. **International new ventures (INVs), as defined by Oviatt and McDougall (1994), are distinguished by what?**
   A. They internationalize only after building a strong home market
   B. They are large multinationals launching new divisions abroad
   C. They import inputs but sell only domestically
   D. They seek significant competitive advantage from resources and sales in multiple countries from inception

5. **International entrepreneurship emerged from the confluence of which two research streams?**
   - A. Economics and sociology
   - B. Marketing and strategic management
   - C. Innovation and venture finance
   - D. Entrepreneurship and international business

6. **According to Session 1, what share of all jobs did small businesses in the USA create in 2018 (USBA, 2018)?**
   - A. 66%
   - B. 55%
   - C. 47.5%
   - D. 14%

7. **Which of these is NOT one of the five drivers of international entrepreneurship listed in Session 1?**
   - A. Rising trade tariffs in developed markets
   - B. Migration and cross-border movements of people
   - C. Proliferation of equity financing outside developed markets
   - D. Changing nature of competition

8. **Which statement about the scope of international entrepreneurship matches Session 1?**
   - A. It is limited to new ventures under 42 months old
   - B. It excludes family businesses
   - C. It also covers entrepreneurial activities in large, well-established companies
   - D. It covers only firms that export from inception

9. **Cross-country differences in the drivers of new venture internationalization are an example of which kind of comparison?**
   - A. Entrepreneurial internationalization
   - B. Domestic entrepreneurship
   - C. Corporate entrepreneurship
   - D. Regional innovation systems

10. Drucker (1993) describes innovation as the sum of which two elements?

A. Invention and patenting
B. Research and development
C. Creativity and commercialization
D. Opportunity and necessity

11. In Schumpeter's creative destruction, what directly follows when entrepreneurs bring innovations to the market?

A. Existing firms lower their prices
B. The innovations create new demand
C. Governments regulate the new market
D. Inventions are patented

12. A person who has held a majority stake in two firms, one of which they started, is classed as what?

A. A novice entrepreneur
B. A solo entrepreneur
C. A corporate entrepreneur
D. A habitual entrepreneur

13. Which theory says dissatisfaction with a job can be the reason someone becomes an entrepreneur?

A. Personality theory
B. Cognitive theories
C. Resource-based theory
D. Psycho-sociological theory

14. Social enterprises, as Session 2 defines them, serve a social mission with what kind of motive?

A. No financial motive at all
B. A profit motive
C. A purely environmental motive
D. A government-funded motive

15. Which definition of a small business does Session 2 give?

A. Fewer than 500 employees and annual sales under $5 million
B. Fewer than 50 employees and annual sales under $10 million
C. Fewer than 250 employees in any industry
D. Up to 1,500 employees in all sectors

16. Which is a qualitative, not quantitative, feature of small firms?

A. A small number of employees
B. Small initial capital requirements
C. Owner-founders who also manage the firm's functions
D. Low turnover within the industry

17. Word-of-mouth publicity and no concrete sales and marketing strategy illustrate which disadvantage of small size?

A. Lack of market control
B. Human resource constraints
C. Financial resource constraints
D. Lack of scale and scope economies

18. According to USBA (2018), small businesses make up what share of all U.S. firms?

A. 99.7%
B. 47.5%
C. 99.9%
D. 54%

19. Why did Facebook buy WhatsApp, according to Session 2?

A. To enter internet communications
B. To enter the mobile market
C. To acquire an Israeli technology firm
D. To reduce competition in desktop software

20. The self-employed make up fewer than 20% of workers. What share of millionaires are self-employed?

A. About one-fifth
B. Close to 50%
C. Over 90%
D. Almost two-thirds

21. In 2015, which firm-size group added the fewest net jobs (SBA Office of Advocacy, 2018)?

A. Firms with fewer than 20 employees
B. Firms with 20–99 employees
C. Microenterprises with five or fewer employees
D. Firms with 100–499 employees

22. The TEA index counts owner-managers of businesses up to what age?

A. Less than 12 months old
B. Less than 42 months old
C. Less than 24 months old
D. Less than 60 months old

23. What share of entrepreneurs in high-income economies are opportunity entrepreneurs, according to GEM 2018?

A. 51%
B. 37%
C. 42%
D. 18.6%

24. Which statement matches GEM 2018's finding on entrepreneurship and economic development?

A. Higher TEA causes higher GDP growth
B. Entrepreneurship rises steadily as income rises
C. There is a U-shaped relationship with development, but no causal link with GDP
D. Entrepreneurship is highest in high-income countries

25. Which are the two components of the TEA index?

A. Nascent start-up rate and new business ownership rate
B. Opportunity rate and necessity rate
C. Established business rate and employee entrepreneurship rate
D. Start-up rate and business exit rate

26. Which countries were in GEM's initial comparison alongside the G7?

A. China, India and Uganda
B. Korea, Taiwan and Singapore
C. Denmark, Finland and Israel
D. Brazil, Mexico and Chile

27. Investment in R&D and provision of specialist advice are examples of which form of government intervention?

A. Setting the conditions for enterprise
B. Direct measures to support the entrepreneurial process
C. Central planning
D. Tax reform

28. Which describes entrepreneurship in developing economies, according to Session 3?

A. Pull motivations and long-term ownership
B. Low business birth rates and continuity
C. Mainly corporate entrepreneurship
D. Push motivations and higher business birth rates

29. What reason does Session 3 give for falling entrepreneurial activity in China?

A. The 2009/2010 financial crisis
B. High unemployment
C. Central planning restrictions
D. The increased scale of growth of many companies due to sustained economic growth

30. Which country does Session 3 list as lowest on uncertainty avoidance, together with Singapore?

A. Japan
B. USA
C. Greece
D. Germany

31. In GEM's measures of societal culture, 'affiliations' refers to what?

A. Social networks with entrepreneurs that provide role models and stakeholders
B. Whether people think it is easy to start a business locally
C. Media attention given to entrepreneurship
D. Membership of business associations

32. Hofstede's masculinity/femininity dimension measures orientation towards what?

A. Individual freedom versus group loyalty
B. Long-term versus short-term goals
C. Money and things versus people
D. Acceptance of unequal power

33. Which Asian business system has the goal of national development and is managed like a regiment?

A. Chaebol (South Korea)
B. Kaisha (Japan)
C. Guanxi (China)
D. Hallyu (Korea)

34. How is GEM's National Entrepreneurship Context Index (NECI) built?

A. From TEA rates in 54 economies
B. From Hofstede's five dimensions
C. From twelve framework conditions weighted by the importance experts place on them
D. From the share of opportunity entrepreneurs

35. Which economy ranks first on NECI in the table from Bosma and Kelley (2018)?

A. Indonesia
B. Qatar
C. Netherlands
D. United States

36. How does Session 4 define knowledge spillovers?

A. Knowledge protected by patents within a region
B. Technology transferred between countries by treaty
C. Knowledge sold by universities to firms
D. Knowledge externalities bounded in space

37. Which is NOT one of the channels of knowledge spillover named in Session 4?

A. Employees changing jobs
B. Knowledge exchange with universities
C. Sharing know-how across value chains
D. Government licensing of foreign patents

38. The term 'region' usually refers to which level, according to Session 4?

A. A group of continents
B. A sub-national administrative unit
C. A single city block
D. Any country with a free market

39. Which statement about global and local economies does Session 4 make?

A. The more global a region is economically, the more likely it is also a powerful local economy
B. Global regions usually have weak local economies
C. Local economies shrink as regions globalize
D. Regions must choose between global and local markets

40. What was the first growth corridor, set up in 1996?

A. Silicon Valley
B. The European Region
C. The Maputo Development Corridor
D. The NEPAD corridor in Kenya

41. In the evolution of a corridor, what follows the growth of freight and people moving along a transport corridor?

A. Improvement of soft infrastructure: logistics, legal, institutional and management support
B. Construction of the first highway
C. Closure of the route to new investors
D. Conversion into a global value chain

42. Why do some authors argue social capital matters more than human capital in regions?

A. It can be measured more easily than education
B. It is created only by governments
C. It harnesses the contributions of people beyond the individual entrepreneur through networks and relationships
D. It replaces the need for talent

43. Entrepreneurial capital is defined at which levels of analysis?

A. Local, national and global
B. Economic (region and industry), organizational, and personal (team and individual)
C. Financial, human and social
D. Political, economic and cultural

44. According to GEM (2018), entrepreneurs are international when what share of sales comes from customers outside their economy?

A. 10% or more
B. 50% or more
C. Any foreign sale at all
D. 25% or more

45. Which evidence shows that small firms are underrepresented in international markets?

A. Over 95% of U.S. services exporters have fewer than 250 employees
B. Small firms account for almost half of U.S. services exports
C. SME internationalization is greater in small, open economies
D. SMEs investing abroad are only 0.1% of SMEs in Japan and 0.03% in Korea

46. Luostarinen (1994) describes internationalization as a continuum ending in what?

A. Export via agents
B. Full globalization
C. Foreign direct investment in one country
D. Domestic internationalization

47. What is the third step of the establishment chain in the stages (Uppsala) model?

A. Sales subsidiaries
B. Export via agents or intermediaries
C. Production or manufacturing
D. No regular export

48. Psychic distance covers proximity in which factors?

A. Kilometres and transport time
B. Exchange rates and tariffs only
C. Language, culture, political systems and business factors
D. Firm size and age

49. Which firms 'leapfrog some stages', according to the critique of the stages model?

A. Late starters
B. Traditional exporters
C. Service sector firms
D. Habitual entrepreneurs

50. What is the 'psychic distance paradox'?

A. Distant markets are always easier than close ones
B. Firms never enter psychically close markets first
C. Operations in culturally proximate countries are not always easy to manage
D. Psychic distance cannot be measured

51. Which type of tie positively and significantly influences the speed of venture internationalization?

A. Strong family ties
B. Cross-border weak ties
C. Ties within the home region
D. Intermediary ties with local government

52. A friend of a friend whom you rarely see is an example of what?

A. A strong tie
B. A personal or friendship tie
C. Network density
D. A weak tie

53. Which dimension of network structure refers to the extensiveness of ties between actors?

A. Network size
B. Network stability
C. Network diversity
D. Network density

54. Under the resource-based theory, what are dynamic capabilities?

A. The firm's stock of plant and machinery
B. A firm's ability to combine and recombine resources for long-term competitive advantage
C. Government support for exporters
D. The entrepreneur's personal network

55. What does Session 5 say about the influence of a decision maker's age and education on internationalization?

A. There is no clear evidence that they influence it
B. Younger decision makers always internationalize faster
C. Education is the strongest predictor
D. They matter more than R&D intensity

56. Italy's Parmigiano-Reggiano makers illustrate which factor pushing firms abroad?

A. Support from foreign governments
B. High technology intensity
C. Declining home sales and market saturation
D. Federal grants

57. In some OECD countries, how much more likely than the native-born are immigrants to be self-employed?

A. About 1.5 times
B. About twice
C. About three times
D. Equally likely in every country

58. What does 'dual habitus' refer to in Session 7?

A. Holding two passports
B. Running two businesses in one country
C. Migrants' duality of contextual knowledge, empathy and resources from both destination and origin countries
D. Living in two cities of the same country

59. Where do over 60% of international migrants live, according to Session 7?

A. North America
B. Asia or Europe
C. Africa
D. Latin America

60. How does Session 7 describe the historical pattern of immigrant businesses?

A. High-technology ventures backed by venture capital
B. Large family conglomerates
C. State-owned enterprises
D. Highly competitive, low-barrier, low-skill industries serving minority communities

61. Which word best describes the conditions affecting refugee entrepreneurship, according to Session 7?

A. Stability
B. Dual habitus
C. Affluence
D. Fragility

62. In the Korean case, what did joint film production with China draw on?

A. Japanese savings brought home by ex-pats
B. The Chinese government's facilitation of cross-border flows of investors, directors and producers
C. The unequal capital set of Israeli migrants
D. Remittances from Korean refugees

63. Migrant entrepreneurs who first enter their home country to found a global venture are more likely to found what kind of venture?

A. Born global ventures
B. Traditional exporters
C. Local minority enclave businesses
D. Franchises

64. At what career stage do Japanese transnational entrepreneurs typically start their 'ex-pat' businesses?

A. Early 20s, straight after university
B. After retirement
C. Late 30s to early 40s
D. Late 50s

65. On the lecturer's mock midterm, how is the last question organized?

A. Students choose Topic A (regions) or Topic B (migration)
B. Students answer both Topic A and Topic B
C. It is a multiple-choice section
D. It covers Session 5 theories only

66. Which factor named in CILO 2 is taught in Session 4 rather than Session 5?

A. Entry modes
B. Social networks
C. Regional influences
D. Resource-based factors

Answers and explanations

1. **A.** The Session 7 learning objectives slide lists CILO 2. Sessions 4 and 5 are the decks that list both outcomes.
2. **C.** The slides follow Pruthi and Mitra's chapters (for example their figures 2.1 and 3.2). Kshetri is the second reference; Bosma and Kelley is a source quoted inside the slides.
3. **B.** Zahra and George stress opportunities outside the domestic market. 'From inception in multiple countries' is the INV definition (1994), and 'across national borders to create future goods and services' is Oviatt and McDougall (2005).
4. **D.** The defining feature is that INVs are international from inception. Building a home market first describes the gradual path of the stages model.
5. **D.** Session 1 states the field emerged from two interrelated but separate streams: entrepreneurship and international business.
6. **B.** 55% of all jobs and 66% of net new jobs. 47.5% is the small business share of private sector employees; 14% is UK migrant firms' share of SME job creation.
7. **A.** The five drivers are political and economic developments, ICT and transport advances, changing competition, migration, and equity financing outside developed markets. Tariffs are not listed.
8. **C.** Session 1 says the study is not limited to new and small ventures; large firms, knowledge-intensive firms and family businesses are also studied.
9. **A.** Session 1 gives two kinds of cross-national comparison; differences in activity rates illustrate domestic entrepreneurship, while differences in internationalization drivers illustrate entrepreneurial internationalization.
10. **C.** Session 1 quotes Drucker: innovation, as the sum of creativity and commercialization, lets entrepreneurs create or enhance wealth-producing resources.
11. **B.** The sequence on the slides is: entrepreneurs bring innovations to market, innovations create new demand, and this destroys existing markets and creates new ones.
12. **D.** Habitual entrepreneurs hold or have held a minority or majority stake in two or more firms, at least one established or purchased. Novices have no prior ownership.
13. **D.** Psycho-sociological theory notes that not all entrepreneurs start for pull reasons; 'disgruntlement' can be the cause. Personality theory says entrepreneurs are born, and cognitive theories stress spotting gaps.
14. **B.** The slide says social enterprises serve a social mission 'but with a profit motive'.

15. **A.** Session 2 defines a small business as under 500 employees and under $5 million in annual sales. Under 50 and under 250 are the EU thresholds; 1,500 applies to U.S. copper and nickel ore mining.
16. **C.** Qualitative features are informal culture, the role of family and owners who are also managers. The others are quantitative.
17. **A.** The slides list word-of-mouth publicity, informal feedback and no concrete marketing strategy under lack of market control.
18. **C.** 99.9% of all U.S. firms; 99.7% is the share of firms with paid employees, 47.5% the share of private employees, and 54% the 2014 share of U.S. sales.
19. **B.** Facebook bought WhatsApp to enter the mobile market. Internet communications was Microsoft's reason for buying Skype; Intel acquired Israel's Mobileye.
20. **D.** Almost two-thirds of millionaires are self-employed, and close to 50% of these millionaires are entrepreneurs.
21. **D.** Firms with 100–499 employees added 387,874 net jobs, the smallest gain; firms with fewer than 20 employees added 1.1 million, the largest.
22. **B.** TEA covers adults who took action towards a new business in the past year or who own-manage an active business less than 42 months old.
23. **A.** The share rises from 37% (low-income) to 42% (middle-income) to 51% (high-income). 18.6% is TEA in family businesses.
24. **C.** The slides say there is no causal relationship with GDP or growth, but a U-shaped relationship: high in low/middle-income countries, falling with income, then opportunity entrepreneurship rising in high-income countries.
25. **A.** TEA combines those setting up a business (nascent) and those owning and running early-stage businesses (new business ownership).
26. **C.** GEM began with the G7 plus Denmark, Finland and Israel; China, India and Uganda are named as developing countries surveyed face to face.
27. **B.** Direct measures are cost reduction and finance, advice, information and training, and R&D investment. Setting conditions covers tax reforms and regulations.
28. **D.** Developing economies show push motivations, higher birth rates (risk avoidance, sell-out) and social entrepreneurship; pull and continuity describe developed economies.
29. **D.** The slide says activity has diminished probably because sustained growth increased the scale of many companies. The financial crisis is linked to the USA.
30. **B.** USA and Singapore are lowest; Greece and Japan are highest. Germany appears as lowest on power distance.

31. **A.** Affiliations are links to entrepreneurs that offer role models and investors, board members, partners and mentors. Ease of starting is self-perception; media attention is a societal attitude.
32. **C.** Masculine societies orient to money and things, feminine ones to people. The other options describe individualism, long-term orientation and power distance.
33. **A.** Chaebol pursue national development goals as large family businesses managed like a regiment. Kaisha aim at employment; guanxi at family fortunes; Hallyu is the Korean Wave in Session 7.
34. **C.** NECI is a composite of twelve framework conditions, weighted by expert importance, assessing the environment for entrepreneurship rather than activity.
35. **B.** Qatar scores 6.7, ahead of Indonesia (6.6), the Netherlands (6.5) and, in sixth place, the United States (6.0).
36. **D.** Knowledge spillovers are knowledge externalities bounded in space: leaky knowledge that nearby firms can use without creating it.
37. **D.** The slides name job mobility, university exchange, informal collaborations among firms and know-how sharing across value chains.
38. **B.** The term varies by country but tends to focus on the sub-national administrative unit, though it can also cover several countries, as in the European Region.
39. **A.** The rationale slide states that the more global a region is in economic terms, the greater the likelihood that it is also a powerful local economy.
40. **C.** The Maputo Development Corridor (1996) was the first; its success led NEPAD to replicate corridors across Africa.
41. **A.** Hard infrastructure creates the transport corridor; rising traffic calls for soft infrastructure; efficiency then attracts investment, forming an economic corridor.
42. **C.** Session 4 says social capital harnesses people other than the individual entrepreneur: their networks and relationships.
43. **B.** Session 4 calls entrepreneurial capital a composite form of capital defined at economic, organizational and personal levels.
44. **D.** Session 5 cites GEM (2018): 25% or more of sales from customers outside the economy.
45. **D.** The Japan and Korea figures, and the tiny share of U.S. services firms that export, show underrepresentation; the U.S. export figures show SMEs as vital contributors.
46. **B.** The continuum stretches from import activity or domestic internationalization, through extra-regional expansion, to full globalization.

47. **A.** The chain runs: no regular export, export via agents, sales subsidiaries, production/manufacturing.
48. **C.** Psychic distance is proximity in language, culture, political systems and business factors such as industry structure and competition.
49. **A.** Traditional exporters internationalize incrementally; late starters leapfrog some stages; born globals are the third type.
50. **C.** The slide defines the paradox as operations in culturally proximate countries not always being easy to manage.
51. **B.** Session 5 reports that strong ties are not the most important because they are few and costly, while cross-border weak ties speed internationalization.
52. **D.** Weak ties are new, often in a different context, infrequent and without a close bond, such as a friend of a friend or an introduced supplier.
53. **D.** Density is the extensiveness of ties; size is large or small; stability is change over time; diversity is age, gender and education.
54. **B.** Dynamic capabilities are the ability to combine and re-combine resources and use the resource base for advantage over a long period.
55. **A.** The slide states there is no clear evidence on whether age, education or personality traits influence internationalization.
56. **C.** They are the slide's example of the home competitive environment: declining home-country sales and market saturation.
57. **A.** In most OECD countries immigrants set up businesses at the same rate as the native-born, but in some they are about 1.5 times as likely to be self-employed.
58. **C.** The slides describe the migrant experience as a duality of contextual knowledge, empathy and access to hard and soft resources stemming from their dual habitus.
59. **B.** Session 7 states that over 60% of all international migrants live in Asia or Europe.
60. **D.** Historically immigrant businesses were in competitive, low-barrier, low-skill industries serving minorities; now they have moved into technology and innovative sectors.
61. **D.** Insecurity, legal rights and institutional issues set refugees apart, and 'fragility' is the word the slides use for their conditions.
62. **B.** The Hallyu case links joint production to China's facilitation of cross-border flows and new firms in technical services.
63. **A.** Session 7 states they are more likely to found ventures that are 'born global'.

64. **C.** The Japanese case says they start in their late 30s to early 40s, often with savings from Japan.
65. **A.** Question 4 offers a choice between Topic A, local and regional dimensions, and Topic B, migration and global entrepreneurship.
66. **C.** Session 5 teaches entry modes (establishment chain), networks and RBT; Session 4 teaches regional influences.

Mock exam

A full practice paper to answer in 120 minutes. This practice paper follows the format of the lecturer's mock midterm: four essay questions of 25 marks each, 120 minutes, closed book. Answer Questions 1 to 3 and ONE of Question 4A or 4B. Write in clear, systematic and argumentative essays, name the relevant theories, scholars and datasets (for example Oviatt and McDougall, Hofstede, GEM 2018, USBA 2018) and use the examples discussed in class. The questions differ from the lecturer's paper so that they test the same sessions from new angles; the lecturer's own questions are worked in exam-questions.md. Write your answer on paper first, then turn to the model answers and compare. Each question links to the chapters it draws on.

Section A · Answer all three questions (75 marks)

Q1. [LO 1 · 25 marks] Using the materials of Session 1, explain why international entrepreneurship has become an important field of study. In your answer: (a) explain how the field emerged from two research streams; (b) explain what the field includes beyond new and small firms; (c) discuss the five drivers of international entrepreneurship; and (d) support the significance of the field with at least three figures from the slides. [25 marks]

Q2. [LO 2 · 25 marks] A small Indonesian food-processing firm with 30 employees wants to start selling abroad. Using the three theories of small firm internationalization from Session 5, analyze how each theory would explain and guide the firm's path. In your answer: (a) define internationalization and state when GEM counts an entrepreneur as international; (b) apply the stages (Uppsala) model, including psychic distance and the establishment chain; (c) apply network theory, including strong and weak ties; (d) apply the resource-based theory; and (e) state one limitation of the stages model. [25 marks]

Q3. [LO 1 & LO 2 · 25 marks] Session 3 warns that comparing entrepreneurship across countries is not simple. Discuss this claim. In your answer: (a) explain the four key issues in international comparisons of entrepreneurship; (b) use the Asian business systems (kaisha, chaebol, guanxi) to show differing forms and goals; (c) explain the three challenges in assessing the role of culture; and (d) explain how GEM's National Entrepreneurship Context Index (NECI) addresses part of the problem, using the NECI table. [25 marks]

Section B · Answer ONE of Question 4A or 4B (25 marks)

Q4. [Question 4A · LO 2 · 25 marks] 'Regions, and in particular cities, become international hubs.' Using Session 4, explain how a region builds the critical mass to become an international hub. In your answer: (a) explain why a regional view matters for international entrepreneurship; (b) explain how knowledge spillovers raise a region's innovation; (c) evaluate the debate between human and social capital and explain entrepreneurial capital; and (d) explain how a basic transport route evolves into an economic corridor. [25 marks]

Q5. [Question 4B · LO 2 · 25 marks] Using the case studies of Session 7, analyze how institutional structures and human agency shape global migrant entrepreneurship. In your answer: (a) explain the concept of dual habitus; (b) analyze the Israeli, Korean and Japanese cases; (c) explain how global migrant networks of innovation contribute to regions and economies; and (d) discuss the policy challenges identified in the session. [25 marks]

Model answers

Q1

International entrepreneurship is the discovery, enactment, evaluation and exploitation of opportunities across national borders to create future goods and services (Oviatt and McDougall, 2005). Zahra and George (2002) put the stress on creatively discovering and exploiting opportunities that lie outside a firm's domestic market in pursuit of competitive advantage. A third view treats the field as the phenomenon of early and rapid internationalization of new and small firms, captured by Oviatt and McDougall's (1994) international new ventures (INVs), which seek competitive advantage from resources and sales in multiple countries from inception.

(a) The field emerged from the confluence of two interrelated but separate research streams. The first is entrepreneurship, the study of new ventures, which Shane and Venkataraman (2000) describe as the examination of how, by whom and with what consequences opportunities to create future goods and services are recognized, formed, evaluated and exploited. Innovation belongs to this stream: Drucker (1993) calls it the sum of creativity and commercialization, the means by which entrepreneurs create new wealth-producing resources or enhance existing ones. The second stream is international business, which spans organizations crossing national borders to do business in foreign countries. International entrepreneurship sits where these meet: opportunity-seeking that crosses borders.

(b) The field is broader than small start-ups. It includes cross-national comparisons of domestic entrepreneurship, such as differences in activity rates between countries, and of entrepreneurial internationalization, such as differences in the drivers of new venture internationalization. It also covers entrepreneurial activity in large, well-established companies, and researchers have studied knowledge-intensive firms and family businesses, from mini-nationals to multinationals, across many sectors.

(c) Five drivers explain the field's growth: political and economic developments; advances in information, communication and transportation technologies; the changing nature of competition; migration and cross-border movements of people; and the proliferation of equity financing outside developed markets.

(d) The significance of the field is clear from the evidence. In 2018 small businesses in the USA created 55% of all jobs and 66% of net new jobs (USBA, 2018). In the UK,

migrant-founded enterprises employ 1.16 million people and contribute 14% of job creation in SMEs. Firms founded by Chinese and Taiwanese Americans in Southern California employ more than 440,000 people and generate $70 billion in taxable revenues, and they helped develop China's ICT industries. Innovative immigrant-founded start-ups such as Uber and eBay account for as many as 50% of gross jobs created annually between 1980 and 2010 (NVCA, 2019), and 42% of U.S. companies that went public between 1974 and 2015 were venture-backed, representing 63% of market capitalization and 85% of R&D among public companies.

In conclusion, international entrepreneurship matters because it joins two established fields to explain how opportunities are pursued across borders, because it applies to firms of every size, and because the drivers behind it, especially migration and technology, have made cross-border ventures a major source of jobs, wealth and innovation.

Revise: What international entrepreneurship is and why it matters: significance, definitions and origins · The scope of international entrepreneurship: concept, drivers and the book's structure

Q2

(a) Internationalization is the process of increasing involvement in international operations, a continuum that runs from import activity or domestic internationalization, through extra-regional expansion, to full globalization (Luostarinen, 1994). GEM (2018) counts entrepreneurs as international when 25% or more of their sales come from customers outside their economy. With 30 employees, the firm is a small business on the size bands in Session 2 (20–99 employees), and Session 5 notes that such firms are underrepresented abroad even though they contribute heavily to exports. Going abroad would let it reach foreign markets and raise sales and profits, offset any decline at home and spread risk, improve product quality, and lower unit costs through economies of scale.

(b) The stages (Uppsala) model sees internationalization as incremental, sequential and staged, designed to minimise risk and uncertainty while the firm gains market knowledge and experience. Before exporting, behaviour reflects the interplay between the decision maker and the firm's environment and history (the innovation model). For market selection, the model predicts that the firm will start with psychically close markets, those nearest in language, culture, political system and business factors, where uncertainty feels low, and move later to more distant ones. For entry mode it predicts the establishment chain: from no regular export, to

exporting through agents or intermediaries, then a sales subsidiary, and finally production abroad.

(c) Network theory explains the path through whom the founder knows. Social networks, the pattern of links between people, groups and organizations (Brass, 1992), shape an entrepreneur's ability to create and grow a firm (Aldrich and Zimmer, 1986), and social interaction builds the knowledge and trust that make internationalization easier. The founder's strong ties, family and friends, offer trust but are few and costly to maintain, so Session 5 says they are not the most important for going abroad. Cross-border weak ties, such as a customer or supplier the founder is introduced to or contacts made at trade events (intermediary ties), positively and significantly speed internationalization. A larger and denser network would also speed entry into more countries. The network supplies finance, technical knowledge, information and advice, emotional support and reputation.

(d) The resource-based theory (RBT) sees the firm as a collection of productive resources whose heterogeneity creates competitive advantage, with dynamic capabilities letting it recombine resources over time. The decision to go abroad is taken within a framework of resources, capabilities and environmental realities. Internally, the firm's finance and plant (tangible) and its decision maker's international experience, prior start-up experience and networks (intangible) matter, although the slides caution that there is no clear evidence that age, education or personality affect internationalization. Externally, competitive pressure or saturation at home, as with Italy's Parmigiano-Reggiano makers, can push it out, while profit opportunities abroad and support from home or foreign governments can pull it. The nature of the product also matters: R&D intensity and product attributes explain small firm internationalization better than size.

(e) The stages model has limits. Under the psychic distance paradox, culturally close markets are not always easy to manage, and experience in other markets, technology and global communications, and social networks or client followership can change the path. Small firms are heterogeneous: traditional exporters follow the stages, but late starters leapfrog stages and born globals are international from the start. Service firms and entrepreneurs' aspirations also fit the model poorly. The three theories are therefore best used together: the stages model describes a cautious path, network theory explains how contacts can speed it up, and RBT explains whether the firm has the resources to take it.

Revise: Going international: what internationalization means, how often small firms do it and why · Step by step abroad: the stages (Uppsala) model and its critique · Who you know: the network theory of internationalization · What the firm has: the resource-based theory of internationalization

Q3

The Global Entrepreneurship Monitor (GEM) shows that the level of entrepreneurial activity varies widely between countries, but Session 3 warns that explaining those differences through political, economic, sociocultural and technological factors is not straightforward.

(a) The session names four key issues. The first is ambiguity in the impact of specific external factors. Economically successful nations score very differently on each of Hofstede's cultural dimensions, which suggests there are no easily defined right or wrong conditions for entrepreneurship. Much also depends on how the outcome is defined: in Korea and Japan large-scale organizations are the focus, so counting start-ups alone would understate their enterprise. The second is interdependence. Political and economic influences are not independent of each other; less developed countries usually have unstable, unpredictable environments that shorten business life; and political, economic and cultural factors are interrelated, as when entrepreneurs in developed European countries are the most individualistic and confident in their ability. The third is differing forms and goals of entrepreneurship, and the fourth is regional variation: societal attitudes to entrepreneurship vary more among economies within regions than across them, and one indicator can mislead, since Taiwan has lower start-up rates than its neighbours but high established business and employee entrepreneurship rates (GEM, 2018). Regional clusters such as Silicon Valley add a further layer of variation inside countries.

(b) Asia shows how forms and goals differ. In collectivist Asian countries enterprise often appears as large organizations, and those large firms themselves create entrepreneurial opportunities. The Japanese kaisha aims at employment and is a large, professionally managed, complex enterprise. The Korean chaebol serves national development goals and is a large family business managed like a regiment. Chinese guanxi aims to create and sustain family fortunes in family businesses, sharing information through networks. Social ventures, created to solve social problems, must also be counted. A comparison that measures only new independent firms would miss most of this.

(c) Assessing culture is itself hard for three reasons. Culture works at different levels: Japanese and Korean organizations are highly competitive despite high power distance because of unique business values. Society has different layers, such as age, social class, gender, occupation, family and religion. And entrepreneurship happens in different units, the individual, the group and the community.

(d) GEM's response is to measure the environment as well as the activity. The National Entrepreneurship Context Index (NECI) is a composite index derived from twelve framework conditions, each weighted by the importance experts place on it. It shows where an economy's ratings on the conditions fall short, especially relative to their importance, so countries can see the gaps that matter most. In the NECI table for 54 economies (Bosma and Kelley, 2018), Qatar ranks first with 6.7 out of 10, followed by Indonesia (6.6), the Netherlands (6.5), Taiwan (6.3) and India (6.2), with the United States sixth on 6.0. That two economies listed as low-income, Indonesia and India, rank in the top five shows again that income alone does not determine a country's environment for entrepreneurship.

In conclusion, the claim holds: because factors are ambiguous, interdependent, culturally layered and regionally variable, and because entrepreneurship takes different forms and goals, cross-country comparisons must use several indicators, such as TEA alongside the NECI, rather than a single rate.

Revise: Comparing countries with care: key issues, regional variations and the national context index · Why countries differ, part two: culture, education and technology · Measuring entrepreneurship across countries: the Global Entrepreneurship Monitor and its activity index

Q4

(a) Session 4 argues that place matters for international entrepreneurship. Businesses trade, form strategic alliances, network, invest overseas and set up offshore operations on the basis of what they know about attractive regions. Supply and value chains are increasingly international, and products are made and sold worldwide at a faster pace. The session adds that the more global a region is in economic terms, the more likely it is also a powerful local economy. A region, usually a sub-national administrative unit but sometimes a group of countries such as the European Region, is tied to the governance of policies for economic development, social cohesion and environmental welfare, and its identity rests on the beliefs, values and cultural perceptions of its people. Observing business formation in regions helps entrepreneurs judge whether they can work with dynamic firms elsewhere and helps policy makers recalibrate local strategy.

(b) Knowledge spillovers (KSs) are knowledge externalities bounded in space. Knowledge created in one organization is leaky, so rivals nearby can use some of it without creating it themselves. Firms close to sources of knowledge, intelligence and data therefore innovate faster than rivals elsewhere. Spillovers flow through employees changing jobs, knowledge exchange with universities, informal collaboration among firms and the sharing of know-how along value chains, and they depend on physical, institutional, social and socio-psychological factors that set the framework conditions for entrepreneurship. Regions can be distinguished by how much knowledge they create and spill over, which explains differences in innovation and new firm creation.

(c) On regional capital, some authors argue that human capital is the key to growth, especially in cities, while others say social capital is more integral because it draws on the networks and relationships of people beyond the individual entrepreneur. Session 4 combines both views. A region's ability to attract talent and tolerate diversity fuses with its capacity for invention; cultural diversity in urban networks brings in different kinds of human capital that promote innovation and new firm formation; and institutions, good governance and talent give regions a local edge. This amalgam of institutions, talent and technology is creative entrepreneurial capital. Entrepreneurial capital itself is composite, defined at the economic (region and industry), organizational and personal (team and individual) levels. The mix and strength of human, social, technological and entrepreneurial capital is a good measure of regional competitiveness.

(d) Growth corridors connect regions within and across countries. Corridors are bundles of infrastructure, such as rail links and highways, enhanced by ICT, power lines and pipes, linking urban areas in one country or adjacent countries. The economic potential of a basic transport route drives their development. Hard infrastructure first creates a transport corridor; as freight and people increase, soft infrastructure, meaning logistics, legal, institutional and management support, is improved; and the ripple effect of efficiency attracts new investment and further activity, producing an economic corridor. The Maputo Development Corridor, set up in 1996, was the first, and its success led NEPAD to replicate the model across Africa. Interest has since shifted to global value chains, which integrate international value chains across sectors.

In conclusion, a region becomes an international hub when spillovers, a strong mix of human, social and entrepreneurial capital, good institutions and connecting

infrastructure create critical mass. As the Session 4 summary puts it, that critical mass is partly a function of internationalization: such regions bring the world outside into their local environment.

Revise: Where entrepreneurship happens: regions and knowledge spillovers · What makes a region competitive: regional capital and growth corridors

Q5

(a) Session 7 explains migrant entrepreneurship through the idea of dual habitus. The migrant experience lies in a duality of contextual knowledge, empathy and access to hard and soft resources, which stems from the migrant's position in both the country of destination and the country of origin. This duality lets migrants break out of stereotypical minority business enclaves, grow their ventures and gain competitive advantage. Historically, immigrant businesses were in competitive, low-barrier, low-skill industries serving minority communities, but migrant entrepreneurship has moved into technology sectors and innovative areas, locally and globally. Migrants are not passive adherents to institutional constraints; they actively mould them to suit their own initiatives. Agency therefore works with, and against, structure.

(b) The three cases show this interaction. In Israel, the outcomes for Israeli and Palestinian high-tech entrepreneurs depended on the unequal capital set of the migrants and on institutional arrangements, so the same sector produced different results for different groups. In Korea, the Hallyu or Korean Wave in film, television and music led to joint film production with China, which drew on the Chinese government's facilitation of cross-border flows of investors, directors and producers and created new firms in technical services: an institutional opening that entrepreneurs used. Japanese transnational entrepreneurs start ex-pat businesses in their late 30s to early 40s, often with savings from Japan, after exposure to overseas life during the exploration stage of their careers, showing individual agency built on home resources. Session 7 draws two observations across the cases: interest in going international and using that experience to renew home ties is constant, and the intersection of institutional structures and human agency in the dual habitus explains both the scope of and the variation in global entrepreneurship.

(c) Global migrant networks of innovation generate positive externalities for the regions where migrants operate. Their specialisms create intermediary functions that serve larger multinationals; their networks can ease the financial constraints of fast-growing firms; and firms with migrant co-owners and more migrant workers

are more likely to be innovative. The growth of migrant business compensates for the falling share of new firms started by native entrepreneurs, and migrants who first enter their home country to found a global venture are more likely to found born-global ventures. Global migrant entrepreneurship (GME) contributes directly to international business creation and growth, finance and investment, R&D and innovation, and international technology transfer. Origin countries gain through remittances, skills transfer, social remittances and social capital.

(d) Session 7 also identifies challenges. Migrant entrepreneurs' actions are constrained by home-country endowments and institutional structures. Little is known about their networks, capabilities and locational dynamics across multiple institutional contexts. GME does not feature adequately in the work of policy makers, technology developers and business strategy analysts, and systematic collection of granular data is needed to support informed decisions. Refugees face these constraints more sharply: insecurity, legal rights and institutional issues set them apart, and fragility describes their conditions, even though enterprising refugees create wealth, employ locals and boost trade and investment.

In conclusion, institutions set the opportunities and limits, as the Israeli and Korean cases show, while migrants' agency, rooted in their dual habitus, lets them reshape those limits, as the Japanese case and the wider evidence on migrant networks show. Policy that collects better data and recognizes GME can strengthen the contributions the session describes.

Revise: Migrants as entrepreneurs: migration flows, trajectories and dual habitus · Migrant entrepreneurs in practice: cases, refugees, networks of innovation and challenges